

LAW OF AGENCY

BAHIR DAR UNIVERSITY LAW FACULTY

DISTANCE EDUCATION

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MODULE INTRODUCTION

In law, Agency refers to the relationship that exists when one person or party (the principal) engages another (the agent) to act for him; for example, to do his work, to sell his goods, to manage his business. The law of agency thus governs the legal relationship in which the agent deals with a third party on behalf of the principal. The competent agent is legally capable of acting for this principal vis-à-vis the third party. Hence, the process of concluding a contract through an agent involves a two fold relationship. On the one hand, the law of agency is concerned with the external business relations of an economic unit and with the powers of the various representatives to affect the legal position of the principal. On the other hand, it rules the internal relationship between principal and agent as well, thereby imposing certain duties on the representative (diligence, accounting, good faith, etc.). The two relationships need not be in full conformity. Thus, an agent's effective powers in dealing with outsiders may extend to transactions that he is under a duty to his principal not to undertake, leading to a situation characterized as “apparent authority.”

Agency is recognized in all modern legal systems as an indispensable part of the existing social order. It fulfills the most diverse functions in both public and private law; in particular, it assists in organizing the division of labor in the national and international economy by making it possible for a principal greatly to extend his individual sphere of activity by having one or more persons act for him. In addition to the individual principal, a principal may be composed of a group of persons carrying on a trade or business by way of a partnership, a registered company, or another kind of corporate entity. It becomes a matter of necessity in the case of legal persons. The need for legal representation

in some form has therefore increased as business units have come to involve transactions conducted at a distance (through the use of factors, or commercial agents) or have grown in size (as in the case of the firm, the house, and the corporation). Continental law additionally allows the use of legal representatives, such as the father, mother, guardian, or curator (*curateur, tuteur*), to enable minors, insane persons, and other legally incapacitated persons to act. Although a similar category of “authority by law” is not unknown in common law, powers based on family relationships are scarce and appear in only a few cases.

In this module we will mainly focus on the Ethiopian law of agency which is provided under the Ethiopian Civil Code Articles 2179-2265. Articles 28-62 of the Ethiopian Commercial Code will also be the subject matter of this course for they are dealing with agents of different kinds; as commercial agents, managers... An effort is also made to include case studies mainly from Ethiopian courts.

The module is divided into seven chapters. The first chapter of the module begins with the historical development of agency. It looks at the original perception towards agency and keeps its relevance for today’s modern agency.

The Second chapter gives clues for reader on the concept of agency. It deals with definition of agency, the need for agency and the qualifying factors of agency with similar undertakings.

The third chapter is dedicated to describe the sources of agency. Agency emanates from the law and agreement of the parties and order of the court. These sources are dealt in detail in this chapter.

The fourth chapter focuses on one of the sources of agency and deals with the substance of agency arising from consent of the parties. Scope of agency, authorities of an agent and modes of representation are part of this discussion. Cases of unauthorized agency and agency from court order are dealt in terms of their effect.

In the fifth chapter you are going to assess the effects of agency. Duties of the parties involved; the agent, the principal and the third party are addressed here.

The sixth addresses different kinds of agents. The commission agent, the manager, commercial agent and similar special kind of agents are assessed here.

The last chapter is aimed at introducing the causes of extinction of obligations and their effect on agency. Thus, termination up on the operation of the law and by the mutual will of the parties or unilateral declaration is given emphasis in this chapter.

At the end of each chapter Summary Notes, Self-Check Exercises, and Cases are given. Before you read the summary notes read the body of each chapter and before you attempt the cases try to respond to each self check exercises.

Good luck!

CHAPTER ONE

THE EMERGENCE OF AGENCY: FROM HISTORY TO THE MODERN ETHIOPIAN CONCEPTION

Contents

1.1 Chapter introduction

1.2 Objectives

1.3 Historical Developments

1.3.1 Civil Law

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1.4.2 The Ethiopian Approach

A. The Fitiha Negast

B. The Civil Code

1.1 Introduction

This chapter is basically intended to give you an overview of the historical development of agency in the different legal regimes of the world mainly in the common law, the civil law and the historic Ethiopia. The civil law history of agency mainly revolves around the Roman, the Greek, Egyptian and Jewish laws. And hence, the perception of early Roman Empire, the Greeks and Egyptians and the Judah are treated down here. The medieval influence of Canon Law and Germanic law are also dealt under this section as part of showing the development of agency under the Civil Law Legal system.

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Similarly the influence of the common law for the development of the modern concept of agency is treated here. Conceptual Distinction between the Civil Law and Common Law Approaches is treated in this chapter. A fundamental distinction exists between the Civil law and the common law in terms of: construction of agency, scope of the subject matter of agency and liabilities of the parties involved in agency. This and parallel concepts are dealt in this chapter.

The Ethiopian side on the development of agency is looked at from the time of the Fitiha Negast to the promulgation of the Modern Civil Code. This development of the law representation is dealt here.

1.2 Objectives:

After you have successfully studied this chapter you will be able to:

- Appreciate how agency evolved from history;
- Realize the degree given to the two relationships: internal and external;
- Appreciate the historical of values of the different legal regimes for the development of the modern law of agency;
- Look at the difference in the meaning and effect of agency under differing legal regimes;
- Look at the influence of the common law and /or the Civil law for the modern agency and the Ethiopian agency law;
- Classify the Ethiopian Agency law in to its predecessors;
- Identify the Ethiopian Legal documents as sources of the Ethiopian Agency law; and
- Appreciate the choice taken by the Ethiopian side.

1.3 Historical Development

1.3.1 Civil Law

A. The Roman Law

Because concepts grow primarily out of specific situations that have occurred and social needs that have arisen, the doctrine of legal representation developed differently in different times and places, sometimes even within a single legal system. At first it seemed unthinkable that an agent, by making a contract with a third party, could create obligatory rights and duties between a third party and a principal. Even the official law of the Roman Empire never fully recognized the principle of representation. The explanation for this rejection lies mainly in the early Roman conception of a contractual obligation as a personal relationship binding the parties in some quasi-mystical way. This type of relationship allowed creditors in some instances to seize the possessions—and in very early times also the person—of the debtor. Usually the formation of such a relationship between two parties took place in a solemn ceremony at which both parties had to be present, certain formal words spoken, and definite acts performed. In such a situation it was impossible to confer right or duties on a third party. On the other hand, the head of the household could transact business through his slaves or his dependent sons, who were not conceived of as agents but as “long arm” extensions of the contracting master or father. So, as an exception, a person could transact through the intermediaries of dependants. Because of the wide prevalence of slavery, there was no great need for a true agency relationship. As Roman law later developed, the formalities connected with creating legal relationships became less important, and the need

for personal representation in commerce increased. In the meantime, however, legal theory and practice had developed so many ways to evade the problem that there was no longer an urgent need for Roman law to overcome its stark conservatism and to develop a legal institution that it had earlier opposed.

There is also a trace of the development of the contract of *mandatum*, which is considered as one aspect of agency law. The contract of *mandatum* or mandate served as a useful substitute for agency law in the Roman legal system. Under this contract, the mandatory (principal) gave mandate to the mandatarius/mandatory/agent. This contract produced effect only as between the agent and the principal. It does not have the power to establish a relationship between the principal and the third party as the current perception goes.

B. Other Early Legal Systems

In contrast to Roman law, which did not have the institution of agency, the Greek, Egyptian and Jewish laws had accepted the principle of representation starting from the early times. There were favorable conditions for the recognition of representation in Greece, Egypt, and Judea. Among other things, the relatively larger size of these countries, which required actions through intermediaries, can be mentioned as contributing factors for the admission of representation in the respective land of the three nations. In addition, the personal conception of obligation and the patriarchal family organization which were the principal obstacles for admission of representation in the Roman law were not in existence in the aforementioned three countries.

C. Medieval Influence of Canon Law and Germanic Law

Laboring under the influence of Roman law, legal development in the Middle Ages strove to overcome disadvantages in daily commercial life caused by the Roman rejection of the principle of agency. Through the efforts of legal scholars (glossators and commentators), Roman law was further developed by means of extensions, and exceptions—a process already sanctioned by the Romans themselves. Additional impetus for change came from Roman Catholic Church Canon law. Although manifestly structured after Roman civil law, canon law had its own special development, influenced by Hebraic theological concepts. Certain writers succeeded as early as 1200 in constructing a type of agency relationship based on the position of *procurator*, a relationship intended to solve the representation problem in all except legal matters. The issue nevertheless remained in dispute.

Like the Roman law the old German law did not admit the principle of representation. However, with the decline of formalism in Germany around the 13th century, this principle was imported in the German legal system.

D. Modern Developments

Recognition of the principle of agency in the field of civil law was finally achieved in continental Europe during the ascendancy of natural law in the 17th century. By this time, however, new objections grounded in state law, feudal law, and the question of the general reasonableness of agency had to be overcome. Hugo Grotius in his best-known work, *De Jure Belli ac Pacis* (1625; *On the Law of War and Peace*), explained that on the basis of his mandate a *procurator* (agent or mandatory) could acquire rights directly for his principal. He thereby overcame the

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Roman rule that allowed slaves and dependent sons, but not free persons, with two exceptions, to act directly for the head of the household. Grotius simply maintained that this rule did not contradict natural law. In another work, *Defensio Fidei Catholicae*, Grotius added, in a theological context that the principle of agency is based not on essential natural law but on nonessential natural law; that is, agency is not demanded by the nature of things but must only correspond to and be adapted to the nature of things.

The codifications of the subsequent age of rationalism recognized the principle of representation. The Prussian Civil Code (1794), the French Napoleonic, or Civil, Code (1804), and the Austrian General Civil Code (1811) nevertheless regarded agency as an aspect of mandate and the power to act as an agent to be derived solely from that concept.

Dear student it is important to appreciate the difference between mandate and representation here. As noted by Clarise: *mandate points to the internal relations between two persons-the mandator and mandatory; and representation points to the external aspects of the transaction, the relations of principal and agent toward third parties.* Hence, the complete system of agency that combines the two elements or relations (internal and external) is a later development.

It is also important to note that the basic theory in the civil law system is the theory of “separation”. The theory of separation requires the strict conceptual separation of the mandate i.e., the contract between the principal and the agent, from the “authority”, i.e., the power of the agent to contract for the principal with the third party.

In the beginning agency was not known in common law. But about the 13th Century, the doctrine of principal and agent developed in England as an outgrowth or expansion of the doctrine of master and servant. Anglo Norman law created the figures of *ballivus* and *attornatus*. His position in the household of his master empowered the *ballivus* to transact commercial business for his master, reminiscent of the power of the slave to bind his master under Roman law. Later the *ballivus* was given more authority, especially in his frequent role as land administrator, gradually becoming competent to act independently for his master. On the other hand, the *attornatus*, originally just a representative of one of the parties in litigation, soon assumed a position of broader importance. Certain contracts were effective only when made in a judicially prescribed manner. For this reason, the formation of this type of contract always had to be concluded in a court proceeding in which an *attornatus* represented each party. This was the beginning of the role of the *attornatus* as a general agent.

By the 17th and 18th Centuries, with the influence of mercantile law, the factors and brokers came into existence. With this, the expression “agent” came in to wider use and the confusion between the two kinds of relationships – the relationship of principal and agent on the one hand, and the relation of master and servant on the other- began to fade. By the 19th century, a sharp distinction was made between the two relationships and finally they were separated from each other. Thus a servant was recognized as a person who performs manual services for his master and an agent as a person who deals in business transaction for the principal.

The theoretical basis of agency in common law is the doctrine of identity of the principal and agent. The jurists of the 18th century, employing the phrase *qui facit per alium, est perinde ac si facit per se ipsum* (“whoever acts through another acts as if he were doing it himself”), made much use of the fiction of identity.

1.4 Evolution of the Concept of Agency

1.4.1 Conceptual Distinction between the Civil Law and Common Law Approaches

The Civil law and Common law legal systems have certain remarkable distinctions with respect to agency. These distinctions mainly emanate from the different doctrinal premises on which the concept of agency is based in the two legal systems. As has been already pointed out, the theoretical basis of agency in the civil law is the **doctrine of separation**, and that of the Anglo-American law of agency is the **doctrine of identity**. These conceptual differences are usually reflected in the following areas.

A. Construction of Agency

After the introduction of the doctrine of separation, the common law and the civil law systems have followed their own ways with regard to construction of agency relationships. As a result, under the civil law approach agency consists of two distinct relationships. First, **the internal relationship between the principal and the agent**; and second, the **external relationship between the principal**, and some times the agent, and the third party. This legal system considers the two relationships as being **separate and independent** from each other.

Under the common law, on the other hand, the reverse is true. Here the two relationships are merged.

B. Scope of the Subject matter of Agency

As compared to common law, the civil law restricts the coverage of agency. As the Encyclopedia of Britannica states, continental European law classifies the undertaking of transactions in the place of another as “agency” only if they are legal. It excludes other acts, including unlawful acts, so that when dealing with the law of agency, the rules concerning the liability of a master for the torts of his servant do not come in to consideration.

In common law, the opposite is true. The reason for this is related to the famous maxim, *qui facit per alim, facit per se*, which expresses agency relationship as wide enough to cover almost every kind of transaction. Hence, although there is some dispute as to the classification of the liability of the master for the tortuous conduct of his agent, the prevailing view treats it as forming part of agency law since it logically comes within the scope of this maxim.

C. Liabilities of Parties

The last area where a significant difference observed between the civil law and common law systems concerns the liabilities of the parties involved in an agency relationship. The liability of the principal, the agent and the third party is determined by the legal relationships each of them has with the other in the two legal systems.

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In the civil law, agency is categorized in to direct and indirect agency. When the agent contracts in a representative capacity, i.e., in the name and on behalf of his principal, the agency is called direct agency; and when the agent acts in his own name but for the account of the principal, it is known as indirect agency. The latter is also referred to as contract of *prete-nom* or commission agency.

The criterion that the civil law employs in determining the liabilities of the parties in a contract of agency is the capacity in which the agent acts, i.e., whether he acts in a personal capacity, where no action can be brought by or against the principal on the contract. Under such a circumstance, the third party has a right of action only against the agent who contracted with him. In the same way, the agent who made the contract in his own name is allowed to hold the third party liable on such contract. However, the mere fact that the name of the principal for whom the agent acted is known does not create rights and obligations as between the agent and the third party under the contract. The civil law admits agency for unnamed principal with the same legal consequences as agency for a named principal. But such an agent must manifest his intention of contracting as an agent or the circumstances should indicate that he acted as an agent of the unnamed principal. Otherwise, the agent is considered to have contracted with the third party in a personal capacity and defense that he had the “undeclared intention” of acting for a principal, that he was duly authorized etc., are irrelevant.

Schmittoff in his book *Agency in International Trade* summarizes:

The classification of agency in the common law is in to agents acting for a named principal, for an unnamed principal, and for undisclosed principal. The first two categories compare exactly

with the situations, which in the civil law are classified as direct agency. The third category corresponds to indirect agency but, ... the legal position of the undisclosed principal is very different from the commettant. In their legal construction and practical effect the two types of business transaction differ fundamentally. In the case of the commission, the commercial link between the third party and the commettant is founded on two consecutive contracts, the contract between the third party and the commissionaire and that between the commissionaire and the commettant. Consequently, in principle the principal is not in direct legal connection with the third part. Entirely different is the legal construction of agency of an undisclosed principal in the common law. Here, if the agent was duly authorized but acted in his own name, without disclosing the existence of the principal, the latter can nevertheless intervene and sue the third party directly subject to important exceptions and qualifications. Further, in the case of an agent acting for undisclosed principal, the third party has a right of election, when the existence and identity of the principal has become known to him later. The third party may elect either to restrain the agent as his contracting party, or to treat the principal as such. In the former case the position is the same as under the civil law commission, and the two-contract sequence of events is preserved. But if the undisclosed principal lawfully intervenes or the third party elects in favor of the principal, the position is the same as if the agent had disclosed the principal's name when concluding the main contract and a one-contract situation is created in which direct rights and duties accrue under the contact between the third party and the principal.

Since there is a difference in emphasis between the doctrine of identity and the theory of separation, the common law, unlike the civil law, uses

a strictest test for determining the liabilities of the parties in an agency relationship. This test asks “whether the goods or documents of the title came in to the possession of the agent with the consent of their owner.” Unlike the test of the civil law, it goes deep in to the matter to establish the liabilities of the parties involved.

1.4.2 The Ethiopian Approach

A. The Fitiha Negast

The *Fitiha Negast*, literally “Laws of the Kings” was the legal code of Ethiopia prior to the adoption of the present modern laws. It consists of two parts: the first part deals with spiritual world of the church, and the second secular ones such as family, succession contract etc. It is influenced by the Bible and laws of early Byzantine. It is believed that this Code was compiled around 1240 by a certain Coptic Christian writer called Ibn al-Assal in Arabic language. Later this work was translated in to the Ge-ez during the rein of Emperor Zera-a-Yakob (1450). During the 1960s it was translated in to English, and recently, of course, in to Amharic.

Chapter 30 of the Fitiha Negast is dedicated to agency under the title of “mandate”. It provides a set of rules governing the relationship between the principal and the agent. What the Fitiha Negast regulates in view of the above discussion is the internal agency relationship between the principal and agent alone. As we have already seen, this is only one aspect of agency. The Fitiha Negast makes no reference to the external relationship, i.e., the relation of the principal and the agent towards the third party. Since the Fitiha Negast was codified long before the invention of the doctrine of separation, it is not surprising that it does not envisage this relationship. It is only after the invention of this

doctrine that the two aspects of agency-the relationship between the principal and the agent on the one hand, and the relationship of the agent and/or the principal with the third party on the other hand-were recognized. Since the Fitiha Negast does not distinguish between the internal and external relationship of agency, it is similar to continental European codes promulgated before the introduction of the theory of separation.

A. The Civil Code

Regarding the law of agency, the present Ethiopian Civil Code generally follows the modern civil law legal system. Lawrence Church in one of his articles on Ethiopian agency law states that the Swiss and French laws had strong influence on the Ethiopian law of Agency. The present Agency law is based on the doctrine of separation. It is important that you once again be reminded that the doctrine of separation focuses on the strictest distinction of the internal relationship of the principal and the agent on the one hand, and the external relationship of the principal and agent with the third party on the other. The former is covered by the Civil Code from articles 2199 and following, and the latter by Arts 2179-2198 of the same Code.

As part of the civil law, the Ethiopian Civil Code does not explicitly incorporate undisclosed agency as recognized in the common law. However, it contains some provisions that cover the situation where an agent acts in his own name. Article 2197 (1) provides:

An agent who acts on his own behalf shall personally enjoy the rights or incur the liabilities deriving from the contracts he makes with third parties, notwithstanding that such third parties know that he is an agent.

The English translation of Art 2197(1) erroneously uses the word “behalf” in place of the word “name” which has been employed in the Amharic and the original French version of that article. Under such conditions, third parties cannot bring a direct action against the principal, but they can sue him by substituting themselves for the agent (2197(2)) which provides as:

Third parties shall in such have no direct action against the principal and may only exercise against him, on behalf of the agent, the rights pertaining to the agent.

Likewise, pursuant to Art 2198(2), the principal can sue the third parties by substituting himself for the agent. But he cannot avail himself of this right unless he discharges his obligation towards the agent (Art. 2198 (3)).

Articles 2197 and 2198 of the Civil Code are general provisions governing any kind of transaction. In addition to these general provisions, the Civil Code has some special rules related to commission agency (Arts. 2234-2252 of the Civil Code). The application of the rules of commission agency is restricted to three cases, viz. selling, buying, and forwarding. Therefore, in situations where the agent acts in his own name in transactions other than these cases, the general provisions of the Code (2197 & 2198) should be applied.

SUMMARY NOTES

In the history of social development, an individual to act through another emerges with the emergence of the slave master relationship. In a primitive society, all members of the society work together eat together etc. But in the era of slave master relationship, and then in latter developments, the slaves works for the master. After wards the master cannot administer all the properties they have looted or possessed for different causes. Hence they need to appoint another to administer their property.

In the modern world the creation of legal persons and their requirement of a physical person to administer and run for their goal, the emergence of intercontinental business and companies badly requires agency. Similarly, sickness and similar causes that hinder the owner of the affair to administer himself, and sometimes connected to the emergence of secularism brining specialization and in turn an interest of use the expertise of others etc gives rise to one person act through another.

The doctrine of legal representation developed differently in different times and places. In the beginning it was unthinkable that an act committed by a person offer than the owner of the affair binds the owner of the affair/or benefit the same. Even the Roman legal system which takes the forefront in the development of legal systems does not fully recognize representation at the beginning but the Greek, Egyptian and Jewish laws had better recognition to the concept from early times. Usually, the large size of these countries was taken as a cause for why acting through another was recognized in the earlier periods.

In the common law similarly agency, was not recognized in the beginning. But only in the 13th centaury the doctrine of principal and

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agent developed in England as an out growth or expansion of the doctrine of master and servant. By the 17th centuries, with the influence of mercantile law, the factors and brokers came into existence. With this, the expression “agent” came into wider use and the confusion between the two kinds of relationships, the relationship of principal and agent on the one hand and the relation of master and servant on the other hand, began to fade. By the 19th century, a sharp distinction was made between the two relationships and finally they were separated from each other. Thus a servant was recognized as a person who performs manual services for his master and an agent as a person who deals in business transaction for the principal.

There are certain remarkable distinctions among the common law and the civil law with respect to agency. The distinction mainly emanates from the different doctrinal premises on which the concept of agency is based. The theoretical basis of agency in the civil law is the doctrine of separation, and that of the common law of agency is the doctrine of identity. These differences are reflected in the following areas:

a) Construction of Agency

Under the civil law approach agency consists of two distinct relationships: the internal relationship between the principal and the agent and the external relationship between the principal and/or the third party. This legal system considers the two relationships as being separate and independent from each other. But under the common law the reverse is true; the two relationships are merged.

b) Scope of the subject matter of agency

As compared to common law, the civil law restricts the coverage of agency. Continental law classifies the undertaking of transactions in the place of another as “agency” only if they are legal. It excludes other acts including unlawful acts, so that when dealing with the law of agency, the rules concerning the liability of a master for the torts of his servants do not come into consideration. Whereas in the common law the opposite works. The maxim he who acts through another acts himself, “fui facit per a him facit per se” is the leading principle here. Hence agency in the common law restricts every kind of transaction acted through another.

c) Liability of Parties

The criterion that the civil law employees in determining the liability of the parties (the principal the agent, the third party) in a contract of agency is the capacity in which the agents acts: i.e whether one acts in a personal capacity, in which case no action can be brought by or against the principal on the contract. Under such a circumstance, the third party has a right of action only against the agent who contracted with him. In the same way, the agent, who made the contract in his own name is allowed to hold the third party liable on such contract.

The civil law on the other hand admits agency for unnamed principal with the same legal consequences as agency for a named principal. Yet, the agent must manifest his intention of contracting as an agent or circumstances should indicate that he acted as an agent of an unnamed principal. In the absence of which the agent is considered to have contracted with the third party in a personal capacity and defense

that he had the “undeclared intention” of acting for a principal.

Recognition of the concept of agency (representation in a written form) begins in the 13th century in the adoption of the Fitiha Negast. The Fitiha Negast under chapter 30 governs the relationship between the agent and the principal. Like the above discussion under the civil law system goes, the Fitiha Negast also gives emphasis and tries to regulate the internal relationship since the Fitiha Negast does not distinguish between the internal and external relationship of agency, it is assimilated to continental European codes promulgated before the introduction of the theory of separation.

The modern Ethiopian approach follows the latest civil law conception of agency. The Swiss and French laws have printed their influence under the Ethiopian agency law. It is based on the doctrine of separation. That is, the distinctions of the internal and external relationships are given emphasis. Undisclosed agency is not recognized under Ethiopian agency law unlike the common law and like its predecessors.

SELF – CHECK EXERCISES

- a. What are the doctrinal premises of the distinction between the common law and the civil law in terms of their conception toward agency.

- b. What are the areas where the differences of agency under the common law and civil law are reflected?

- c. Identify the central points in the above three areas in relation to the common law and civil law conception of agency.

- d. How do you relate the perception of Fitiha Negast towards agency?

- e. Is undisclosed agency recognized under the modern Ethiopian agency rules? Discuss.

- f. To which traditions do you relate the modern Ethiopian perception towards agency? The common law tradition or the civil law tradition?

CHAPTER TWO

CONCEPT OF AGENCY

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A. An Employee and Commercial Employee

B. A Commercial traveler and representative

C. A commercial agent, a commercial broker and a commercial agent

D. A sole agent and a sole distributor

2.5 Who can appoint an Agent?

INTRODUCTION

It is usual and at the same time important to introduce the concept before looking at the principles, applicability and details of the subject matter of agency. To understand what is agency all about we may need to go through the whole provisions of the Civil Code on the law of agency, which cannot be an easy task. The depth of agency does not allow a brief description and the whole law cannot be compressed in to a sentence that is both short and significant. Yet it does not mean that it is useless or impossible to make an attempt to summarize what is involved in the concept of agency. To a large extent the nature and content of such a summary depends up on the outlook of a particular writer who is expounding the subject. Nonetheless such a summary can provide a guide to the student in the search for the features, which

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distinguish agency from other legal relationships. Agency is the relationship created among people when one person uses another person to perform certain tasks for his benefit. Hence, it refers to a relationship that involves more than two individuals and more than two transactions.

Why does one person use another person in performing his task? There are lots of cases where a person may want to act through another. What are these instances?

To act through another, is it dependent only on the will and wish of individuals or are there cases where to act through another is prohibited?

In this chapter we will see: the definition of agency; the justifications why people like to act through another; whether all affairs can be done by a person other than the owner of the affair. Wish you sensation in studying this chapter.

Learning Objectives:

At the end of this chapter, you will be able to:

- Define agency;
- Identify the parties involved in agency;
- Identify relationships involved in agency relationship;
- Enumerate the situations whereby people may like to act through others/agents;
- Explain the cases whereby one cannot appoint another, as an agent.

It is true that the whole concept of agency hardly allows a brief description since the whole law cannot be compressed into a sentence that is both short and significant. However, this does not render either impossible or useless an attempt to summarize the concept in a short and clear way what is involved in the concept agency. Such a summary can provide a guide to the student in the search for the features, which distinguish agency from other legal relationships. The following is therefore suggested as a brief description of what agency involves:

Agency is the relationship that exists between two persons when one, called the agent, is considered in law to represent the other, called the principal in such away as to be able to affect the principals legal position in respect of third parties by the making of contracts or the disposition of property.

It seems virtually impossible to define agency except in terms of its consequences. Or agency is better defined in terms of its consequences than any other characters. A person is an agent only in so far as his acts can result in some alteration of the legal situation of the one for whom he acts or purports to act. The parties involved in agency are the principal, the agent and third party. Having said this several features of the definition suggested above require elaboration and comment.

First it is important to indicate that although there may be many situations in which one person represents or acts on behalf of another, it is only when such representation or action on another's behalf affects the latter's legal position that is to say his rights against and liabilities towards other people that the law of agency applies. The law of agency

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has no relevance to social or other non-legal obligations. Thus the law of agency has no application to the kind of situation in which for example a man sends his wife to represent him in a wedding, and to congratulate on his behalf the bride and groom. For in such circumstances the representation is intended to serve a social purpose and not a legal one. However, the legal purpose intended to be achieved by the employment of an agent need not be a complex or sophisticated one. For example a mother who tells her son to buy milk from a milkman is making an agent of him, in the same way as a company makes agents of directors who enter in to contractual obligations on behalf of the company. Obviously the more important the transaction, the more necessary will it be to determine accurately the legal position of the interested parties. But at least for the purpose of definition and comprehension, the only distinction that can validly be drawn is between the use of another person to fulfill some social or similar or similar obligation or purpose and the employment of another person to execute or discharge some legal obligation, or achieve some legal result.

The second feature of the definition given above is that it stresses the importance of the way in which the law regards the relationship that has been created. It is the effect in law of the way the parties have conducted themselves and not the conduct of parties considered apart from the law or the language used by the parties that must be investigated, in order to determine whether the agency relationship have come in to existence.

This is not always an easy problem to solve and it can involve some intricate analysis of the facts in the nature of the relationship between the parties. It must be solved, however, if the true legal relationship between the parties, and the incidents of such relationship, are to be classified understood, and applied.

In this connection two factors merit consideration, in the light to their necessity for the understanding of the legal nature and function of the agency relationship. They are the consent of the parties and the authority of the agent.

Consent. Several of the definitions proffered by leading writers introduce and ended revolving around the idea that principal and agent have a greed, either in the form of contract, or otherwise, that the agent should represent the principal. Thus, one writer, says that agency is:

...the fiduciary relationships which exists between two persons one of whom expressly or impliedly consents that the other should represent him or act in his behalf and the other of whom similarly consents to represent the former or so to act.

...the relationship which results from the manifestations of consents, by one person to another, that the other shall act on his behalf and subject to his control, and consent by the other so to act.

Similarly another writer has defined agency as “...consensual relationship, and another writer also included the notion of agreement on the part of the agent in his definition of agent.

Authority. The question of the authority of an agent is at the very core of agency. It is complex and difficult, but it must be understood, if the nature of agency is to be comprehended. Authority at one time was regarded as the cornerstone of agency relationship. It remains a vital feature, and the scope of an agent’s authority is frequently the key to an understanding of that relationship and its consequences. The notion of authority is extremely artificial, in the sense that there are many

instances in which an agent is regarded as having authority to act even where it is impossible to say that he has been invested with such authority by the principal. To describe the reasons why the agent's acts produce a change in the principal's legal position by speaking of his authority to act on behalf of the principal is hardly very explanatory. For the purpose of explaining the effects of agency relationship, the notion of authority is extremely useful. It enables a lawyer to state concisely and simply what the agent can and cannot do, and how he can affect his principal positively or adversely.

But as a means of describing the legal nature of the agency relationship, the notion of authority is unsatisfactory, because it does not go far enough. It describes the purposes of the agency relationship, in that it is a relationship by which one person permits (or in law is regarded as permitting) another person to act for him, but it does not say why this permission (authorization) is vitally important to the agency relationship.

This missing explanation is provided by the analysis of the relationship in terms of agent's power to affect his principal's legal position. Modern writers have begun to accept this idea as the explanation of the agency relationship. Thus, a certain writer called agency:

A consensual relationship in which one (the agent) holds in trust for and subject to the control of another (the principal) a power to affect certain legal relations of that other.

Another individual, too, has said that an agent was a person who (inter alia) has power to affect the legal relations of his principal with a third party. Another individual also described the essential characteristics of an agent as being that "...he is invested with a legal power to alter his

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principals legal relations with third persons” and adds, “...the principal is under a correlative liability to have his legal relations altered.”

There are many instances of such a power liability relations. Agency is only one of them. By the agency relationship the agent is invested by the law with ‘ a facsimile of the principal’s own power’. For example, in respect of the making of a contract the agent, in effect, acts in such a way that he produces the same results as if the principal has acted personally and the agent had never appeared on the scene at all. This power is strictly controlled by the law. It may not be abused or misused, so as to benefit the agent to the detriment of the principal. It may not be excessively exercised beyond the limits of its use as created by acts of the parties or operation of the law. Its exercise results in liabilities on the part of the principal and agent alike –though the liabilities differ.

The use of this terminology, it is suggested underlines the argument put forward earlier that the agency relationship is one that is created by the law, not by the conduct of the parties. The parties by contract or otherwise, may bring these powers and liabilities in to existence and operation: they may even restrict, or broaden their scope. But, in the absence of any special agreement the power arising from the creation of agency relationship is derived from the law itself. Indeed the power in question may arise or vest in the absence of any agreement, as is shown by the whole idea of agency by estoppels. One writer called Montrose argued, for example that the base of agency is endowment by the principal of the agent with the power to act, coupled with the exercise of that power by the agent. This endowment of the agent with the power to act results from either:

- i) agreement with the agent that the principal will be bound, which gives rise to actual authority of the agent I.e. agency arising by act of the parties, or
- ii) the principal's showing the third party an intention to be bound by the agent's acts, and his leading the third party reasonable to believe that he will be so bound, which gives rise to apparent authority on the part of the agent, i.e. agency by estoppels.

The notion of authority may be used to describe the way in which the powers of the agent have been circumscribed by the agreement or conduct of the parties. But it does not adequately explain, in legal terms the nature of the relationship between principal and agent. This can best be done by talking of the powers and liabilities that emerge from the creation of the agency relationship.

Once it is recognized that the essence of agency is the power to affect the principal's legal relations with the outside world, the law of agency can be more readily understood. Much of it is concerned with the way in which the conduct of principal and agent (or two persons who are treated in law as being principal and agent) affects third parties. Even the relationships *inter se* of principal and agent is important not merely from the point of view of those parties themselves, but also from the point of view of the rights and liabilities of strangers to the relationship. These two aspects of the agency relationship have been differentiated as external and internal. They may be considered and discussed separately, but it must not be forgotten that they interact. For example the way the agent binds a third party to his principal can affect the agent's right to remuneration or indemnity. Whether the agent has properly performed or exercised his authority may be connected with the position of a third party as a result. The principal's right to

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determine the agent's authority, as between himself and the agent, can affect the third party's rights.

The law of agency is therefore concerned with the powers and liabilities of the principal and agent, i.e., the powers of the agent and the liabilities of the principal.

The other aspect of the definition is to identify the parties involved in agency relationship. Thus, from the definition given above you can see that the persons involved in the agency relationship are: the Principal, the agent, and the third party.

The principal: the person who uses another to perform tasks of a certain kind. This is the person behind the scene in relation to the third parties. It is this person who is the owner of the affair. In short this is the person represented.

The Agent: This is the representative or the person who performs certain acts for the above person, the principal. The agent is the person in front of the event that reacts with third parties on behalf and to the benefit of the principal.

Third Party. This is the person with whom the agent interacts by making contracts or disposing property for the principal. It is this party who is entitled to demand the performance of the obligations that arise because of the act the agent has committed with him; or otherwise duty bound to perform towards the Principal under normal circumstances.

Illustration: Ato Zeleke is an employee of Bahir Dar University. In the Middle of Meskerem he was called to attend a conference in Addis Ababa organized by the Ministry of Capacity Building. The Conference would takes a month's time. In the mean time the salary of the month of Meskerem would be due on 25Th of Meskerem. The department of Finance of the University has a regulation that demand its employees that payment shall only be made from 25-26 of each month. Any employee who does not collect at the above date shall be presumed to have forfeited his right. Zeleke who is aware of this fact has told to his friend Temesgen to collect his salary on behalf of him.

In the above event Zeleke is the principal; Temesgen is the Agent; and the university is the Third party.

We can appreciate here that at least these two individuals are required for the establishment of agency relationship (mainly the internal relationship). But because agency intended to develop a juridical act to bind the principal it is common that the agent interacts with third parties or at the beginning it is intended to interact with other persons. These persons are named as third parties. They are not given specialized names.

Similarly, there are two transactions involved in an agency relationship. These are: the transactions between the principal and the agent on the one hand which is usually termed as a preliminary transaction and the relationship between the agent and the third party on the other hand which is said to be the final contract. Agency may be defined independent of the final relationship but it becomes more sensible

when it is seen with the final relationship and the parties involved too. In the above illustration the relationship established between Zeleke and Temesgen that is the rights and duty that empowers/ binds the latter to collect the salary from the university is the internal relationship and the latter relationship/the external relationship is the relationship to be created by the university and Temesgen, i.e collection of the salary from the university.

An interesting point raised in the above definition also, is the case that not all persons acting for the benefit of another are named agents or principal-agency relationship does not arise in all circumstances where one individual acts for another. Hence, a person is an agent only in so far as his acts can result in some alteration of the legal situation of the one for whom he acts or purports act to. This assertion is affirmed within the definition given above, as the act of the agent must be able to affect the legal position of the principal in relation to third parties. Hence, a secretary under normal circumstances is not an agent unless she/he is authorized by the employer to create legal relations between the latter and third parties.

The Ethiopian law has also identified two sources of agency and has defined agency arising from law and agency arising from contract separately. We are going to look at the two sources separately when we look at sources of agency in the next chapter.

2.2 The Need for Agency

“Yalebalebetu Aynedim Esatu”. This is an adage of the “Abesha”. People get satisfied when they perform their task by their own. This statement holds the literally meaning of the above adage. A person is the best

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manager of his affairs. Does this adage always hold true? But there are different reasons why one cannot /will not perform his/her task by his/her own.

Can you list down the cases where you may not be able/do not want to perform an affair belonging to you but like to use another person? Write in the spaces provided below before you take a look at the next paragraphs.

The necessity for the employment of others to perform certain tasks may be sufficiently obvious not to need elaboration. But from simple instances of the uses of other people in this way there have developed many complex situations, largely the result of the development of commercial life and the need for specialized activity in the fields of commerce, industry and shipping (to mention only a few illustrations). In turn this has resulted in the greater complexity of the law governing the relationships arising from the use of another as a representative or substitute.

The following are some of the reasons and explanations why people want to act through others. Some of them are briefly dealt above but it is dealt in detail below.

- To exploit the expertise of others;
- One cannot be master of all activities. For instance, an accountant may not be able to defend himself in a court of law when sued. Hence, he/she may need to use the expertise of others, lawyers.

- Sickness. One may be unable to appear in a certain place he is required to appear because of sickness. Hence, he/she may act through another.
- Limitation of time; one may not be able to find himself/herself in more than one place at a given time. One may be required for example to appear before a court of law but he/she also required to appear in some other place for another urgent business. In this case either he has to lose one of the places /businesses or he/she has to appoint another person to act for his benefit. When he/she has preferred the second option then that is the necessity of the law of agency.
- Being a legal person. Do you remember your law of persons? Legal persons act through physical persons. Legal persons deady require to act through another. This is not only a matter of choice but it is a matter of their existence, attribute of their personality.
- Sometimes a person may not like to act him/herself to avoid contact with some people; say for example you want to buy a certain book. You come to know that X has presented that book for sale. If you have to present an offer, either he/she may refuse you to accept your offer or he/she may increase the price of the good. To avoid this you may need a way out. That mechanism is to employ another to buy the book for you. This could probably be implemented through undisclosed or partially disclosed agency. These are the modes of expression of power of authority, which we are going to discuss within the chapter dealing with effects of agency.
- Still others may want to act through another because they like to take rest etc.

These are not the only cases where agency is serving us but these are only some of the instances of why people may need to act through others.

2.3 Agency and other Legal Relationships

General

From the definition of agency in the above subsection we can deduce three features of agency relationship. These are: service, representation and power to affect the legal position of the principal. An agent performs a service for his principal; he represents him/her to the outside world; he/she can acquire rights for his principal and subject his/her principal to liabilities and /or benefits. There are other relationships recognized by law which show some of these features. Thus, it remains important to separate and distinguish the relationship of principal and agent from other superficially similar ones.

A. Agency and Trust

At first sight it appears to be a close similarity between the situation of a trustee and that of an agent. Dear distance colleague do you have some ideas about what a trustee is? Trust is not treated as different concept under Ethiopian law unlike the common law system which treats it as an independent transaction/relationship. Under the Ethiopian law trust is treated as one form of bailment. It is expressed as bailment on trust. And the situation where bailment on trust arises is provided under art 2796 as follows:

There shall be bailment on where a chattel, the legal position of which is in dispute or uncertain, is entrusted to a third party, the trustee who keeps it and returns it to its lawful owner when the doubt has been resolved.

The trustee is appointed when legal claim on an object is disputable. A third party trustee is created either up on agreement by the parties or by order of court when the former fails. The owners of the chattel and that of the principal have distinct rights and obligations. However the trustee may not be entitled to dispose the chattel but he is entitled to manage the chattel. That may have certain similarities with that of a general agent, as we shall see in the consecutive discussions.

Trustees like agents can affect the legal position of the people with whose affairs. (I.e. property) they are dealing. To some extent they seem to share and enjoy the same kind of powers. In fact it is believed that the law of trusts and the law of agency have a common origin in the early doctrine of uses. By the eighteenth and nineteenth centuries common law courts treated the agent as more or less in the position of a trustee so far as the principal's confidence in the agent was concerned.

B. Agency and Warehousing

What is warehousing?

A contract of warehousing is contract whereby the one party the warehouseman being duly licensed for the purpose by the public authorities, undertakes to receive and store goods on behalf either of the bailor or of the purchaser of the goods or of a person who received them on pledge. (art 2806 of the Civil Code)

The warehouseman is liable for the preservation of the goods he has received unless it is due to a *force majeure* and the nature or defect of the goods, or their packing. Yet the warehouseman is not free from

liability when he has failed to inform the bailor where he was able to avert the situation. Similarly, the warehouseman is under certain duties apparent to an agent usually of a general agent, acts of preservation than acts of disposition. Dear distance colleague for further information on the alien concept please refer to arts 2807-2824 of the Civil Code.

C. Agency and Bailment

Bailment is the delivery or transfer of possession of a chattel (or other item of personal property) with a specific mandate, which requires the identical *res* either to be returned to the bailor or to be dealt within a particular way by the bailee. It is obvious, therefore, that in a bailment the power of dealing with the thing bailed is transferred to the bailee by the bailor, who becomes liable to have his rights over the thing in question affected by what the bailee does. But a bailee may not be rendering any service to the bailor.

It is possible that an agent may be the bailee of his principal's goods. Indeed this is an essential part of the agent's authority. But it is unusual for a bailee to be the agent of the bailor. And there are two important distinguishing features between agency and bailment.

These are: First the bailee does not represent the bailor. He/she merely exercises with the leave of the bailor (under contract or otherwise), certain powers of the bailor in respect of his property.

Secondly, the bailee has no power to make contracts on the bailor's behalf nor can he/she make the bailor liable, simply as bailor for any acts he/she does. However, it must be added that, in exercising some of

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the powers of the bailor over the property, to have the property repaired or service, the bailee may incidentally involve the bailor in liability on a contract made for the purpose. These situations greatly resemble those in which an agent makes the principal liable on a contract entered in to by the agent in the course of his implied or apparent authority, or in situations of necessity.

In the same fashion a contract of bailment is defined under art 2779 of the Ethiopian Civil Code as:

A contract of bailment is a contract whereby one person, the bailee undertakes to receive a chattel from another, the bailor and to keep it on the latter's behalf.

The purpose of bailment as you can see from the above definition is to entrust the bailee with the preservation of chattels belonging to another. The relationship is apparently looking like agency relationship in that there is a duty of preservation of the chattel belonging to the bailor.

D. Agents, Servants and Independent Contractors

It is useful to begin the discussion by an attempt to define what is meant by a servant and an independent contractor.

A servant generally is one who, by agreement, whether gratuitously or for reward, gives his service to another. An independent contractor is one who by agreement, usually for remuneration/reward, provides services for another.

Both terms describe people who (like agents) have power to act for others: and it is clear, from for example the law of tort that they can, and do affect

the legal position of others. Another common feature among servants, independent contractors and agents is the provision of service of one kind or another. However, these three terms have some identifying characteristics among each other. The main focus although is to see the factors identifying servants from agents and independent contractors from agents.

The servant is said to be some one who is completely subject to the control of his/her master as to what he does and how he does. Whereas an independent contractor is his own master, but must provide what he has contracted to provide in the way of work or services, though he can determine his own method of performance in so far as the terms of his contract permit.

An agent is distinct from a servant, in that an agent is subject to less control than a servant, and has complete or almost complete discretion as to how to perform the undertaking. Therefore, the difference is in the degree of control rather than in the acts performed. The servant sells primarily his services measured by time: the agent his ability to produce results. Similarly, an independent contractor is free from control on the part of his employer and is only subject to the terms of his contract. It all depends up on the terms of his employment. Unlike an agent an independent contractor may not be employed for the purpose of creating contractual relations between his employer and third persons. Such persons work for themselves.

2.4 Who can appoint an Agent?

Dear distance learner, can you imagine which acts can be performed by representative and which require personal performance?

Can you list down which affairs of yours; that you are unable to work by a representation?

Let me give you a clue. Can contract of marriage be concluded by a representative? What about divorce, can it be committed with a representative (agent)? What about to appear before a court of law? In the latter case go to Art 65 of the Ethiopian Civil Procedure Code, it empowers parties to the suit to appear by their representatives unless the law/court dictates otherwise.

Once again refer to Art 1740 – 1743 of the Ethiopian Civil Code. Here, it is provided that performance of a contractual obligation may be carried out by the debtor himself/herself or by a representative/representative(s). Hence, it is stated that the creditor, court or law may appoint a person to act on behalf of the debtor. But under exceptional cases where the personal performance of the debtor is required by agreement or by law, representation shall not be made.

Generally, the principle is representation is possible in all cases but under limited and expressed circumstances where the law expresses otherwise. This is usually when the affair requires a special skill, knowledge or character of persons, in which case the personal appearance/performance is required. Or in some cases parties themselves may limit the power to transfer authority to another for different causes. In the latter cases, to confer authority to another to act on ones behalf is limited. And therefore it is impossible to act through another. And only the owner of the affair can perform.

Hence, it can be concluded that when the law requires affairs so be carried out by the person himself right to act through another is limited. And in all other cases, one can get through another.

SUMMARY NOTES

Agency cannot be defined in a single or two sentences inclusive of all the relevant information of the subject matter. Because the whole law from Arts 2199 to Arts 2265 cannot be reduced into a simple statement, a definition. However, this does not mean that it is impossible to describe it. Agency is defined as the relationship that exists between two persons when one, called the agent is considered in law to represent the other, called the principals in such a way as to be able to affect the principal legal position in respect of third parties by the making of contracts or the disposition of property usually it is defined in terms of its consequences. The parties involved in agency are the principal, the agent and the third party. Agency must be distinguished from other relationships which do not affect the legal position of the parties involved and mainly the principal. A representation intended to serve a social purpose is does not fall under agency in the beginning to act through another was an alien concept. But it becomes a necessity to act through others currently except in provided cases it is possible to act through others. In limited cases, for example in undertakings, organization agency becomes part of their existence. The following are some of the reasons why people act through others:

- To exploit the expertise of others;
- Sickness;
- Limitation of time/resources;
- Legal personality;
- The heed not to appear in front etc.

There are some relationships apparently looking like agency but in fact different. These include: bailment, trust, warehousing, employment, contractorship.

Except in provided cases all persons for all affairs can appoint agents.

SELF-CHECK EXERCISES

1. Why is it difficult to define agency?

2. Who are the parties involved in agency?

3. What are the relationships involved in agency relationships?

4. What are the reasons why people like to act through others?

5. How do you differentiate, agency from bailment, trust, and employment undertakings?

6. Who can appoint an agent and for what affairs?

Hypothetical and Real Cases

1. Ato Kebede has appointed Taye as his agent to buy a packet of soap on credit. Taye going to Ato Ayele's shop has bought the said soap in the name of Ato Kebede. Some days later, Ato Ayele has demanded Ato Taye to pay him the price of the goods sold. But Ato Taye has refused because he has bought the good/soap on behalf of Ato Kebede and not him but Ato Kebede who is bound to pay the price. However, Ato Ayele insisted that it is Ato Ayele who has concluded the contract with him who has to pay the price and not Kebede whose name was merely expressed who shall be liable to pay. Hence, Ato Ayele claimed that Ato Taye has to pay in due time.

- Reread the above case and try to give your answers to the questions listed below.

- 1) Do you feel Ato Ayele would succeed if he insists and institutes a claim against Taye? Why?
- 2) Suppose you are the attorney of Ato Taye, what legal and factual issues would you present?
- 3) Suppose, Taye has bought the soap in his own name, would the result be different?

2. Ato Kebede who is currently a resident of Bahir Dar had a friend in Nazareth. He has heard there was a certain neighbor of him called Alemu while he was residing in Nazareth who has presented an offer of sale of a house to his friends. Having learnt the fact that Ato Ayele is still residing in Nazareth he has appointed Ayele on telephone to buy the house belonging to that common friend. The sale was concluded among Ato Ayele and Alemu on behalf and in the name of Kebede on a reasonable price.

Ato Ayele who has realized that the price of the house was cheap refuses to deliver the good to Ato Kebede.

- Would Ato Ayele be successful?
- Do you feel there is a valid contract of agency? (Hint: an agency contract shall be in the same form where it was entered to conclude a contract with a third party of an act requiring a special form Art. 2184)

CHAPTER THREE

SOURCES OF AGENCY

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Introduction

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3.1.1 Representation of Minors

3.1.2 Representation of Interdicted Persons

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3.1.5 Representation of Legal persons

3.2 Authority granted by Court order

3.3 Agency Arising out of Contract

INTRODUCTION

In the preceding chapters dealt with the origins/history of agency and we have been introduced with what agency is all about. The concept that we have defined in the last chapter i.e. to act through another, or *agency* emanates from two sources. These are: the law and contract/consent. In most cases, the power to act for another is the result of consent of the person to represent and the person represented. But there are also cases where the law itself confers a power of acting in place of another. The former case is agency arising from contract and the latter case is agency arising from law.

In this chapter we are going to look at the cases where the law confers power of agency to individuals. We are also going to look at contractual agency in its making as one main source of agency.

Chapter Objectives:

At the end of the chapter the student will be able to:

- Appreciate the sources of agency;
- Discuss instances in which one may be empowered to represent another person by virtue of the law;
- Discuss reasons why the law empowers persons to represent others; and
- Distinguish requirements for a valid contractual agency.

3.1 Agency Arising from Operation of Law

Usually the choice to engage in civil matters is left to individuals. However the law takes the gap-filling role for the interest of the public. Take a look at Art 2179 of the Civil Code. It provides that agency relationship emerges from two sources: the law and contract. This subsection is made to discuss the former source, the law as a source of agency.

When agency arises out of law the law has some justifications. Obviously, agreement between the principal and the agent is lacking. It is impossible to find the will of the parties and mainly the consent of the principal free from defect. Generally there is no consent to the agent's acting as an agent. Here the law intervenes and for reasons of policy, it treats one person as an agent of another with out any agreement between them. The reasons why such relationships are considered to arise differ. However the purpose of the law may be summarized as:

- To safeguard a person who, without prior agreement, has acted as if he were an agent;
- To give him rights against the person on whose behalf he acted;

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- Possibly, to protect third persons who may have a business transaction business with the one who acted as an agent on his own responsibility.

Hence, whatever the true reason in any given instance, it can generally be said that in all the above instances of representation the explanation for the existence of any agency relationship is neither the consent of the principal, nor the conduct of the principal. Such authority is sometimes named as presumed authority because the authority is really one that is presumed by the law.

In this subsection you will study some of the instances in which a person may represent another with out a prior agreement but up on authorization by law. The following list is instances by which one person may act on behalf of another under Ethiopian law:

- Representation of incapable persons;
- Unauthorized agency;
- Representation by court order;
- Representation of legal persons;
- Agency from cohabitation.

Below a brief discussion of each of the cases of representation that may arise by operation of law is given. Follow the discussions.

A. Representation of Minors

Who is a minor? Under your “law of persons” course, you were introduced with who a minor is as well as the cases by which a person may be authorized to act on behalf of a minor. Similarly under your “law of contracts I”, you have studied that minors and persons under judicial or legal interdiction are generally regarded as incapable persons

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to engage in juridical acts. A minor is a person below the age of 18 years. For the sake of protecting the interest of minors the law safeguards the minor by empowering his/her near relatives for the affairs of the child, without having prior agreement with the minor his/her guardian or persons appointed by him/her can represent the minor. As you remember your “law of persons” course when the minor has no parents the tutor may be appointed by court order. Art 219 of the Civil Code empowers father and mother of the minor guardians and tutors jointly during their marriage. The mothers and fathers of children are empowered to appoint a guardian and/or a tutor. In the absence of parents the court may appoint a tutor.

Similarly you know that, in economic matters the minor is represented by his/her tutor. While a guardian and/or a tutor is appointed to him the minor is not expected to negotiate on the relationship that would exist between him and the guardian and/or tutor. The relationship that would exist between these two individuals is not determined by the two parties but it is priorly determined by the law. Once an individual is appointed as a tutor or guardian by law/court or the parents of the minor, this individual can represent the minor in accordance with the power vested by law.

Dear distance learner, the above discussions are made only to remind you of some relevant points in the law of persons about the emergence of tutors/guardians power to act for the minor. Details of the law of persons rules on the relationship between tutors/guardians and minors is left for your “law of persons” course.

As you remember from your course on “law of persons” interdicted persons are the other group of individuals subjects of protection by the law. Interdiction could be made by law or by courts. When a person is interdicted by court that is called judicial interdiction, while the latter is named interdiction by law. Interdicted persons need to have tutors to make juridical acts. The Civil Code provides that persons interdicted by law are subject to the tutor/s in respect of their person as well as to their property. Hence a tutor is a representative of the interdicted with respect to administration of the affairs of the interdicted person. Similarly, Art 383(1) of the Civil Code provides that “the administration of property of a person interdicted by law shall be entrusted to a tutor, appointed by court. As Art 380(1) defines a person interdicted by law is “one from whom the law withdraws the administration of his property, as a consequence of a criminal sentence passed on him.” Because this individual against whom a criminal sentence is passed is not around his affairs for some period until he/she serves his/her punishment he/she may need somebody for the administration of his/her affairs/interests.

Once a tutor is appointed for the person sentenced to serve certain punishments, the tutor is the representative/agent of the former for the administration of his/her affairs. Dear distance learner, the above cases show instances in which persons are made to act through others. Unfortunately, these persons do not give their consent while the need for appointment of another person to represent them arises. But either the law or the court appoints another in place of these reasons to act for their benefit. This is the central point to say that agency arises out of law.

Though we are going to look at the principles and implementation of unauthorized agency in detail at a latter time, here it is important to look at the nature of unauthorized agency related to its origin to help us relate why is it named agency arising from law.

A person may be at convenient situation to run his/her affairs by himself/herself. Hence, he/she may not need to appoint another and act through another. But others may need to act through another and make it up on their will. That is the best thing. Still others may not be in a convenient situation to appoint others however, they like to do so or they would have done under normal circumstances.

Under certain circumstances where the interest of an individual is at risk, the owner of the affair unable to handle it for different reasons, others are encouraged to manage his affairs, though the owner of the interest does not authorize them. This phenomenon is named *unauthorized agency* under Ethiopian law. The rules of unauthorized agency are governed by the Civil Code provisions beginning from Arts 2257 – Art 2265. Before we make a thorough look at those rules under Ethiopian law, let's take some time to discuss the concept, as it is understood by different literatures and other legal systems/jurisdictions.

In the common law legal system, this type of act where the individuals take the affairs of another without being authorized to do so is called agency of necessity. The idea of necessity is related to the case, although no relationship of principal and agent exists where by the law regards what has been done by someone as having been done with the authority of some other person and therefore as his agent. The usage of

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the term necessity indicates that an unforeseen situation has arisen which carries with it sudden danger to the property or similar interests of the person on whose behalf acts are performed.

Under this legal system one of the ways in which an agency of necessity can arise is where an individual is in possession of goods the property of another and an emergency arises which places those goods in eminent jeopardy. If the latter cannot obtain instructions from the former as to how he/she should act in such circumstances, he/she is bound to take without authority such action in relation to the goods as the latter, as a prudent owner, would himself has taken care of the circumstances.

The Ethiopian case also looks the case of unauthorized agency in a similar fashion. It is defined under Art. 2257 that unauthorized agency occurs where a person who has no authority to do so undertakes with full knowledge of the facts to manage another person's affairs without having been appointed as an agent.

The basic point to note here is, the person undertaking the management of the affairs of another does not have a prior agreement with the owner of the affairs. In addition to this point there are some elements recognized in the above provision for the establishment of unauthorized agency.

These are:

- 1) The person representing another person shall have no contractual authority;
- 2) The acting person executes the representation with the full understanding that he/she manages the affairs without being instructed to do so;

- 3) The acting person cannot effect the representation if there is a possibility having an express authorization.

Dear distance colleague we shall discuss the implementation of unauthorized agency at a latter time. For the moment it is enough for you to appreciate that there are cases where acting for another may arise with out a prior consent of parties in certain necessity circumstances.

3.2 Agency by Court Order

For foreseen cases the law has authorized agents for individuals whom it feels that they need to act through others. In certain cases where the law wants affairs of some individual to be performed/managed by others, it has given the opportunity to appoint agents up on the request of interested persons. Yet, this is made without the consent of the person to be represented. This is not usual unless the economic interest of a person is at stake and he is in a position where he cannot manage the affairs himself.

The management of affairs of the person whose interest is at stake may be initiated by persons who are in touch with the latter. The law under Art 2254 has restricted the group of persons entitled to apply for court for the appointment of an agent.

Art. 2254 application for appointment:

- 1) *An application for the appointment of a curator may be made be the court by a relative or by the spouse of the person to be represented.*
- 2) *It may be made by no other person.*

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What is a relative? What is a spouse? These concepts are those you know under your family law. And hence you are required to look back your family law in your previous studies.

Up on the application of persons who are either relatives or the spouse under Art 2254, the court may deny or grant appointment of agent for the affairs of the person for whose benefit the application is made.

Art. 2255, Decision of the Court

- 1) The court shall not grant the application unless the person to be represented is not in a position to appoint an agent by reason of his being away, ill or for after cause.*
- 2) The courts shall authorize the curator it appoints to carry out such acts as are of an agent nature.*
- 3) The court shall make such order as it thinks fit to safeguard the interest of the person represented and to ensure that the curator will execute any sentence that may be passed up on him in relationship to his liabilities to the person represented.*

The person authorized by court is called the curator. For the appointment of a curator it is only the relatives or spouse of the person to be represented that can apply but the agent/curator to be appointed is not limited to be the relative or spouse. Any body whom the relatives or spouse has applied for may be appointed by the court. The court shall consider such circumstances as: whether the person to be represented is not in a position to appoint an agent (by reason of his being away, ill or for any other cause), it shall also appoint the curator to carry out such acts as are of an urgent nature, and find out and give instructions to the best interest of the person represented and as far as

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possible take every care for taking the liability of the curator in case where the latter is liable in carrying out the duties he is appointed to.

You may wonder why the law has preferred the application for the appointment of a curator to made only by relative or spouses. Do you prefer the application be made by any body? Or do you believe the position of the law is right?

It is felt by the law that the appointment of a curator is dependent on whether the spouse or relatives are in need for the appointment and or/whether the law has preferred for the appointment. These are the determinant factors for the appointment of a curator.

The law seems to have taken a position that the interest of the person to be represented may not be protected when the application is to be made by any individual. But it may be protected when the application is to be made by relatives and spouse. This is the position taken by the law. Yet, this does not guarantee the interest of the person to be represented is at the safest position.

However, the application for appointment of a curator is not without any conditions. By virtue of Art 2254 the court may not grant the application unless the person to be represented is not in a position to appoint an agent by reason of his being away, ill or for other cause yet this statement of the law is not as clear as one could see it at first site.

The court while appointing curator expresses what the latter should do and not do. Hence the extent of the power of a curator is dependent up on the court's appreciation of the circumstances.

3.3 Agency up on Contract

3.3.1 General

Dear distance learner this source of agency is the usual one. Large part of the law of agency is also devoted to this source and hence we shall spend much of the time allotted to study agency here.

In modern times and in most instances of agency relationship there is a contract of agency between the principal and the agent.

3.3.2 Definition

Basically agency is a relationship arising from consent usually expressed in the form of contract. The Ethiopian law of agency has defined agency under Art. 2199. It is provided, as:

“Agency is a contract whereby a person, the agent, agrees with another person, the principal to represent him and to perform on his behalf one or several legally binding acts.”

Look at the definition and try to watch out important points before you begin reading the explanations given below.

The first observation you would make is; this definition looks exclusive to agency arising from contract. Although the term agency implies all kinds of agency arising from law or contract the body of the definition denotes agency as arising from contract. However, agency emanates from law and/or contract no much place is given under our Civil Code Title XIV for agency arising from law. Hence much of the provisions of the Title are for agency arising from contract including the definition provision, Art 2199. Yet this does not cancel the fact that agency arises

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from law as well. This is covered under different parts of the Civil Code, including the law of persons. In fact even in this Title case of unauthorized agency and agency arising from court order are covered. We shall have some time to discuss these cases at the end of this work. But you need to pay attention to the point that agency is not only a contract, it may also arise from the intent of the law maker and/or from the order of the court like Art 2199 intends to reveal.

Secondly, let's look at the elements of the definition given by the law. This helps better understanding of the concept.

A. Agency is a Contract;

This element implies that agency is one special contract. Hence, the principles you have dealt under your law of contracts in general are relevant to agency. It looks unfortunate that Title XIV (Agency) is not made part of Book V (Special contracts). It is a paradox to find agency away from this part of the Civil Code. While the law defines agency as a contract, it is only provided within the book dealing with obligations, Book IV.

Yet, because it is provided that agency is a contract it is necessary that agency relationship has to fulfill the requirements of a contract. This can also be supplemented by the general contracts provisions (Arts, 1676-1677). These provisions are bridges that take us back and forth to appreciate and employ the general contracts provisions for any other forms of relationships including agency and extra contractual relationships as well. Hence, by virtue of Art 1676(1) the general provisions of contracts in general shall apply to contracts regardless of the nature and the parties in general and to agency in particular.

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Therefore the phrase “Agency is a contract...” within the above definition allows us to wander the provisions of contracts in general from arts 1675 to Art 2026 save to the restrictions under Art 1676(2).

As a contract, agency relationship need to pass through the requirements of a valid contract. In the absence of this it becomes invalid. Hence, agency formed between parties may be valid and invalid.

What is valid agency?

Where: a) The parties are capable of contracting;

b) The parties give their consent sustainable at law;

c) The object of the contract is sufficiently defined and is possible and lawful;

d) The contract is made in the form prescribed by law, if any.

These elements are the extension of Art 2199, 1676 and Art 1678. Below the elements of a valid agency contract are discussed.

a) Capacity of the principal and agent

When we require the fulfillment of capacity in agency contract we are requiring the contracting parties (the agent and the principal) to be capable. What is meant by the principal and agent must be capable?

You have dealt with capacity under your law of persons. There are certain groups of persons whom the law wants to protect while entering into juridical acts.

These groups of person are:-

- The minors;
- The legally interdicted persons;

- The judicially interdicted persons;

We are not going to look at the constitutive elements of each of the incapable groups listed above. But it is important to notice that the principal and the agent need to be free from the fact that both or either of them are/is within one or any of the above instances of incapacity. As you know the first two groups relate to total incapacity and the other two are cases of partial incapacity. Hopefully you know the effects of non-fulfillment of capacity requirement under your law of contracts I course. Hence we shall not devote much time here but let's see one instance of incapacity the case of minor. This would help us appreciate other cases of incapacity too.

Can a minor be an agent /principal? Take time to respond to this question before you go through the explanations given below.

You have learnt under your contracts law that the law does not prevent prohibit minors to enter in to contractual agreements but it provides a protection when their interest so demands. As you would notice the provision under Art 1808(1) of the civil code, only the person who alleges that he is affected by defect in the consent (incapacity and/or defective consent) can demand the invalidation of the contract. This implies that if the incapable (minor) does not allege for the invalidation of the contract (within the time given: two years from the time where the ground disappears. Art. 1810(1)) the contract is valid. When this general rule is reduced into the law of agency, it is meant that there is no prohibition generally for a minor to be an agent or principal.

Therefore it is left for the particular individual to decide to be an agent while he/she is a minor. Once the principal for example has decided to form a contract (contract of agency) with a minor the latter being an

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agent, until the agent demands invalidation the contract remains valid. Even when the time to demand invalidation expires the minor is barred to raise the ground of incapacity to invalidate the contractual relationship.

But the third party with whom the agent is going to interact on behalf of the principal may be reluctant to agree with the agent. This is because the agent (minor) may invalidate it whenever he demands to do so. Hence, the principal may fail to pursue his interest. And this results in unstable transaction.

Therefore we can conclude that there is no prohibition from the law for a minor to be either an agent or principal but it is practically unlikely to be implemented. For not usually the principal but the third party may not be voluntary to enter into such contracts subject to invalidation.

b) Consent

The contracting parties to the contract of agency must give their consent sustainable at law. Contract is after all meeting of minds of parties (the agent and principal). In principle any defect that affects free consent which would come from either of the parties or a third party does not give rise to a valid contract.

As you have learnt under your law of contracts course consent may be affected by mistake, fraud, false statements, and duress. Such contracts affected by one or more of these cases is subject to invalidation.

Similarly the consent of the agent and the principal has to be free from defects. An issue of interest here is whether the invalidation of the

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internal relationship also invalidates the external relationship executed by the agent in accordance to the power conferred on him by the agreement or the law. However there is no clear provision governing this situation in black and white from the law of contracts in general and law of agency we can gather the following conclusion. If the invalidation of the contract concluded between the agent and the principal is sought after the agent has executed the representation the invalidation of the contract of agency has no effect on the representation. Unless the main contract itself is affected by the factors vitiating consent and parties to the representation (the principal and the third party) ask for the invalidation of the representation, the invalidation of the contract of agency has no impact on the validity and enforceability of the representation.

c) Object

The general contracts principle provides that the obligation assumed by each party in a contract must be:

- Sufficiently defined;
- Lawful;
- Moral;
- Possible

The obligation assumed by the agent and the principal must similarly fulfill the above requirements. The failure of the obligations assumed by both or either of the parties to conform to all the above requirements makes the contract void. What is the object of a contract of agency? The object of a contract of agency is the obligation assumed by the agent and the principal. The obligations an agent owes to the principal and the obligation the principal owes to the agent makes up the object of contract of agency. The objects/ duties of the parties shall be found

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from the contract-giving rise to the agency relationship. The obligations to be assumed by the agent and principal are to be discussed at a latter time in a more detailed fashion. For the moment it is enough for you to understand that the object of contract of agency is the obligation assumed by the agent and the principal. You should not confuse the object of contract of agency with the subject matter of the contract.

Illustration

- 1) The principal has appointed the agent to buy a good under contraband from Jijiga. But the agent has failed to perform in accordant to the agreement. Would the agent be liable? Not. Because, to buy goods on contraband is prohibited by law and the object assumed by one of the parties was illegal object.
- 2) The principal organization has appointed the agent to engage into trafficking of children from a remote country to engage them into prostitution. The object assumed is both immoral and illegal at the same time. Hence this is a void relationship.

d) Form

As you have gathered from your law of contracts course not all contracts are required to be made in a special form. But only those contracts provided by law need to fulfill special formality. That is why the requirement of form is made conditional under Art 1678(c) of the civil code, (*...if any*) and it is provided by Art 1719(1). The latter provision denotes that there is no special formality to be met in principle for the validity of a contract. However, when the law provides that certain form need to be fulfilled, until the contract is made with that special form (like writing, registration...) there shall be no contract formed but remains to be mere draft.

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When it comes to agency, like the principle goes there is no special formality requirement for a valid agency contract. It can be made in any form: orally, in writing etc.

Special formality is required when the act, which the agent is authorized to do, requires a special form. As envisaged by Art 2180 cum 2200(2) of the civil code, the case where agency is required to be made in a special form, “the authority to enter into such contract... shall be given in the same form.” Where are we going to find these requirements? It is provided in different substantive and procedural laws including the civil code. Hence, when the agent is to be authorized to buy or sale an immovable for example, the power conferring such authority is required to be made in the form requiring sale of an immovable. That requirement is envisaged under Art 1723 and Art 2877 of the Civil Code.

The other case of requirement of formality for agency is provided under proclamation no. 324/2003. Art 5 of this proclamation lists down documents to be registered and authenticated. Among these, power of an attorney to represent his/her clients in front of court of law is required to be made in writing, registered and authenticated. In all other cases unless the law expressly provides, agency is valid however it is not made in any special form.

However, it is common to see people requiring written and authenticated power of authority to enter into a contract of whatever nature.

Suppose you are a cashier of certain government institution and an employee from your institution has gone to some other place and he has orally appointed his friend, a staff in your institution to collect his

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salary for a single month. Are you going to pay him the salary of the principal?

Naturally you are expected to say no; because you may not be sure that he has been actually appointed an agent by your staff. How are you going to know that this individual has in fact granted power to collect his salary on his behalf?

To fill this gap you may demand the so-called agent to present you evidence showing the fact that he was appointed an agent. Even when he/she presents you a written instrument showing the fact that the staff has appointed the former an agent, you may not be satisfied with this document for this document may be prepared and presented by the agent himself. This is especially true when you do not know the calligraphy or signature of the so called principal yet former knowledge of the calligraphy or signature of the so called principal does not guarantee that the so called principal has granted power of authority to the so called agent to collect his salary. Hence, you need an additional fact to prove the fact that the principal has appointed another person, the agent, to collect his salary.

The way out to solve this problem is to demand the principal either to authenticate the document evidencing the power or he himself to appear in person or by a similar fashion and prove that he has appointed another, the agent to collect his salary. And hence, the third party demands the authentication of the act evidencing the power of authority in front of a public authority. However, there is not law requiring all documents evidencing power of authority to act through others to be authenticated, for he sake of protecting the interests of third parties from mischief they require it to be authenticated by a government organ. This act is usually done by the Acts and Documents

registration office in Addis Ababa and by Justice Bureau's of Regional States.

Therefore, you see people keeping a written and authenticated power of authority in every agency, not because formality requirements of contract of agency require but because it is required by the third party to prove the existence of capacity in the beginning.

B. Parties to the Contract of Agency

Dear distance learner, do you remember the definition of a contract under Art 1675? A contract requires in principle at least two persons. Similarly agency requires at least these persons. These persons are given a specialized name by the law here: the agent and the principal. The principal is the represented and the agent is the representative. The principal is the person whose affairs are to be performed by another person. He/she is the one who acts through another person. This latter person who represents the interest of another in the agency relationship is the agent.

As the parties in a sales transaction are named seller and buyer, the contracting parties in an agency relationship are named principal and agent.

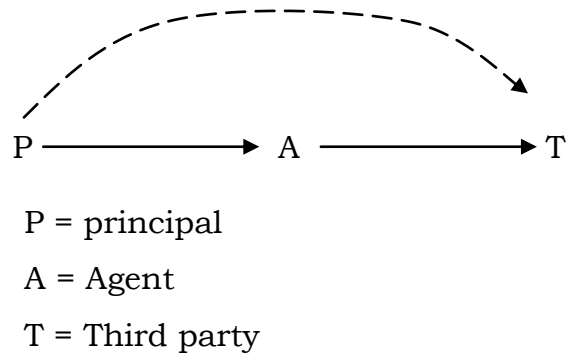
C) It is to represent the principal and to perform on the latter's behalf one or several legally binding acts.

Agency is aimed at the agent acting on behalf of the principal, not on behalf of the agent himself. If the agent acts for his benefit that does not establish agency. In the making, agency is established when it is intended that the agent acts to the benefit of the principal.

Similarly, the contract of agency must intend in such a way that the agent is going to make acts which one way or another affect the legal position of the principal. Those acts which affect the legal position of the doer are named juridical acts. Hence, not all representations or acting on behalf of another establishes agency relationship but the representation must be of the nature that affects the legal position of the principal. Ordinarily speaking the agent need to interact with third parties in such away that his act results in developing a right and /or duties toward the third part or vise versa.

Hence, the ultimate result of agency brings the principal, the agent and third party to a certain kind of relationship. The third party is the one with whom the agent interacts on behalf of the principal. It is not given a special name. Similarly there are three relationships involved in an agency relationship. These are: a) the relationship established between the agent and the principal. This relationship is called the internal relationship. b) The relationship between the agent and the third parties. c) The relationship between the principal and the third party. The latter relationship is established only when the agent and the third party relationship is lawfully established. This relationship is blurred until the agent has successfully and lawfully carried out his duties. The latter two are named external relationships.

You may look at the following diagram to summarize the number of parties and transactions involved in agency.



There are three parties involved in the above diagram. These are: The principal, the agent and the third party.

There are two vivid transactions and one hidden relationships involved as shown in the diagram. These are the relationship between the principal and agent; the relationship between the agent and the third party; and the relationship between the principal and the third party. The last relationship is not visible at the beginning. It shall be established when the agent has acted in accordance to the relationship and the law. We are going to look the details of these relationships at a later time when we deal with the effects of agency.

SUMMARY NOTES

Agency could arise from two sources: the law and consent/contract. In most case it is the agency arising from contract that comes into ones mind when we think of agency. But there are cases where the law may create agency principal relationship among individuals. It does not require the consent of the agent and the principal. It is aimed at protecting the interest of certain groups of the society: the minor; the interdicted both the legally and judicially interdicted persons, legal persons, unauthorized agency. As you have dealt under your law of persons course, these persons are represented by a guardian/s or a tutor/s for their civil relationships /needs.

The reason why these groups of persons are represented by certain persons, the minor by his parents for example is justified by:

- To safeguard a person who, without prior agreement, has acted as if he were an agent.
- To give him rights against the person on whose behalf he acted;
- Possibly, to protect third persons who may have transacted business with the one who acted as an agent on his own responsibility.

The court may sometimes also be source of agency. When the interest of persons is at risk because of their being unable to manage their affairs themselves, by the application of persons in charge the court may appoint an agent to manage an interest at stake. This person is named as a curator.

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Much place is given under the Ethiopian law of agency arising from contract. It is a contract where by a person the agent agrees with another person, the principal to represent him and to perform on his behalf one or several legally binding acts.

Agency being a contract has to pass through the requirements of a valid contract for its validity and enforcement. Therefore a valid agency contract must fulfill the following:

- Capacity of the parties engaged;
- Consent of the parties must be sustainable at law;
- Object of the relationship must be lawful, possible, well defined and moral
- Formal requirements when required must be fulfilled.

Capacity is the case where both the agent and the principal must be capable. However, the incapable are not prohibited to be agents or principal, when one or either of them are incapable the contract may be invalidated up on the request of one of them to court.

Similarly, the parties engaged (the agent and principal) shall give their consent free from defect i.e. the consent which is the basic element in the formation of contracts must be free from mistake, fraud, duress and similar vice of consent.

The object of contract of agency is the duty assumed by the parties the agent and principal. The duties assumed by one of the parties individually or both of them cumulatively must be something possible, lawful, moral, and well defined.

No special formality is required of agency. Agency may be made orally, in writing or in any manner the parties like. This is the general

principle. But when the purpose of the relationship dictates the agent to perform acts which require a special formality required by a special law, has to be made in that special formality. For example if the object assumed by the agent is to enter into contracts of sale of an immovable, which is required by Art. 2877 of the civil code to be in writing, then the contract conferring this authority has to be in a written form .

The effect of non-fulfillment of one or either of the requirements of a valid agency relationships differ. When the requirements of capacity and consent are not fulfilled, the contract is voidable. And when the object and formality requirements are not fulfilled, then the contract is void. It follows that when the contract is defective in one or either of the requirements, the procedures and effects of invalidation differs.

A contract of agency involves three persons: the principal, the agent and the third party. The principal is one represented: the agent is the representative; and the third party is the one with whom the agent undertakes a relationship on behalf of the principal.

Similarly, there are two relationships involved in agency contract: the internal contract, the relationship between the agent and the principal and the external relationship, the relationship between the agent and the third party and the relationship between the principal and the third party. We can say that the relationships are three in number. The last relationship is established after the agent has discharged his duties in accordance to the law and the intent of the parties.

Agency is entered the agent to represent the principal and to perform one or several legally binding acts on behalf of the represented. Not all acts committed by one on behalf of another that is named as agency. But the representation must one way or another affect the legal position of the person represented.

SELF CHECK EXERCISES

a. What are the sources of agency?

b. What are the reasons why the law confers power on certain persons to act on behalf of others?

c. What is a curator?

d. What is unauthorized agency?

e. What is meant agency arising from contract?

f. What are the requirements of a valid agency contract?

g. Is an incapable person entitled to be an agent? Explain

h. What is the object of contract of agency?

i. How do you explain a form of contract of agency?

j. Who are the parties to a contract of agency?

k. What are the relationships involved in an agency relationship?

l. What is the effect of the invalidation of the internal relationship up on the external relationship?

m. Do all representations made give rise to agency relationship?

Explain with examples.

Hypothetical and Real Cases

1. A contract of agency was concluded between Ato Genetu and Matias (a 16 years old boy). Matias both in the name and on behalf of Genetu with in the scope of power of authority has sold a sheep for Zelalem for Birr 150.00 (one hundred fifty Birr). Ato Zelalem and Matias have also explicitly agreed that the buyer is going to get paid the price from Ato Genetu when he delivers the sheep.

Matias after he has concluded this contract, for he does not need to remain agent of Gentu, applied to a court for the invalidation of the agency relationship and the court has declared the contract invalid for reasons of incapacity.

Matias does not pay the price of the sheep to Ato Genetu. When Ato Zelalem went to Ato Genetu to get the sheep delivered to him in accordance to the agreement concluded with Matias (the agent), Ato Genetu was not voluntary to deliver the sheep raising the following causes:

- i. The agent was only 16 years old while he was concluding the contract.
- ii. Because the agency relationship is invalidated for the above cause it cannot be enforced.
- iii. If it can be argued that the contract is valid, the buyer does not pay the price of the sheep.

Question

Give your law supported reasons for each of the causes stated above.

2. “However in Ethiopia authorities are conferred not only in a written form but also authenticated in front of a public authority usually Justice Bureau or its branch Offices at the Zonal and Woreda level), there is no formal requirement for a valid contract of agency and it can be committed/ conferred even orally” comment.

CHAPTER FOUR

FORMATION AND OBJECT OF CONTRACT OF AGENCY

CONTENTS

4.1 Offer and Acceptance for the formation of contracts of Agency

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4.3 Authorities of an Agent

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4.3.2 Apparent Authority

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4.4.1 Disclosed Agency

4.4.2 Partially Disclosed Agency

4.4.3 Undisclosed Agency

INTRODUCTION

Formation is a necessary element for contracts. Consent is an essential element for the formation of contracts in general and agency in particular on its part. Offer and acceptance are the two modes of expression of consent. The scope of power of the agent in an agency contract is determined by the contract formed by the parties or the law giving rise to the power of authority. A power conferred to another to work on behalf of one is either general or special.

Furthermore the authority of an agent whether general or special is divided as: actual or apparent. Actual authority is an authority given and apparent is an authority not given but seeming to exist in the eyes of third parties. There are three modes of representation made by the agent while working in place of the principal: disclosed form of representation, where the agent reveals the fact that he is an agent of a named principal to third parties; partially disclosed principal, where the agent fails to disclose the name of the principal but make known to the third parties that he is an agent. The third form of representation is the situation where the agent has failed to reveal any of the above facts to the third party.

The details of the above allegations are discussed in the text below.

Chapter Objective:

At the end of reading this chapter the students will be able to:

- Identify forms of offer and acceptance to establish contracts of agency;
- Appreciate the scope of a power conferred on the agent;
- Explain the scope of power of an agent conferred on the agent;
- Discuss the powers and authorities of a general agent;
- Realize the powers and authorities of a special.

4.1 Offer and Acceptance for the formation of contracts of Agency

Consent is a vital element for contracts. A contract is formed via consent expressed by the contracting parties. Consent is expressed through offer and acceptance. There is no special form where offer and/or acceptance in the case of agency is to be expressed. It can be

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made “orally, or in writing or by signs normally in use or conduct such that in the circumstance of the case there is no doubt as to the party’s agreement”, unless the party who has presented an offer demands a special form of acceptance. [Look at Art. 1681 of the civil code].

Acceptance of an offer of agency can be made either expressly or impliedly. The term expressly indicates the fact that acceptance can be made by any form less of silence. Impliedly as provided by Art 2201 of the Civil Code the fact that agency contract is assumed/presumed formed, when the offeree remains silent for an offer requiring formation of agency. Yet, the formation of agency requires an express acceptance where the offeree is the one who “carries out in an official capacity or professionally, or where he holds himself out publicly” of such functions which he/she is required in the offer to be an agent. This is envisaged under Art 2201 of the Civil Code. Those offerees who require an express acceptance for the formation of contract of agency are points of dialogue among us. Which groups of persons are they? These include: attorneys, forwarding agents *del credere* agents, and commercial agents, etc who carry out such functions for their livelihood, professionally.

4.2 Scope of Agency

Once a contract of agency is formed, the parties to the contract of agency assume the obligations that arise out of “the terms of the contract and by such incidental effects as are attached to the obligations concerned by custom, equity and good faith, having regard to the nature of the nature of the contract of agency “ (emphasis added). This is provided by Art 1713(1) of the civil code as rearranged in conformity with the agency provisions.

The scope of the power assumed by the agent is determined by the contract-giving rise to agency. Yet, the scope of the agency assumed by the agent might not be expressly determined by the contract. In the latter case it is determined by the nature of the transaction to which the agency relates [Art. 2202].

The scope of agency conferred on the agent may either be special or general as provided by Art 2202(2) of the Civil Code. A power conferred to an agent is either special “for a particular affair or certain affairs only, or general for all the affairs of the principal.” However an agent may be conferred both special and general power of authority in a single transaction for different affairs these two powers exist exclusively. This means when the scope of the power conferred is meant general agency, it can by no means be a special power.

4.2.1 General Agency

Depending on the scope of the power conferred on the agent the authority one has received may be general agency. Such type of agency is conferred in general terms. In such cases, however it is not an easy task to classify a power conferred either as a general or special agency is an agency conferred to the agent in such a way that the former is empowered to manage the affairs of the principal. Usually, it is expressed in terms like: all my affairs, anything related to my property, any affairs which I am called to perform etc...

The scope of such authorities conferred in general terms is limited only to the management of the said affairs. It is confirmed under Art. 2203

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that “agency expressed in general terms shall only confer up on the agent authority to perform acts of management.”

General agency relates to preservation/maintenance of those affairs/ rights of the principal. A general agent is given the power to do a number of transactions involving a continuity of service. A person, conferred with agency in general terms is only empowered to sustain the rights of the principal and is not empowered to perform acts of disposing the rights of the principals. Hence, such agents have a limited power less of disposing the rights of the person represented.

These acts of the agent are said to be acts of management. What are acts of management? The law has unequivocally listed down those acts, which are named acts of management under Art. 2204. These are:

- Acts done for the preservation of maintenance of property;
- Leases for terms not exceeding three years
- The collection of debts
- The investment of income;
- Discharge of debts

These acts are acts of management of a similar nature in terms of preserving the rights of the represented.

Similarly:

- the sale of crops;
- the sale goods intended to be sold; and
- The sale of perishable commodities and others similar acts are categorized as acts of management.

However these acts are acts of disposition, a close look at these activities reveal that the purpose of conferring power to conduct these

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activities for an agent protects the loss of the rights of the person represented. And hence, these acts are acts of management. Dear distance learner, you are required to appreciate each of the activities listed under Art. 2204. All of them are relief cases where the law is interested to preserve the interest of the person represented.

Look at a power of agency given from Seifu to Mollalign. Ato Seifu is owner of a house in Bahir Dar City Kebele 14. He has decided to leave Bahir Dar for Addis Ababa for two years. He has also an interest to upgrade his house to a modern standard. This requires him to contact third parties like the Municipality of the town, the Kebele Administration and similar organs of the town. At the same time he has to attend his education in Addis Ababa for two years. At this stage can you explain what kind of agency he could confer to his agent Mollalign? Is that preferable for him to confer a general or special power? Obviously he is advised to confer a general power of authority. This is because he is only interested on the agent to do acts of management and not acts of management.

4.2.2 Special Agency

Special agency is an authority different from general agency in that it empowers the agent to dispose the rights of the person represented. Sometimes this authority is named as act of disposition. A special agent is a person who is given power by the principal to act in a particular transaction. Usually, it does not involve continuity of services unlike general agency. For example, an agent empowered to deliver a truck to a third party is a special agent. In the case of special agency the act to be performed by the agent is specifically provided, like: sale of a house, lease of a land etc. The power given to a special agent is broader than a

general agent. However, it is apparent that the power of the general agent looks so broader in scope.

What is meant by a particular affair or certain affairs only under Art 2202(2) of the civil code? The terms signify the fact that the acts to be performed by the special agent have to be specified in such a way that the agent and the principal have priorly agreed on what acts are to be performed. Special agency confers up on the agent authority only to conduct the affairs specified by the agreement and their natural consequences according to the nature of the affair and usage. [Look at Art. 2206(1)].

It is provided in the form of an illustrative list under Art. 2205 that these acts require a special power. Where an agent is called up on to perform acts other than acts of management, a special authority is required. [Art. 2205(1)]. This allegation of the law makes the list of acts under sub 2 of the same provision an illustrative one. And hence, not only those acts listed but similar acts of disposition other than those of acts of management require a special authority of the agent.

Now let's look at each of the affairs that require special authority as listed down under Art 2205 (2). This helps us to add similar cases that require special authority and in turn to identify those acts which do not require special authority.

- i) alienate or mortgage real estate; to alienate a real estate (big interest for the principal) requires the principal to decide on it with the knowledge of its consequences. It cannot be effected by a mere general statement made by the principal. It requires him to make an express statement that he has conferred a special agency on the representative to alienate his estate. Similarly, it requires a special authorization for an agent to

mortgage a real estate (an immovable for example). Because mortgage may ultimately result in disposition of the property (real estate).

- ii) To invest capital: Unlike investing income which is only an act of management, investing capital belonging to the principal requires a special authority. Do you see the difference between capital and income? Why does investing a capital require a special agency while income does not? Take time to appreciate the reasons. The answer lays on differentiating between capital and income.

The law has differentiated between these two acts in such away that the general agent needs to be able to invest the income of a certain business which he is appointed as a general agent. This is because he/she is denied to the interest of the principal.

Take this case. An individual who has been running restaurant business has intended to leave for abroad and hence has appointed a friend of him in general terms. According to Art 2204(1) the agent is empowered to invest the income he collects from the business. That is meant he may buy sheep to slaughter for the restaurant, he may buy some other raw materials for the business. That is investing income. But he is not authorized to begin a new business for example with the money he has earned from the restaurant business. That is investing capital.

- iii) To sign bills of exchange: This is purely empowering a third party to draw money belonging to principal. This obviously requires a special authorization.
- iv) Effect settlement, consent to arbitration. These acts require a special authorization from the principal. This is because

effecting settlement or that of arbitration require disposition of rights of the principal.

- v) Make donations: A person only authorized in general terms, cannot make a donation which requires a special authorization.
- vi) Bring or defend an action: Once again an individual cannot bring an action or defend a case until he secures a special authority from the principal.

Dear distance colleague look at the case below appreciated by one of the courts of Ethiopia. This relevant in a[appreciating the scopes of the agent. It was between Almaz Tefer and the Municipality of Hosa'ena.

This was a case where the plaintiff claims that her piece of land in the town of Hosa'ena was expropriated by the defendant without paying her in accordance to the law of the country. She prays for the order of the law of the country. She prays for the order of the court for the restoration of the property and to grant her compensation for damages and costs of litigation.

The defendant in its statement of defense pleaded that the amount of compensation was paid to Ato Delelegn Kassa, the plaintiff's authorized agent and attorney. It further alleged that if the agent denies this payment, it is able to prove it. But it is admitted by the agent, the defendant is not liable and hence let the suit be dismissed. To prove this allegation the defendant has produced two documentary evidences:

- a) an agreement in which the plaintiff and her relatives appointed Ato Delelegn as their agent and attorney to represent them in suits of land or other property, in which they may sue or be sued.
- b) That money was paid to Ato Delelegn by the defendant and payment voucher was produced as evidence.

However, the plaintiff reaffirmed that Ato Delelegn was authorized to bring or defend action but not to receive payment.

The court held as follows. The case involves the question of agent's scope of power. It is not disputed that Ato Delelegn is the plaintiff's attorney and agent. However, the plaintiff argues that Ato Delelegn's power is limited to representing her in legal proceedings and that he has no power to receive payment on her behalf. On the other hand the defendant argues Ato Delelegn has a power of attorney as well as authority to receive payments. As mentioned by above, we say that Ato Deleleng is plaintiff's agent and attorney. Then the court goes on to restate the definition of agency contract and special agency as provided by the law. The court decides that when an authorized agent fails to hand over to the principal money that he has received on behalf of the latter, the principal must demand (sue) the agent and the third party who has carried kout its obligations. Hence, the court has dismissed the casein favor of the defendant.

Dear distance learner, have you gone through the facts, the argument and the rules employed to dissolve the dispute? Do you find it sound?

How would you have solved it, had you been the judge of this case? Different from what is provided above. Use the spaces provided below and jot down the main points you would include in your judgment, if you feel yours is different from the judgment given by the court either in the arguments or final disposition.

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The court has rightly identified the fact that the agent was authorized to bring and defend suits. No express authorization was given to Ato Delelegn to receive payment on behalf of the plaintiff. But the agent is given a general authority because he is named agent of the principal. The question here becomes whether a general agent can receive payment on behalf of the principal. Art. 2204-2205 identifies groups of special and general agency acts. In these provisions “Collection of debt” is an act of management which can be committed by an agent empowered in “agency expressed in general terms.” Therefore collection of debt is part of an act of management. But to bring or defend an action requires a special authorization by the principal. Hence the judgment of the court was sound.

4.3 Authorities of an Agent

The authority of the agent is the power within which the agent can act with the effect of making the principal liable with third parties. It is provided under Art. 2206(2) that anything that the agent does in excess of that authority will not affect the principal either to benefit or make him liable unless he has acted *post facto* acknowledges the act done, in accordance with the doctrine of ratification which we are going to assess at a latter time. Moreover, if the agent acts outside his authority he may be liable to his principal for breach of the contract of agency or otherwise; or to the third party for breach of warranty of authority.

The authority to act on behalf of another is the result of actual authority. And the act of one on behalf of another brings the effect of linking the represented with the representative only when there is an authority actually given. Yet, there are also authorities which do not actually exist but looking like to exist, apparent. These two varieties of

authorities to act through another are actual or as it is sometimes called real authority and apparent authority. The relevance of this group of authorities for our legal system shall be discussed below.

4.3.1 Actual Authority

Actual authority is the authority which in fact the agent has been given by the principal under the agreement or contract which has been made between them or by virtue of subsequent ratification or by law.

Actual authority exists in two forms: express and implied. By virtue of the above mentioned provision, Art. 2206 the authority of the agent to act for another arises from what are specified by the contract, express authority and their natural consequences according to the nature of the affair and usage, implied.

In one case, it was asserted by the court that, an actual authority is a legal relationship between principal and agent created by a consensual agreement to which they alone are parties. The extent of the authority is to be ascertained by applying ordinary principles of construction of contracts including any implications from the express words used in the contract..

Express authority is specifically created and limited by the terms of the agreement or contract which give rise to the agency relationship. It is express when it is given by express words such as when the principal authorizes the agent to deliver a truck of a specified type to a third party in a given time and place.

Implied authority on the other hand is one implied from the nature of the business which the agent is authorized to transact in express terms. For example where an agent is empowered to conclude a written and registered sales contract with a third party, it can be implied that this agent is empowered to buy a pen, a piece of paper, or sometimes to employ an expert to prepare a written contract when required by the law. Implied authority is important for the carrying out of the authority expressly granted. Moreover, where such implication can be made they are made on the basis that the principal has in fact consented to the agent's having authority to act in such a manner or as regards such transaction. Hence, if there is evidence that the principal has consented otherwise or not so consented, then this implication cannot be made. The important feature to note here is that the consent of the principal is a necessary part of implied authority. Hence this authority is one aspect of the agent's actual or real authority.

4.3.2 Apparent Authority

Apparent authority is not an authority arising from the consent of the principal whether express or implied according to the rules discussed in the preceding section. The agent's authority here is the product of the principal's conduct, his conduct that the agent is authorized to act on his behalf. It is an authority which apparently exists, having regard to the conduct of the parties. In fact/reality, it does not exist; but as a matter of law arising out of the factual position of the parties in the eyes of third parties. In these circumstances third parties assume that the agent has authority to act on behalf of the principal.

Apparent authority must be carefully distinguished from implied authority we have discussed in the above section. Implied authority is

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the authority which in fact the agent possesses as a result of the construction of the contract of agency in light of the business efficacy or of the normal practices and method of trade, business, market, place or profession in which the agent is working. Apparent authority on the other hand is the authority which, as a result of the operation of the legal doctrine, the agent is considered possessing, in view of the way a third party would understand the conduct and statement of the principal and the agent.

Unlike the common law notion of apparent agency/authority, under Ethiopian law it does not, in principal result in the effects of agency. Yet, it does not mean that apparent authority does not result in the liability of the principal towards the third party and the agent is free from liability. When the agent has acted with an apparent authority, both the principal and the agent are liable towards the third party with which the agent has acted.

What is the nature of apparent authority under the Ethiopian legal system?

It is provided under Art. 2195 that the principal is liable with the agent in three cases:

- i) Where the principal has informed a third party of the existence of the power of attorney but failed to inform him of the partial or total revocation of such power;
- ii) Where the principal failed to demand the return of a document evidencing power of attorney, if any;
- iii) Where the statement, behavior has made third parties believe for the existence of authority.

Now let's discuss each of the cases that give rise to apparent authority.

- i) Third party being informed existence of authority by the principal.

What is meant by *power of attorney*? There is confusion in the usage of the phrase *power of attorney* within the agency provisions of the Civil Code. It used to mean a written authority which is named a deed under the common law. As well it is used to mean power of authority. Look at the Amharic version of article 2182(1)... ከአንድ ጽሁፍ የተገኘው ስልጣን ይቀራል : Even the English Version of the Civil Code uses the two terms interchangeably and results in the confusion.

The Civil Code was originally drafted in the French Language then translated in to Amharic and English. Unfortunately, a number of discrepancies exist between these versions in Chapter 1 of the Agency Title, Title XIV. One of them is related to the usage of the above two terms. The English versions of Arts 2181, 2182, 2195(a) speaks of a “power of attorney”. A power of attorney is sometimes thought to be a formal written document, deed as named in the common law. The French merely uses the word “power” (*pouvoir*) or the words “power of representation” (*pouvoir de representation*) neither of which embodies a requirement or implication of formality or of a written document. The same is true of the Amharic (ስልጣን ወይም የእንደራሴነት ስልጣን). Therefore the English words “power of attorney” within the Civil Code should be read merely as “power” without any implication of special formalities or of a written document. For further translation notes please look at A commentary on the Law of Agency- Representation in Ethiopia, by W.L Church, Journal Of Ethiopian Law Vol. III No. 1 pp. 314-316.

And hence, the term attorney under Art 2195(a) is the authority the agent has acquired. Once an authority is established to the agent from the principal, the latter may inform this authority to third parties as an

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additional evidence (to the third parties) for the existence of power of authority for the agent to act on behalf of the principal. In this case even when the authority comes to an end either partially or totally by a unilateral declaration of the principal (ratification) or by way of agreement the third party to whom the establishment of the authority was informed need to be informed too as to the new fact. Hence, even if for the establishment of agency between the agent and the principal there is no need for the principal to inform to third parties, if he has done so, revocation of the power does not bring the obligation to an end concerning these third parties. That information given to third parties need to be revoked by the same speech made to the third party. The none fulfillment of this is making the principal liable with the agent. This is equivalent to the Amharic saying which goes, “በላረላፉ በእፍ ይጠፋ”

- ii) Failure of the principal to demand for the return of document evidencing agency: when the power to act for another is evidenced by a written instrument the revocation of authority is not alone sufficient to terminate the relationship between the principal, the agent and third parties. This is because the agent even when his authorities are terminated conceptually may act in the name of the principal supported by the written evidence unless this document is returned to the principal. To protect the interest of the principal on the one hand and the third party on the other hand the principal is entitled to demand the return of the document to him up on revocation (Art. 2184). When the agent alleges that the document is lost/destroyed the principal need to seek a judicial remedy, i.e. declaration that the power evidenced by the written instrument is revoked. This is supported by Art. 2185 of the civil code.

A close look at Art 2195(b) has provided the return of the document and seeking a judicial remedy cumulatively. This would apparently mean that even when the agent has returned the document evidencing power of authority the principal must in addition secure a judicial order. Dear distance colleague, do you feel that these two obligation/concepts go together? Should it be a cumulative requirement or an alternative one? That is, if the principal has secured the document up on the will or otherwise from the agent, does he need to go to court to declare the power of authority is revoked? Or is it when he is unable to secure it that document that he should seek a judicial declaration f the above content?

Try to look at the provision under Art. 2195(b) before you read the next paragraph. Give your opinion in the spaces provided below.

However, it is provided cumulatively under art 2195(b) in the sense that the principal must do both of them (secure the return of the document and seek declaration of end of authority), it is provided under Art. 2184 cum 2185 that the principal has a right and duty to demand return of document when the authority comes to an end. But the agent may not return the document because it may be lost/destroyed. In the latter case the principal may demand the court to declare that the document is revoked at the expense of the agent. Hence to seek a judicial declaration to the effect that a power is revoked works in place of a return of a document. Finally the cumulative requirement for return of the document and judicial declaration is meant when the agent fails to

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return the document and not as an additional duty on the principal on top of return of document.

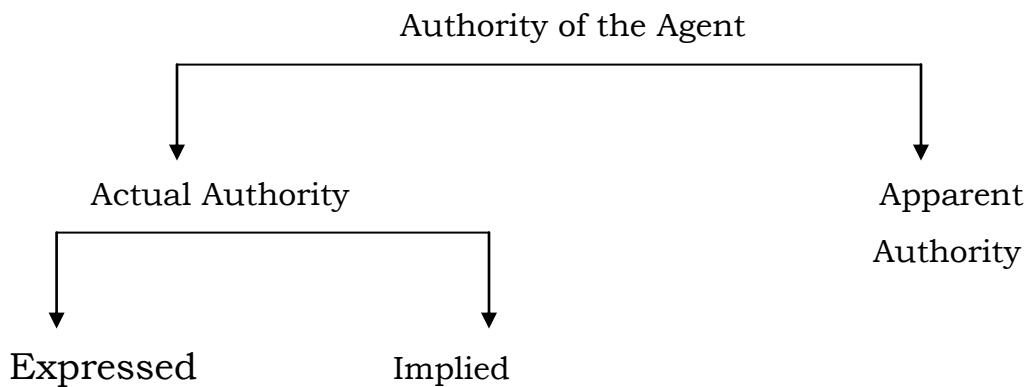
- iii) Where the principal cause in a certain manner for a third party to believe for the existence of authority:

This one is the third cause making the principal liable with the agent towards third parties. In this last case, what is explained is: there was no contract of agency between the agent and principal earlier unlike the above two cases. It is the case where the “principal” and/or the “agent” alone have made certain statements or acts that give rise to third parties to believe that these two persons have agency principal relationship among themselves. Here it is not proper to use the terms agency and principal; because these persons have not agreed to develop agency principal relationship. But a mere statements or act made by the individual in front of third parties enabling the latter to believe that there is agency principal relationship legally makes the principal liable with the agent. For example, in a certain place where people get together X has declared in the presence of Y that he is an agent to the latter in doing some juridical acts. When Y remains silent third parties may perceive that there is agency principal relationship among these persons. This is true even when the principal has not intended to employee any agent. Similarly, when a housewife has acknowledged acts of a maid/servant while she has committed a credit sale for certain periods, third parties are in a position to believe reasonably that the wife has granted authority to he servant to buy goods of at least the same kind. And hence, the lady is liable with the maid.

This relationship under the common law gives rise to agency principal relationship. But it does not give rise to agency principal relationship in the Ethiopian context. Yet, it does not mean that it shall have no legal

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effect. When one of the causes we have mentioned above are evident by virtue of Art. 2195 the agent is liable towards third parties for she/he has acted in the absence of an authority. And the principal is also liable together with the agent for his statement, remaining silent, failure to act and generally because of his conduct. Generally, we can conclude that there is nothing called apparent agency in Ethiopia. But the principal is liable towards the third party with the agent to the occurrence or otherwise of one of the acts under Art 2195 of the civil code.

**4.4 Modes of Representation**

There are various ways by which the agent may represent (act for the principal) the principal. While he/she acts on behalf of the principal the way he approaches third parties may be different. The Ethiopian law has acknowledged three modes by which the agent may represent the principal. However, these three modes of representation do not have the same effect under Ethiopian law.

These modes of representation are:

- I) Disclosed agency
- II) Partially disclosed agency; and
- III) Undisclosed agency

Let's briefly discuss each of the modes of representation.

I. Disclosed Agency

As the name goes disclosed agency is the mode of representation in which the agent reveals the name of the principal to the third parties with which he/she is interacting (on behalf of the principal). Disclosed agency is recognized under Art 2189(1) of the civil code in such a way that the representation of the principal by the agent shall have the effect of affecting the principal when the agent discloses the name of the principal.

“Contracts made by an agent in the name of another within the scope of his power shall be deemed to have been made directly by the principal” Art 2189(1).

The effect of agency springs from this provision of law of agency. That is the name of the principal disclosed to the third party and the agent acting within the scope of his power. The latter element, acting within the scope..., is to be discussed in the next chapter, “effect of agency”. Therefore the name test, disclosing the name of the agent or the agent acting in the name of the principal is very essential element of agency under Ethiopia law. Hence, the agent acting not in his own name or in the name of any other person but in the name of the principal makes the mode of representation disclosed agency. By the same token the third party enters into the contract with the agent with the full knowledge that the person with who he/she is interacting is the agent and whose name as a contracting party is stated is the principal.

II. Partially Disclosed Agency

Partially disclosed agency is the situation where the agent represented the principal on the latter's behalf but in the name of himself. In this case the third party may not know the fact that the person with whom he is interacting is an agent. Or the third party believes that the contract is made between the third party and the owner of the affair himself.

Partially disclosed agency is revealed under Art 2197(1) of the law of agency.

“An agent who acts on his own behalf shall personally enjoy the rights or incur the liabilities deriving from the contracts he makes with third parties, notwithstanding that, such third parties know that he is an agent”.

Before we look at the message under this provision we need to look at the title of this provision and the wording used. The title of this provision is “Agent acting on his own behalf.” But there is a problem in the title of this provision in using the term “--- behalf”. Because if the agent acts on his “behalf” there is nothing called agency. Agency is after all acting on behalf of another (the principal). When he acts on his own behalf that is to be governed by a different law governing the specific transaction he has entered into. The Amharic version of this provision uses the term “name” in place of “behalf.” The Amharic version looks to use the right terminology that fits to the rational of the provision. Look at the observation made by Church, in the above cited Journal. He proceeds, the English version of Art 2197 speaks of an agent “acting on his own behalf,” the French and Amharic accounts speak of an agent acting “in his own name” or in “his (agent's) name” (*en son nom propre*;

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በራሱ ስም the distinction is important, since an agent can act on behalf of another but still in his own name (for example a commission agent; Civil Code Art 2234) The essence of representation as it is embodied under art. 2189 is that an agent acts in the name of another; Art 2197 is clearly intended to cover the opposite situation; that is when the agent acts in his own name. If it did not there would be no provisions covering the circumstances where an agent acts in his own name. The situation where an agent acting in the name of another but in his own behalf is covered essentially by Arts 2187 and 2188. For these reasons, the Amharic and French Versions are the only ones reasonable and the English should be read accordingly.

Accordingly the term “behalf” in the title of the provision as well as the body of sub (1) of this provision has to be replaced for “name”. And hence the content of the provision shall be read as:

Art. 2197 agent acting on his own name

(1) An agent who acts on his own name shall personally enjoy the rights or incur the liabilities deriving from the contracts he makes with third parties, notwithstanding that, such third parties know that he is an agent.

This type of representation is said to be partially disclosed because the agent does not disclose the name of the principal but discloses that he is making the contract on behalf of a principal and the third party is also aware that there is a person behind the scene whose name is not disclosed. This makes the agency partially disclosed agency. This is made clear by the provision (Art. 2197(1)) in stating “--- notwithstanding that such third parties know that he is an agent”. Even if this expression signifies the fact there is a possibility that the third party may not know that the agent is acting on behalf of another,

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it is also meant that the third party may know that the person in front is an agent acting on behalf of another. The former case is a case of partially disclosed agency.

The effect of agency in this case is: it does not affect the principal but the agent himself shall enjoy the rights and incur the liabilities arising out of the transactions. There is no liability the agent would incur.

III. Undisclosed Agency

Undisclosed agency is the mode of representation in which there is no disclosures of the fact that the front person is acting on behalf of another person. That is neither the fact that he is acting on behalf of another person nor the name of another person is made known to the third party contracting. Therefore, the agent acts on his own name and he is acting on his own behalf. The latter is inferred from the situation where the third party is not aware of the fact that the agent is acting to the benefit and on behalf of another. This form of representation is inferred from the expression of Art 2197(1) last proviso. That is “,—notwithstanding that such third parties know that he is an agent.”

This last mode of representation does not bring any effect of agency. Yet, the person who acts on his own name and on his own behalf shall enjoy the benefits or liabilities himself.

By way of conclusion, only disclosed agency which is termed as complete agency under Art 2189 of the Civil Code shall bring effects of agency. The other two forms of agency explained under Art. 2197 of the Civil Code are not capable of affecting the principal and hence bringing the effects of agency.

SUMMARY NOTES

As a contract agency is composed mainly of the consent of the parties. Consent is expressed through offer and acceptance. Offer and acceptance may be made expressly or impliedly.

Depending on the consent given the extent of acting through another may be general or special. That is the scope of power of the agent.

The scope of power of agency is said to be special when it is agreed between the parties that it is conferred: “for a particular affair or certain affairs only” and it is named general when it is made “for all the affairs of the principal.”

The general agent is an agent for the management of the affairs of the principal limited only to the presentation of the interest of the principal. Whereas special agency is said to be an act of disposition while a principal who has conferred a general power of authority has conferred only to manage and preserve his affairs he cannot found his rights disposed. To dispose his rights requires a special attention and special power must be granted to the agent with this insert and expression in the contract giving rise to the agency.

The following are acts that can be done by a general agent: preservation or maintenance of property, leases for terms not exceeding three years, collection of debts, investment of income, discharge of debts. These acts are related to maintaining rights to the principal and do not involve the disposition of rights. Similarly, sale of crops, goods intended to be sold, perishable commodities are acts of management. However, special power is required to do those acts with the intent of disposing the

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rights of the principal. These include alienating real estates; investing capitals; sing on bills of exchange; effecting settlements, consenting to arbitration, making donations; brining or defending an action.

Here the main point you need to give attention is not on the list of acts but on the nature of acts of the agent. The former cases are aimed at preservation and the latter are on disposition. For disposing ones rights by another requires conferring a special authority and if there is no special authority conferred to do, it is only a general power of authority and the agent cannot engage in acts of disposition; one or more of the activities listed above requiring special authority.

Once again the authority of the agent (the scope being general or special) may be actual, or apparent. Actual authority is one given, intended by the agreement it may exist either expressly given or implied from what is expressly provided.

Apparent authority on the other hand is the one which does not in fact given but looking like to exist on the eyes of the third parties. The two authorities: actual and apparent authorities have distinct effect. Actual authority brings the intended result. Whereas apparent authority does not bring a result of a complete agency under Ethiopian law, yet, depending on the fulfillment of certain condition it may make the principal or the agent or both liable towards the third party.

These conditions are expressed by Art. 2195 of the civil code and are one way or another related to the conduct of the principal and/or the agent.

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There are three modes of representation of the principal. These are: disclosed agency (complete agency), partially disclosed agency and undisclosed agency.

Disclosed agency is the case where the agent makes the fact that he is acting in the capacity of an agent and disclosed the name of the principal to whom he is acting. That is recognized under Art 2189 of the civil code. That is named as a complete agency coupled with the agent acting within the scope of his power.

Partially disclosed agency is the case where the agent has disclosed the fact that he is an agent but does not disclose the fact that he is an agent but does not disclose the name of the principal on whose behalf he is acting to third parties. The latter makes it partially disclosed or partially undisclosed form of agency. This is expressed by Art 2197(1) of the Civil Code. Here, the principal alone shall be liable to third parties and not the principal. Undisclosed agency on the other hand is the one where the agent does not disclose both the fact that he is an agent and the name of the principal. This is otherwise meant that the agent acts in his own name. Even if he might be internally thinking for the benefit of the principal, unless there a special relationship between the agent and the principal, (as commission agency goes) unless it is mentioned to third parties that is an agent that remains undisclosed agency. The effect of such relationship remains making the agent liable towards the third party, But we need to pay attention to the exceptional cases where the commission agency may be agreed between the principal and the agent where there is no need to express the fact that the agent is acting on behalf of another.

SELF – CHECK EXERCISE

- i. How is agency contract formed?

- ii. Prepare a statement fulfilling a sample offer of making your friend an agent.

- iii. What does scope of agency tell?

- iv. What is general agency?

- v. What is special agency?

- vi. Write 2 points of difference among general and special agency?

- vii. What does act of management mean?

viii. What does act of disposition mean?

ix. Are the lists under Art 2204 and 2205 exhaustive, or illustrative?
Support with reasons

x. What is actual authority?

xi. What is apparent authority?

xii. What is implied authority?

xiii. How many modes of representation do you know? List down.

xiv. Which of the lists above are recognized under Ethiopian law?

- xv. Where are partially disclosed and undisclosed agency stated under Ethiopian law? What is the effect of undisclosed agency under Ethiopian law?

Hypothetical and Real Cases

1. Ato Adugna has decided to alter his residence from Dessie to Gondar for change of work place. Ato Adugna has decided to sell some of his goods. But he was unable to sell them himself and appointed his cousin Yalew to sell some of his goods to any body. Unfortunately Yalew has sold for a price lower than expected to Kebede. This was because Yalew was mistaken for the identity of the good he has sold.

Question:

- Can Ato Adugna invalidate the contract Yalew has concluded with Kebede? State the relevant laws.
2. Would your response be different in the above hypothetical case if Ato Adugna has instructed Yalew to sell it on a fixed price?
 3. Ato Zelalem, a middle class business man was interested to buy a luxurious car. But he was unable to buy himself because of his work load. Therefore he has agreed with Abe to buy a car for not more than Birr 400,000.00 Abe is an active business boy but a minor. This agent has bought a beautiful car from Melaku for Birr 350,000.00 on behalf of the Principal.

Questions:

- Is there a valid contract between Melaku and Zelalem?
- Let's assume that after the agent has concluded the contract with Melaku, he has succeeded in declaring the contract of agency (the internal relationship) invalid because he was incapable at the formation of the contract. What is the fate of the contract concluded by the agent and the third party? Can the third party

succeed in invalidating the contract concluded between the agent and the third party on behalf of the principal?

- What is the effect if the third party himself was incapable at the time of formation of the contract?
- Let's assume that the contract conducted between the agent and the third party was established from a threat of force by the agent, can the third party succeed in invalidating the contract?

4. Ato Mamush has appointed Ato Yohannes to buy a car and conclude insurance agreement on the car. This agreement was concluded orally.

- a) The insurance company has instituted a claim to invalidate the relationship it has made with the agent on behalf of the principal on the ground of formality requirements. Would it succeed?
- b) Is it possible to say that the car is insured?

5. Which of the following acts would be considered an act of management?

- 1) Ato Zelalem, the manager of Melkam's store purchases a broom with which to sweep the store.
- 2) Ato Zelalem purchases wood which will be used to repair the store.
- 3) Ato Deresse purchased wood which would be made into furniture for sale. Ato Deresse is manager of a furniture factory.
- 4) Ato Zelalem and Deresse borrow money from a bank to finance each of the above purchases.
- 5) Ato Seifu manages a furniture factory. He buys a new lathe for the factory. Before this purchase, the factory contained;
 - a) 3 Lathes

b) 100 Lathes.

- 6) Ato Deresse signs a contract for the building of an extension on the present factory building.
- 7) Ato Deresse signs a contract for the lease of a plot of land for this new extension.

6. The position held by a certain person may imply that he/she has certain powers as an agent. Consult Title II, Book I of the Commercial Code.

Do the following persons have the power to accomplish the act in question?

- 1) Ato Solomon is a sales man in P's store. He sales merchandises to Ato Tiruneh.
- 2) Ato Solomon is a sales man in P's store. He signs a receipt for the delivery of goods which will be sold in the store, without express authority.
- 3) Ato Solomon, a salesman in P's store, sells goods to Ato T on credit without express authority.
- 4) Ato Mulat is the manager of P's store. Ato Temesgen has owed the store Birr 100,000.00 for a year. Ato Mulat accepts Birr 75,000.00 as a compromise on the claim because he knows this is all he can expect to get from Temesgen

7. Ato Paulos' guard (Zebegna) acting in Paulos' name but without authority, purchased a bicycle from Ato Tola for paulos' son. Did the guard have 'apparent authority' to enter into such transaction?

If yes what is the effect? If no what is the effect?

8. At a party Ato Genetu told every one including Ato Mengesha that he was the agent of Ato Paulos. Ato Paulos who was also available at the party heard this statement of Genetu, but said nothing. The next day Ato Genetu approaches Ato Mengesha and sells him Paulos' automobile.

- a) Has Ato Mengesha any claim against Ato Paulos?
- b) If Mengesha has received possession of Paulos car, can Paulos recover the car?

Note: it should be clear that an apparent authority will not give an agent the power to create a contract between principal and third party although the agent will have the power to make the principal liable to a third party. This limitation may be explained by reference to Art 1678 of the civil code. One of the essential elements of a valid contract is that the parties must give their consent. In the case of apparent authority, the principal has not consented to bind himself contractually. Nonetheless the principal has led the third party astray and so may be extra contractually liable.

9. When Aberu was hired as Melkam's cook, Melkam made it clear in the beginning that Aberu was not to do any of the shopping for the household. Nonetheless, Aberu began to shop at the New York supermarket, charging every item in Melkam's name. For three months, Melkam paid the bills but now refuses to pay for the fourth.
- a) Is Melkam liable to the New York supermarket?
 - b) Why is it so?

10. Ato Melaku is a farmer residing in one of the Woredas of south Gondar Zone. He has been married for the last 5 years. Unfortunately, in the year 1999 he has made divorce. In the year 1999 because of the uncommon weather condition of the region he does not collect a satisfying quantity and quality of cereals from his farm. However he has collected some; that is not qualified as a seed for the 2000 farming year. His former wife's brother Ato Yitbarek was his best friend who would have been helping him on such situations as usual. But the divorce Ato Mekku has committed with his wife has broken the friendship between these people. Ato Yitbarek is a well know rich farmer there. And he is able to supply the required seed of wheat for Ato Melaku had it not been for the disagreement. Hence, he is unable to demand Ato Yitbarek either to buy or loan the required amount of seed.

While he has been in this trouble, he has devised a mechanism to send another friend of him Ato Sewale to buy that required wheat in the latter's name disclosing the fact that he is buying the good as an agent but with out disclosing the principal is Ato Melaku. Both have agreed on these points.

Questions:

- 1) Ato Yitbarek has delivered the required quintal of wheat before he has received payment. What are the rights of Ato Yitbarek?
- 2) Ato Yitbarek has concluded the contract of sale of two quintals of wheat with Ato Sewale. Latter before he has delivered the goods Ato Yitbarek has discovered the fact the principal was Ato Melaku. Hence, he has refused the delivery of the wheat. Is the refusal supported by law?
- 3) Ato Mamusha and Sisay were good friends residing in Bahir Dar. They have agreed that Ato Mamush is to stay in Dire Dawa as

agent of Sisay with a remuneration of 500.00 (five hundred). After 3 months Sisay has terminated the relationship up on no cause.

Questions

- Is there any possible remedy Mamush would invoke?
- What is the act of Sisay named?

11. Ato Adamu who has no prior relationship with Ato Belew, purchased an automobile from Ato Tadesse in the name of Adamu. One week later Ato Belew hears of the transaction and informs and informs Tadesse that he will be bound by the contract. Tadesse now refuses to deliver the car, claiming that Adamu was not an agent within the meaning of Art. 2190.
12. Ato Ager acting outside the scope of his authority, purchased an automobile in the name of Luel from Tadesse on 1st January 2006. Ato Ager ratified the contract on February 1st 2006. On what date did he purchase the automobile?
13. Ato Teme purchased an automobile from Alemu, paying him Birr 40,000.00. Alemu never delivered the automobile. Teme now discovers that the automobile belonged to Ato Zelalem and that Alemu was agent of Zelalem. Alemu paid Zelalem Birr 20,000.00 retaining the other 20,000.00 as a loan. Alemu left for America. What rights, if any has Zelalem against Teme?

CHAPTER FIVE

EFFECTS OF AGENCY

Content

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Introduction

Once a contract of agency is formed it has got effects. The principal obligation of a lawfully formed agency is *relationship between the principal and the third party*. This is happens without the principal forming the contract with the third party himself in person. This is the mystery of agency. This triple relationship brings obligations among the three parties: the principal and the third party; the principal and the agent; the agent and the third party. It is the obligation of these parties that is made the subject of this chapter.

Chapter objectives

After completing this chapter the students will be able to:

- Identify the effects of lawfully formed contract of agency;
- State the liabilities of the principal in an agency relationship;
- Discuss the limits of power of the agent explain → effects of non-observance of name test describe → effects of working beyond the scope of power;
- Effects of ratification, repudiation;
- Duties of the principal and the agent.

Dear distance learner, can you imagine what the effects of a lawfully formed agency contract is? Do you remember your contracts module that explains the effects of contracts?

5.1 Establishing a relationship between the principal and the third party

The effect of agency is spelt out under Art 2189 of the Civil Code. The effect of agency is to develop a relationship between the principal and third party as though the contract/relationship was conducted between the principal and the third party. This effect of agency shall come out up on fulfillment of two conditions: the name test and scope.

The agent must act in the name of the principal. This is one mandatory requirement for the establishment of a relationship between the principal and the third party. In addition to the name test the agent must act within the scope of the power granted. These two elements are cumulative. The non fulfillment of either or both of which is a barrier to establish the link between the principal and the third party. Now let's

look at the effects of non-fulfillment of either or both of the requirements.

As it is provided under Art 2197 where the agent acted in his own name either he acts on his own behalf or on behalf of the principal, it is only the agent that is liable to the third party. Hence, the central theme of agency linking the principal and the third party is missed. And therefore the name test makes a difference. The fulfillment of the name test i.e. the agent disclosed the name of the principal while interacting with third parties makes the principal liable to third parties as if it was made by the principal himself, by virtue of Art 2189(1). Where as the non-fulfillment of the name test i.e. the agent acting without disclosing the name of the principal falls under Art. 2197 and no liability of the principal toward the third party; and the agent bears the liability himself. And we can conclude that the name test is the main test of agency under Ethiopian law of agency. In situations where the name test is not fulfilled third parties shall have no direct action against the principal and may only exercise against him on behalf of the agent, the rights pertaining to the agent [Art 2197(2)]. Because of the failure of the agent to use the name of the principal while interacting with third parties, the link that would have been created between the principal and the third party is broken. The result of this is, the third party cannot demand the performance of the rights arising out of the act of the agent. The third party can only ask the performance from the agent. Or the third party may demand the principal in place of the agent only if the agent has a right against the principal by way of subrogation. But if there is no right the agent can demand from the principal the third party shall have no any right over the principal. That right of the third party is a kind of attachment of the rights of the agent against the principal. That attachment may only be effective only if the agent has a right (for example remuneration) against the principal. Yet the principal

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is entitled to demand his rights over the agent or the third party to recover. When the agent has failed to act in the name of the principal but on behalf of the latter the principal is able to demand the recovery of the goods collected on his behalf. But there are two conditions attached to this right under Art. 2198. These are good faith of the third party and the fact that the principal has to discharge his duties toward the agent. When the principal has fulfilled these conditions he can get the goods possessed by the agent or third party, while the agent acting on behalf of the principal.

The other element that needs to be tested for the establishment of the link between the principal and the third party is whether the agent has acted within the scope of his authority. In the preceding chapter we have exhaustively discussed the meaning and effect of the usage of scope. The scope of power of authority shows the extent/limits of the power of the agent. For the establishment of effect of agency linking the principal with the third party as if the relationship was concluded between these two (the principal and the third party) the agent must act within the scope provided. The scope of the power is determined by the contract-giving rise to the agency relationship [Art. 2181]. But where the scope of the agency is not expressly fixed in the contract, such scope shall be fixed according to the nature of the transaction to which it relates. [Art 2202(1)]. The scope of agency may be determined from the contract giving rise to agency relationship which may be either express or implied. In what ever form it is given the agent is expected to act within the power either expressly conferred or implied. In this case the act of the agent shall have the power to establish the link between the principal and the agent. This allegation is supported by Art 2189(1).

What is the result of the agent acting beyond scope of power granted? To act beyond power may come from the agent acting with a lapsed

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power or power abused. The former implies a time limit for a power of authority. There was power to act on behalf of another but came to an end. The latter signifies the existence of power but the agent has acted beyond the limit of the power granted. In both cases the principal has no liability towards the third party. To acknowledge the acts of such an agent is at the discretion of the principal. Hence, the principal is at option either to ratify or repudiate the acts done outside the scope of power [Art 2190]. The principal may for different causes choose to acknowledge the acts of the agent done outside the scope of authority. That acknowledgement is named ratification. Once the principal has ratified it, the agent shall be deemed to have acted within the scope of his power. Hence, ratification has a retrospective effect [Art 2192].

But where the principal has opted for rejecting the act of the agent that act is called repudiation. And the effect is invalidation of the contract formed between the agent and the third party [Art. 2193]. Depending on the good faith or other wise of the third party the agent and principal shall be liable towards the former [Art 2193].

The agent shall be liable where the agent has acted in a lapsed power of authority while the third party was not aware of this fact. But where the agent is not aware of the fact that his power was either reduced or came to an end, then the principal rather than the agent shall be liable towards the third party [art. 2194]. Yet there is a way out for the principal from liability toward the third party. That is a proof that the third party was aware of the limits of the authority of the agent from the document evidencing power of authority of the agent [Art 2196(1)]. Once again the agent shall not be liable to pay compensation to the third party where he can replace the principal and carry out the obligations assumed. But this is attached to the condition that “the personal qualification of the ‘principal’ is not essential to him (the third

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party) and the agent agrees to be personally bound by the act he has done on behalf of another (the principal) [*emphasis added*] [Art. 2196(2)]. For example if the principal was an artist and the agent was authorized to concluded a contract with an organization so that the principal is to present his work (music) in a concert, then the agent cannot perform it himself in the above circumstances.

Dear distance learner, I hope your study is going smooth. Now let me take you back to the case where the two elements: name test and acting within the scope are being fulfilled. That case is the case of complete agency. As we have said earlier one important effect of the fulfillment of these requirements is the link between the principal and the third party is established. And this is the normal course of agency relationship. The establishment of the link between these two parties confers certain rights to each of them. Look at Art 2189(2) once again.

(2) The principal may avail himself of any defect in the consent of the agent at the time of he making of the contract.

Once the agent has acted in accordance to the requirements of Art 2189(1) the principal can enjoy all the rights as if he was the party who concludes the contract and for any defects in the making of the contract he may replace the agent and demand the invalidation or otherwise of the contract formed between the agent and the third party.

Dear distance learner, do you remember Art 1808(1)? It provides, in the case of defect in the capacity and/or consent of the contracting party it is the party who alleges to have suffered the defects who can demand invalidation. But Art, 2189(2) empowers another additional person to invalidate a contract affected by defective consent. That person is the principal. Art 2189(2) is an exception or a special provision to Art

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1808(1) which empowers an additional person to invalidate even if the latter provision provides “only” the person who claims to have been affected by the defect in the consent.

A related question is why only defect in the consent of the agent that is warranted by the law to the interest of the principal? Why not the case of non – fulfillment of object and/or form? The answer lays on the fact that Art. 1808(2) provides that any interested person can seek the invalidation when the object and form of the contract is affected. Art. 2189(2) is silent is meant that by virtue of Art. 1676 of the Civil Code the provision under Art. 1808(2) shall be applicable for agency contracts too. The effect of a cumulative reading of these provisions of the law is that the principal is not prohibited to raise the grounds of object and form to get the contract invalidated, when it suffers one or any of them. Hence, the reason why the law has provided only the case of defective consent is because it is an exception to the general principle under Art 1808(2). And it is not aimed at excluding the other grounds of invalidation which are open to any interested third party.

Similarly the right conferred on the principal to invalidate a contract based on the defect in consent of the agent is countered justifiably by the right conferred to the third party under Art 2189(2) of the Civil Code. It provides:

“Any fraud committed by the agent may be set up against the principal by the third party who entered into the contract with the agent”.

Surprising about this provision is that the type of defect is reduced from object and/or form to only one of the grounds of defective consent: i.e only fraud among mistake, duress and fraud. The scope of the rights

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of the third party to replace the agent is narrowed down. To make the allegation clearer; while the principal is entitled to invoke the defects in the consent [mistake, fraud, duress], non-observance of the requirements of object of the contract and formality requirements the third party is entitled to replace the agent to invalidate the contract with the principal “only in the case of fraud, only when the agent has committed fraud”. Is that fair? Or do you feel that there is another way of looking at the situation?

Let me take you back to your law of contracts course. What is fraud? Fraud is a deceit committed either by the contracting party himself or a third party [Art. 1704]. A fraud committed by the contracting party himself is not attached to any condition and it suffices to invalidate the contract. But where a fraud is committed by a third party; the fact that the contracting party, knew or should have known of the fraud and took advantage of it has to be fulfilled for the contracting party to be able to invalidate the contract by virtue of a ground of fraud. The contracting parties may raise fraud committed by a third party only if they or one of them have known (subjective) or should have known (objective) of the fraud and took advantage thereof. Where these conditions are not fulfilled commutatively, under ordinary relationships the contract cannot be invalidated.

But when it comes to agency, there is no requirement that the third party must prove that the principal knows or should have known or taken advantage of it. Hence, for the mere fact that the agent has committed fraud against the third party the latter is entitled to invalidate the contract. The principal is presumed by the law to know the fraud committed or should have known it and the second element that the contracting party, the principal has taken benefit of it is presumed by the law to be fulfilled. Because the agent works for the

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principal. Hence, Art 2189(3) is an exception or a special provision to Art 1704. When the fraud is committed by an agent, with out any condition being attached to it the third party can invalidate the contract. However, Art. 2189(3) does not preclude the rights of the third party to invalidate the contract defective in one or more of the elements of a valid contract. Thanks to the bridge under Art. 1676 all the provisions of title xii shall be applicable to agency relationships until a special provision within the law of agency dictates otherwise. In the case at hand the provision under Art. 2189(3) is a supportive provision and not a contrary provision to the use of other grounds by the third party to invalidate. Therefore both the principal and the agent are granted the right to invoke the invalidation of the contract when it was defective in one of the grounds at equal footing. There is no discrimination made by the law in granting the right to seek the invalidation of the contract.

5.2 The Obligations of Agency**General**

As a relationship, agency imposes obligations among the parties involved in the relationship. The obligations are dependent on the agreements made, the law and by such incidental effects as are attached to the obligations concerned by custom, equity and good faith. (Art 1713). It is impossible to list all the duties/obligations within an agency relationship. Hence, below we are going to discuss only the main obligations of each of the parties to the contract of agency.

As duties and rights are correlative, duties of an agent are rights of the principal and duties of an agent are rights of the agent. Therefore we

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are not going to study the rights of the parties on the hand and duties of the same on the other.

In this section of the chapter we will study obligations parties to the contract of agency owe to each other. The agent has to discharge certain duties to the principal. On the other hand the principal also owes certain obligations to the agent unless the agency is one of gratuitous. Let's look at some of the obligations assumed by the respective parties. These obligations and rights are similarly applicable to agency relationships arising out of law.

5.2.1 Duties of the Agent

Duties of the agent to a contract of agency arise either from agreement (express or implied) or from law (fiduciary nature of agency relationship).

Performance: basically where the agency is contractual the agent is bound to perform what he has undertaken to perform. This amounts to the duty to carry out the contract which the agent has made with the principal. Failure of the principal to carry out his obligations as agreed is non-performance and results in the liability of the agent toward the principal. In one foreign case, the agent was appointed under a contract to insure the principal's ship. The agent has failed to do so. The ship was sunk and lost and the principal remained uninsured. It was held by the court entertaining the case that the agent had been liable for breach of contract.

How would you treat if this case falls under our jurisdiction? Would you decide the same? Different? Can you support it with relevant

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provision of the laws of agency? Try to give your answer in the spaces provided below.

A. Duty to protect the rights of the principal from conflicting interests.

What is the interest of the principal? How is it to conflict with the interest of the agent?

The interest of the principal is the material interest valued in terms of his benefit. He should represent his/her principal solely for his benefit. The agent should not expect benefit of any kind from the transaction he/she executes with out the knowledge of the principal. If the agent is going to benefit out of the transaction he/she makes on behalf of the principal with out the knowledge of the principal that may result in a conflicting interest.

Conflict of interest may be expressed in three forms. These are:

- when the agent contracts with third parties;
- When the agent contracts with another principal of him; and
- When the agent contracts with himself.

Below these cases are discussed in brief with the effects on the contracts formed.

a) Contract with third parties

This happens when the agent concludes a contract with persons to whom he draws a benefit. To say that there was a conflicting interest the point is not with whom he has concluded a contract; but the fact

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that the interest of the principal is affected by the act of the agent. The effect of a contract concluded by the agent in a situation of conflicting interest is provided by Art. 2187.

Art. 2187 conflicting interest

(1) a contract made by an agent in a case where his interests conflict with those of the principal may be cancelled at the request of the principal where the third party who entered into the contract knew or should have known of the conflict.

The effect of a contract made by the agent in conflict with the interest of the principal is cancellation by the request of the principal. The principal, entitled to cancel the contract is bound to prove the fact that the third party was aware of the conflict (subjective standard) or that the third party should have known of the conflict (objective standard). The burden of proving the existence of conflicting interest and the awareness of the conflicting interest by the third party rests on the principal.

Having proved these two conditions the principal shall secure the right to cancel the contract that affects his interest. Yet, this right is required to be exercised by the principal only in a limited period.

Art. 2187(2),

The principal shall, within two years from his knowing of such circumstances, declare whether or not he intends to cancel the contract.

This provision protects the interest of the third party. The third party who has concluded a contract with the agent need to know the fate of the contract he has concluded with agent. Unless the principal makes

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his intention known to the third party whether he is going to cancel the contract within two years, the principal shall lose the right to cancel and the contract shall be valid.

Even when the principal has made his intention known to the third party to declare the cancellation, the third party has the right to sustain the contract by making the difference good within two months from having been informed by the principal to cancel the contract (Art. 2187(3)) This is a subjective period of limitation dependent on the knowledge of the third party. If there is no proof that the third party knows the conflict earlier than the date he claims there is no limited period that bars the right absolutely.

b) Contracting with Oneself

Contracting with oneself of the agent may be explained in two ways: the agent acting on his behalf or acting on behalf of another principal. In these cases the principal can without proving either the conflict or the knowledge of the agent (which the law has presumed to know) declare the cancellation. Here, the law has taken for granted that when the agent acts either on his behalf or on behalf of another third party there is a conflict of interest. Yet the agent may sustain the relationship by making the difference good. But the burden to prove that there was not conflict of interest rests on the agent.

The presumption that a contract concluded by the agent on his own behalf or on behalf of another third party is rebuttable up on the agent being a commission and/or a forwarding agent [Art. 2188]. A commission agent may deal on his own account when the price of goods is quoted on the market or purchase of Stock Exchange in the absence of contrary instructions by the principal (Art. 2248). Here,

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when the price of goods to be purchased has a market price, it is logical to argue that there is no need to worry about conflict of interest in terms of benefit. Similarly a forwarding agent is also entitled to carry the goods himself (Art. 2252). This is because a forwarding agent is usually a carrier himself.

B) Good faith required of the agent.

“The agent shall act with the strictest good faith towards his principal” Art 2208(1). What does the law mean by good faith? Dear distance learner I hope “good faith” is not new term for you. It is employed lots of times by the law. Good faith is a requirement attached to the fiduciary nature of agency relationship. Because the agent is working with out procedural control from the principal, the principal being away from him/her, this concept, good faith, is a means to control the procedures to be employed towards the interest of the principal. Good faith is acting towards the best interest of the principal. “The [agent] shall disclose to his principal any circumstances which would justify the revocation of the agency or a variation of its terms. “Art 2208(2). There might be many cases where the principal needs to revoke the agency. These include: the case where the agent is less interested to the affair he/she is running on behalf of the principal; that the interest of the principal is at a risk of conflict; that the business/affair the agent is running on behalf of the principal is leading to bankruptcy etc. In all these cases and other similar situations the agent need to seek the revocation or altering the terms of the agency relationship.

Fidelity is the best policy of good faith and hence agency. Where the agent is in a position in which his own interest may affect the performance of his duties to the principal, the agent is obliged to make a full disclosure of all material circumstances, so that the principal

with such full knowledge can choose whether to consent to the agents acting.

In one case where the agent conspired with a prospective buyer to pay the purchaser part of the agent's remuneration the court has decided breach of good faith requirement. The duty to disclose under sub article 2 of Art 2208 involves disclosure of everything which to the agent's knowledge the information is relevant to the principal's judgment. The test has to be objective i.e. whether a reasonable man would consider the information influence the principal's interest. If the agent fails to work in accordance to the requirements of good faith, there is no provided effect either under art 2208. The effect of acting contrary to good faith is not well defined by the law. However, Art. 2209 is expected to respond to what the effect of acting contrary to good faith; because it has a title of effect. But unfortunately it is an additional duty and explanation of the good faith required of the agent. In the absence of this we need to find a way to give effect to the failure of the agent to act in good faith.

The failure of the agent to fulfill the requirements of good faith or any other similar duties must be remedied by the rights of the principal to revoke under Art 2226 and Art 2227 of the Civil Code, where the principal is empowered to revoke the authority at his discretion where he has a just motive. That has to be the result of failing to act in good faith. An obligation with out effect is meaningless to appear.

An additional explanation for good faith is provided by Art. 2209.

Art. 2209 effect

(1) The agent shall act in the exclusive interest of the principal and may not without the latter's knowledge derive any

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benefit from any transaction in to which he enters in pursuance of his authority.

- (2) *He may not use to the detriment of the principal of any information obtained by him in the performance of his duties as agent.*

An agent may not make a secret profit out of the performance of his duties as an agent. What is a secret profit? The expression under Art 2209(1) refers to any financial advantage which the agent receives over and above what he is entitled to receive from his principal by way of remuneration. This may include bribes given to obtain the agent's complicity in some activities not necessarily in the interests of his principal. A bribe in this particular case is meant the payment of a secret commission by a third party or the receipt by the agent of a secret advantage for himself from the other party (third party) to a transaction in which the agent was acting for his principal. The agent may also without the knowledge of third person secretly gain financial advantages to himself from the exercise of his authority.

As we have concluded above an agent who obtains a profit with out the knowledge of the principal has breached the duty of acting in good faith towards the interest of the principal. The result of this breach is revocation of the contract of agency by the principal. We may again ask as to the legal effect of the act of the agent that gives rise to the revocation of the authority. Would the agent be left with the profit he/she makes secretly /illegally/ in breach of Art. 2209? Again, either Art 2208 or Art 2209 which are devoted to dealing with good faith a duty of the agent do not give effect to this problem. But the prohibition of the law to make a secret profit and the fact that the agent must act toward the exclusive interest of the principal can be interpreted to imply that when the contract is revoked by the principal the benefits

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the agent gained shall no more be benefits to the agent. Therefore the principal may set aside the transaction and claim from the agent any profit the agent may have obtained from such transaction.

Last illustration of the requirement of good faith is provided under Art 2209(2). The agent need not employ the information he obtains in the exercise of his duty as an agent to the detriment of the principal. The nature of this obligation goes to be respected even after the termination of the agency relationship between the agent and the principal. Making use of information acquired in the course of carrying out of his duties by an agent for his own personal benefit is prohibited by this provision. This is usually true when an exclusive right of the principal is jeopardized by the agent. The agent is not allowed to make use of confidential (secret) information to engage in completion with the principal.

C. Diligence Required from an Agent

This obligation of the agent is related to the care and skill the agent is expected to show towards the affairs of the principal. Not only must the agent act in accordance with his authority (whether express or implied; he must also perform the undertaking with due care and skill. All agents own this duty of care to their principals, whether the agency be for consideration or gratuitous. A distinction is made however between the standard of care to be observed by a gratuitous agent and that to be observed by one who acts under contract for reward.

Art. 2211 diligence required of agent

- (1) The agent shall exercise the same diligence as a bonus pater families in carrying out the agency as long as he is an trusted therewith.*

- (2) He shall be liable for fraud and defaults in the performance of his duties*
- (3) Whosoever undertakes without consideration to act as an agent shall not be liable unless he has not applied to the affairs of the principal the same degree of care as to his own.*

Sub (1) and sub (3) of the above provision have made the degree of care expected of an agent towards the affairs of the principal depending on whether the agency is gratuitous or one with consideration (payment).

As one can easily grasp from the above provisions, in the case of agency with consideration (reward) the standard of diligence/care to be observed by the agent is put in terms of an objective standard “as a *bonus pater familias* in carrying out his agency as long as he is entrusted therewith”. (Art 2211(1)). That is: the agent needs to show a reasonable care towards the affairs of the principal like a good father would show towards his family/children.

On the other hand, the traditional mode of expressing the gratuitous agent is that the agent is expected to exercise the care that he would exercise in respect of his own affairs. In other words, a person who does not possess to be skilled for example in any particular way need only show the same sort of care/diligence he would devote if he were performing the undertaking for himself.

One instance of the limit of diligence is provided under Art. 2212.

Art. 2212 Non liability of agent

- (1) Unless otherwise agreed, the agent, not with standing that he acted in his own name, shall not be label is the principal*

for the performance of the obligation of the person with whom he contracted.

(2) The provisions of sub(1) shall not apply where he contracted with a person whose insolvency he knew or ought to have known at the time of the making of the contract.

This provision is applicable both for an agent for consideration as well as a gratuitous agent. An agent either for consideration or gratuitous has to be careful with whom he/she is making a contract in terms of his economic/business well being of the third party. The effect of this is the agent is liable to the principal for the performance of the obligation as a guarantor. Yet, this care and diligence is both subjective and objective in that if the agent has committed this contract with the knowledge that the third party was insolvent there is no excuse on the part of the agent. But if the agent does not know this fact then it is to be weighed with a reasonable standard: that is whether “the agent ought to have known at the time of the making of the contract” shall be seen in the eyes of a reasonable man standard.

Before we conclude this duty let me take you to a last issue to be raised here. In the last paragraphs we have raised one point that the degree of care required of an agent is dependent on whether the agent is a paid one or a gratuitous. A paid agent is measured in terms of a reasonable standard and a gratuitous agent is measured in terms of the diligence he/she shows for his affair. But the question to be raised here is, the extent of degree of care expected of a gratuitous. How are we going to measure the degree of diligence he forwards to affairs? Again Art 2212 (abovementioned provision) provides an objective standard of the care/diligence both of the agents need to show towards the affairs of the principal. That is meant even a gratuitous agent should be careful as to

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the solvency or insolvency of the third party. This means the agent (gratuitous) has to protect the interest of the principal beyond his own affair even when he is reluctant/negligent towards his affairs. Hence, there are arguments that gratuitous agent must exercise the care that a reasonable man would exercise in respect of his own affairs.

Dear distance learner, do you feel comfortable with the latest ideas above? Should a gratuitous agent be judged in a reasonable man standard? Or should he/she be judged in respect to his own affairs only? If you prefer the first option is that not against the interest of the principal? If that is so (option1) why is it made objective under Art. 2212?

We know that the agent gets no benefit out of this transaction (gratuitous). When we look at the situation at this juncture, in fact it looks that no diligence beyond he forwards to his affairs should be expected from him. Yet the interest of the principal may be at risk. In addition to this, Art 2212 has made the diligence to be weighed in respect of a reasonable standard. The common law system has required a standard diligence even when the agent is gratuitous but our law seems to have employed a subjective standard (dependent on the behavior of the agent) toward his affairs. Yet, when it comes to the solvency of he third party, it is made otherwise i.e. subjective standard is employed. The reason why the law has employed this kind of degree when it comes to solvency is because this is a high threat to the loss of the rights of the principal.

In one case a relationship was created between an attorney and a client in such a way that the former was to represent the latter in court of law for two independent cases. One of the cases was dismissed by court order. Following this the client (principal) has terminated (declared the

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termination of the agent principal relationship between them for fear that the agent (advocate) may not carry out his duties diligently. This fact was brought to court by the client claiming the agent (attorney) was liable for the dismissal of the case and responsible for the termination of the second relationship.

Dear distance colleague, let's look at the case together and judge.

The case arises out of an agreement between Ato Tadesse Dilnesaw (appellant) and W/ro Bekelech Kassa (respondent) whereby the appellant has undertaken in his professional capacity as an attorney (advocates) to represent the respondent in two cases in front of a court or courts against a debtor of the respondent (Bekelech). Ato Tedla Desta is claiming plot of land (in the first case) and asking for accounts in respect of a partnership between the said Ato Tedla Desta and her father. The agent and principal (the advocate client) have agreed that the respondent (principal) was to pay the appellant (the agent) Birr 200 (two hundred birr).

¹In respect of the first case and Birr 3000 (three thousand) in respect of the second case: it was also agreed that in both cases the agent was to get ten per cent of the amount succeeded (adjudicated in favor of the client). At the time of the formation of the relationship the respondent (principal) paid Birr 500 (five hundred).

The case was initiated at an Awradja court. The principal (respondent) alleged in the Awradja court that the first case was struck out (look at Art. 69(2) of the civil procedure cod) because the agent (appellant) failed to appear on the hearing date: The file was (case was) struck out as proved by the court because the plaintiff and her advocate j(attorney)

¹ This case is taken from Journal of Ethiopian law vol. 3 No 1, 1966.

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failed to appear at the date of hearing of the case. The court fee paid to initiate this case was Birr 90 (ninety) and there was an award of Birr 50.00 (fifty birr) to the defendant against the plaintiff. As to the second case, the respondent, principal alleged that the appellant (agent) was not conducting her case satisfactorily and that she asked for the services of another advocate (attorney) who changed the original statement of claim and as a result judgment was given in her favor: Her allegation was that she withdrew the paper from the appellant (agent) after the bad experience in the first case where the appellant failed to appear on her behalf.

The court after providing the allegation in the lower court finds it important to state what the law under the civil code provides concerning such relationships and goes on to state as follows. The law as regards the hiring of intellectual work is laid down in Art 2632 and following of the Civil Code. Under these articles, the person who gives his intellectual services, as an advocate does, is bound to carryout his obligation personally (Art. 2633) and where the contract or usual practice so allows and it is not incompatible with the object of the contract any assistants that the advocate employees must be under his control and at his responsibility. As a consequence of this personal and fiduciary character of the relations between the advocate and his client, the client may, at any time, terminate the contract (Art. 2637) and in such a case the client is liable to pay to the advocate only the expenses made by him in connection with the legal matter and a fair remuneration for the work that he has completed. Under Art 2636, the advocate must carry out the work in the best interests of his clients, conscientiously and in conformity with the practice and rules of the profession, he is liable to his client for an error committed; such error, however, must be one which is the consequence of evident carelessness or ignorance; the advocate would not be responsible for an error of

judgment in the interpretation or application of the law. Under Art 2638, the advocate may at any time, recede from the contract provided that he does so in a manner that the client suffers the least possible prejudice.

After it has investigated the rules it has found out to be relevant to solve the given case and it has reduced the rules into the case at hand. It goes on disposing the dispute as follows.

Now, in the present case it is quite clear that in the first case, the appellant did not appear before the court as it was his duty to do once he has assumed to act for the respondent; as a result of this the file was struck out (closed). That is not simply an error of judgment but just carelessness on the part of the appellant in fulfilling his obligations towards his client; and we say carelessness because no good reason has been put forward to justify the absence. The appellant cannot be heard to say that he had rendered professional services to the respondent in that he had drafted the statement of claim; any services he may have rendered were completely useless to the respondent in that the file was struck out (closed) with the loss of Ethiopian birr 90.00 (ninety birr) court fees and costs of Ethiopian Birr 50.00 (fifty birr). The appellant is, therefore, liable to refund the sum of Ethiopian Birr 200.00 (Two hundred) and to pay the loss sustained by the respondent, that is birr 90.00 (ninety birr) and Birr 50, in all birr 340 in respect of the first case.

As regards the second case, there was an argument as to whether the respondent was justified in withdrawing the paper from the appellant after the incident in the first case? The appellant argued that the first case had not been closed (struck out) when the respondent terminated the contract and therefore she had no good reason to terminate. This

fact is not material because under Art. 2637 the client may at any time terminate the contract with the advocate. In the second case however, the evidence shows quite clearly that the appellant had appeared on a few occasions before the court. The respondent submitted that this statement of claim was not properly drafted and that it was amended by the advocate she subsequently employed and that on such a mended statement of claim judgment was given in her favor. This is not a valid argument; the remuneration of an advocate does not depend on whether the case is won or lost; the advocate's remuneration depends on the services rendered. But apart from the fact that the respondent could at any time terminate the contract, she had in this case good reason to do. The file shows that at the date of hearing, October 6, 1960 the appellant was warned by the court that he should produce all the documents in support of his case and given copies to the defendant. It was after this that the respondent terminated the contract with the appellant and sought the services of another advocate. Although the appellant would be entitled to a fair remuneration for services rendered, in the present case any services rendered were completely fruitless as far as the respondent is concerned. For these reasons, the appellant is liable to refund the Ethiopian Birr 300.00 (Three Hundred) received for the second case.

Hence the court confirms the judgment of the lower court on different grounds given by the lower court on the application of the articles cited above.

Dear distance learner, have you gone through the above case thoroughly? If you have some doubts in understanding the facts, the arguments and the rules and rulings of the court, read it again. I am sure you may have a question you want to ask and that question would probably be this one. What is the relation of this case with law of

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agency? If you have asked so, you are “half the way in solving the problem”.

A relationship between an advocate/attorney and a client the former to represent the latter in court law is a typical case of agency principal relationship because the advocate/attorney “agrees with another person the principal (the client) to represent him and to perform on his behalf one or several legally binding acts.” (*Emphasis mine*). It may be carried out by a professional or a non-professional individual. Not all professional duties undertaken are agency principal relationship. But an act carried out by a professional may be established in an agency relationship. For example, when a medical doctor takes a duty with a patient to medically treat the latter, this is a professional relationship that falls under “hiring of intellectual work” Arts. 2632 to 2638. But this does not establish agent principal relationship between the doctor and the patient. However, when the advocate has undertaken to represent a client he/she is bound as a debtor who has agreed to carryout his professional duty (to render intellectual work and as an agent.

Hence, the above case falls under agent principal relationship. The attorney is not only bound by those provisions (the above provisions from Arts. 2632 – 2638) discussed by the court to dispose the above case as well as those agency provisions governing duties of the agent and termination of agency.

Dear distance colleague, which provisions of the law of agency are violated by the advocate while the case was struck out for the failure of him to appear at the date of hearing? Try to pot down the relevant provisions and explain that in the spaces provided below.

The primary obligation assumed by an agent is to perform in accordance to the agreement and the law. “The party who undertakes to do something may undertake to procure to the other party a specified advantage or to do his best to procure such advantage” (Art. 1712) (emphasis mine) “ who so ever hires out his work shall undertake to carry it out in the best interest of his client, conscientiously and in conformity with the practice and rules of his profession.” That is the meaning of performance for a professional debtor like a doctor or a lawyer. But for an attorney who has agreed to represent his client in front of court of law there are specific obligations governed by the law of agency. The main obligation being working diligently and with due care. “The agent shall exercise the same diligence as a bonus paterfamilias in carrying out the agency as long as he is entrusted therewith.” This is the obligation failed to perform by the advocate when he failed to appear at the date of hearing resulting in stoking out of the case by the court. We will look at the implication of the analysis of the court in declaring the termination of the relationship in the section dealing with termination.

D. Duty to Account

The agent is bound to account for money and activities/ management of the affairs to the interest of the principal.

Art. 2210 Accounts

- (1) *The agent shall account to the principal for sum received by him and all profits accruing to him in the course of his*

employment, not with standing that the sums he received were not owed to the principal.

- (2) *Where the agent converted to his own use monies he owed to the principal he shall be liable for the payment of interest as from the day of such use, without being necessary that notice be given to him.*

What has been said in the above discussions, shows that the agent must pay over to his principal all money received to the use of his principal. This duty exists even if there is an adverse claim to the money by some one else including the agent. It exists even if the transaction in respect of which the money received by the agent on behalf of the principal was illegal. That is why the above-mentioned provision says “--- notwithstanding that the sums he received were not owed to the principal”. This provision under quotation could also be the case where the agent has received an extra amount with a mistake of fact from third parties.

This duty requires for its proper performance that the agent should be in a position to know what he must pay to the principal, and that the principal should be able to see whether the agent has fulfilled his duty. Hence the agent is obliged to keep the principal's property and money separate from his own and from other people's property and money to keep proper accounts, and to be ready to produce them on demand to the principal or a person appointed.

Similarly the agent is bound to account to his management of affairs as requested by the principal.

Art. 2213 duty to account

- (1) The agent shall at any time account to the principal at his request fro his management of affairs.*
- (2) He shall inform his principal with out delay that he has accomplished his agency.*

This obligation is based on the above obligations. Whether the agent has performed in accordance to the contract and law, he/she is obliged to report to the principal the accomplishments of the affairs up on the request of the latter. The principal is presumed to praise the acts of the agent. However, there may be many cases where the principal may not bless the acts of the agent. This is usually when the agent does not work within the scope and in the name of the principal. In other words, when both or either of the cumulative elements of a complete agency are not fulfilled, the principal may or may not approve the acts. It is at his option to take any of these measures: repudiate or ratify (Art. 2191(1)).

The principal may take any of the following measures up on the report made by the agent in accordance to Art. 2213. These are: he/she may bless the act expressly, he/she may remain silent; or he/she may expressly reject the acts done. All of these responses of the principal have their own legal effects under Art 2214. Look at the under mentioned explanation:

Art 2214 Approval of management

- (1) The principal shall be deemed to have approved the management of the agent where, after having received from him a statement there up on he remains silent for a longer period than warranted by the nature of the affair or usage.*

(2) The provisions of sub Art (1) shall apply notwithstanding that the agent departed from the instructions he received or exceeded the scope of his authority.

As we can infer from the above provision, Art. 2214; when the principal has expressly accepted the report made concerning the management of the affairs, for stronger reasons the agent shall be free from liability and the principal shall free the agent from the third parties with whom the agent might have acted with. On the other hand when the principal has expressly rejected the acts done by the agent, then it is to be examined whether the agent has acted in accordance to complete agency or not and whether the principal is bound to ratify it. But if the principal remains silent up on receipt of the report then, “ the principal shall be deemed to have approved the management of the agent...” , however, the principal is not expected to respond forthwith. But silence of the principal shall amount to acceptance “ if the principal remains silent for a long period than warranted by the nature of the affair or usage.” The last statement under quotation is not easy to determine. This needs to see case to case, that is the transaction the agent makes with third parties. Hence, if the agent has sold a perishable commodity belonging to the principal, this business does not warrant a longer period. Therefore, the principal is expected to make his decision known only within a short period of time. Because the nature of these goods makes the situation impossible and the principal must respond sooner or if the agent was authorized to buy a sheep to slaughter in a New Year occasion, the principal is expected to make his decision known before the sheep is slaughtered in the occasion. If he does not make his decision known till then, he is assumed to be late than what the nature of the affair or usage demands/dictates.

This is applicable for both an agent working within the scope or acting beyond the scope of authority [Art. 2214(2)]. This works for those agents who have done acts beyond the authority granted. When the principal does not respond within a period dictated by nature of the affair or usage then the principal is assumed to have approved and hence assumed to be ratified.

E. Duty of Non- delegation

The general rule is that the agent must perform his undertaking personally. The relationship of the principal and agent is a confidential one: the principal imposes trust in the agent of his choice. Hence, the obligation of the agent is to act personally in conformity with the maxim “*delegatus non potest delegare*,” which means the delegate (agent) cannot appoint a delegate (agent). However, there are exceptions to the above rule of non-delegation. These exceptions are spelled out under Art. 2215.

Art. 2215 Delegation of authority 1 possibility

- (1) The agent shall carry out the agency in person unless he was authorized by the principal to appoint a substitute.*
- (2) Such authorization shall be implied where from usage it appears a matter of indifference whether the agent acts personally or by deputy.*
- (3) The agent shall appoint a substitute. Where the interest of the principal so requires, when unforeseen Circumstances prevent him from carrying out the agency and he is unable to inform the principal of these circumstances.*

Hence, there are two exceptions to the principle, *delegatus non potest delegare*.

These are:

- a. When the principal authorizes the agent to appoint a sub agent:
This could be made either at the time of the making of the contract of agency or at a latter time.
- b. Authorized by law: the agent may be allowed to delegate another in place of him when it is of no difference whether the act is done by the agent himself or by a third person and this is implied from usage of the place of performance; or where the agent is unable to perform the order himself because of unforeseeable circumstances and the latter is unable to inform this case to the principal.

The latter is basically aimed at preventing the interest of the principal. Generally, unless permitted by law or by the consent of the principal the employment of a sub agent by the agent will be a breach of his obligation to the principal. This is because the relation of agent to his principal is normally at least one which is of a confidential character and the maxim *delegatus non potest delegare* to such relationships is founded on the confidential nature of the relationship.

Where the principal reposes no personal confidence in the agent the maxim has no application, hence the exceptions are applicable. But where the principal does place confidence in the agent that in respect of which the principal does so, must be done by the agent personally unless either expressly or inferentially he is authorized to employ a sub agent or to delegate the function to another.

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So far we have only looked at the principle of non delegation on the one hand and exceptions on the other. What remains is to see the relationship among the principal, the agent and the sub-agent /delegate in cases where the delegate was supported by one or any of the exceptional cases discussed above.

The agent is liable for the acts of the sub agent he has appointed without authorization (Art. 2216 (1)) but where he/she has appointed up on one or more of the exceptional cases stated above the latter is liable “only for the care with which he selected his substitute and gave him instructions”. This is an advice and precaution for the agent to be in good faith, prudent in selecting and ordering a sub agent in the interest of the principal. Whether the sub agent worked out in accordance to the obligations of an agent does not make the former agent liable.

Concerning the relationship between the principal and the substituted agent Art 2217 provides that:

“The relationship between the principal and the substituted agent shall be as though the substituted agent had received authority to act as agent directly from the principal where the substituted agent had reasons to appoint a substitute”.

The relationship between the principal and the sub agent is either as if these persons have a prior agreement or as in the case of unauthorized agency. Their relationship is considered as if they had a prior agreement directly when the substituted agent had reasons to believe that the agent was entitled to appoint a sub agent: that is either by agreement or by law. This belief is dependent on the understanding of the individual. On the other hand, if the sub agent does not have any reasons to believe the fact that the agent was authorized to appoint a

sub agent their relationship is governed by provisions of unauthorized agency (Arts 2257 – 2265) [Art. 2217(2)]

5.2.2 Duties of the Principal

The principal like the agent has some contravening duties towards the agent. These are:

- A. Remuneration;
- B. Duty to advance money;
- C. Duty to reimburse outlays and expense;
- D. Duty to release the agent from damages and liabilities;
- E. Set off conditional to the principal;
- F. Agent's lien right.

Now lets look at the these obligations one by one.

A. Remuneration

As we have provided in the discussions representation may be made up on consideration or gratuitous basis. Whether a representation is gratuitous or for consideration may be expressly provided at the formation of the contract or it may be implied at the time of the performance of the contract.

Contractual remuneration

The most important duty of the principal is to remunerate the agent for services rendered. The obligation to pay such remuneration exists only where it has been created by an express or implied contract between the principal and the agent. As we have provided in the above paragraph, it is possible for an agency relationship to arise from agreement between the parties and yet be gratuitous. In fact it may need construction /interpretation in each case whether it was the

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intention of the parties that the agent shall work gratuitously or whether an agreement to pay remuneration was made.

There are different forms by which agreement concerning remuneration may be stipulated. These include: first, the agreement might have stated the payment of remuneration and fixed the amount to be paid; second, the agreement might have stated that remuneration is to be due but without fixing the amount to be paid; the third instance could be, the agreement says nothing as to whether remuneration may be due or not. In the first instance the agent is entitled to the remuneration fixed in the contract. However, the court is empowered to reduce the amount fixed in the contract “where it appears excessive and out of proportion to the services rendered by the agent”. The court is not expressly empowered to increase the amount of remuneration to the benefit of the agent when it is found to be low as compared to the service rendered. It is only empowered to reduce the remuneration when it feels it is big. There are opposing views in relation to this measure of Art 2219(2). Some say by way of analogy the court should also do in favor of the agent when the remuneration is low. While others argue that, in the absence of remuneration (stipulated) Art. 2220 assumes a gratuitous agency relationship. This presumption does not empower the court to increase a lesser remuneration to the benefit of the agent. This 2nd argument is substantiated by the fact that because the law presumes gratuitous agency in the absence of agreement for the payment of the remuneration, for stronger reasons a remuneration which is circumstantially low does not require an increase by the court. It appears that the law has deliberately inclined towards the benefit of the principal. This is in line with the choice of the law to presume gratuitous agency upon silence of the contract for the payment of remuneration.

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Where the contract does not provide either by an express statement or by inference that remuneration is fixed, it is the third case of the relationship concerning remuneration. In this case there is no remuneration to be due. “In the absence of stipulation in the contract, the agent shall not be entitled to remuneration...” (Art 22220(1) first limb]. But remuneration is presumed when the agent “carried out the agency within the scope of his professional duties or where remuneration is customary”. The principle that remuneration shall not be due unless agreed or implied from the contract is made otherwise in two circumstances governing agency. These are: where the agent carries out the agency within the scope of his professional duty; or where such remuneration is customary in the place of performance. A professional agent (for example; an attorney) cannot be presumed to work gratuitously unless the agreement has made it otherwise. Similarly, when the custom dictates that an activity that is performed by the claiming agent dues remuneration, it becomes duty of the principal to pay the same. The amount shall be fixed by the court up on application of the agent. The second case falls in this last allegation, that is when the parties or the law has assumed remuneration but failed to fix the amount. In these latter cases Art. 2220(2) has provided “failing agreement between the parties, the court shall fix the remuneration in conformity with the recognized rates and usage”. The phrase “failing agreement between the parties” implies two cases: the case where the parties have agreed for the payment of remuneration without fixing the amount; and the case where the agent was a professional one carrying the activity in his professional capacity. The court in this case shall fix the amount to be due.

One instance of professional agent is the case of a commission agent. Commission agent, as we are going to see in the chapter with special kinds of agents is a professional agent. That is why Art. 2243 of the

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civil code grants remuneration automatically without any prior agreement for the payment of remuneration between the principal and the agent. Dear distance learner, compare Art. 2220 on the one hand (agreement in principle a condition for remuneration to due) and Art 2243 on the other hand (for remuneration to due no need to agree on remuneration). And try to appreciate the reason why these two provisions treat the subject (remuneration) differently.

B. Duty to Advance Money

The agent may need money to run the representation of the principal. These may include for example transportation and similar costs. “The principal shall advance to the agent the sums necessary for carrying out the agency “Art. 2221. However, this is the duty of the principal to advance sums necessary to run the representation, no effect of the failure of the principal is provided with this duty. Perhaps when the agent has failed to carry out his obligation for causes of non-advancement of money by the principal, the principal not the agent shall be liable.

C. Duty to reimburse outlays and Experts

The money advanced by the principal may not be sufficient to run the affairs of the principal. Or the principal might not have advanced money for the agent. In such cases the agent may employ his own money or money from other persons. These out lays/expenses incurred by the agent need to be reimbursed.

Art. 2221 (2) He shall reimburse outlays made and expenses incurred by the agent in the proper carrying out of the agent.

(3) Interest on such out lays and expenses shall be due by the principal as from the day when they were incurred without it being necessary to place the principal in default.

In short the principal needs to reimburse the expenses the agent has incurred with the interests it bears calculated from the day where the agent has used the money.

D. Duty to release the agent from liabilities and damages

The principal's duty to indemnify his agent's losses, liabilities and expenses incurred in the performance of the undertaking may be expressly stated in the contract of agency. But it is more usually implied.

Art. 2221 Liabilities and damages

(1) The principal shall release the agent from any liabilities which he incurred in the interest of the principal

(2) He shall be liable to the agent for any damage he sustained in the course of the carrying out of the agency and which was not due to his own default.

The point to raise here is what is the liability to be incurred and the damage to be suffered by the agent? The liability of the agent arises in cases where he/she has interacted with third parties necessary to run the affairs of the principal. For example, the agent may be obliged to pay an additional customs duty or might have agreed to pay and additional tax or customs duty. In this case the principal need to free the agent from liability. Similarly the agent may suffer certain damages in carrying out the affairs of the principal. While he is carrying out his

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duties the agent may destroy goods, address damages against others etc. What is required to fulfill is to prove that the damage sustained was not due to his own default.

E. Set – off: Conditional to the principal

The principal's obligation to pay remuneration when it is not committed is breach of the obligation on the part of the principal for which the agent may sue. In this case the principal cannot raise the defense of set-off under the pretext that the transaction was unsuccessful. But the principal may set – off the sums which he/she is bound to pay (including remuneration) when the business was unsuccessful due to the agent's default in the performance of the affair. (Look at Art. 2223.)

F. Agent's Lien Right

If the principal has not discharged his obligation of paying remuneration, expense, damage or liability payments etc and the agent is in possession of goods belonging to the principal, then the agent is entitled to exercise a lien on such goods and retain possession of them until such time as the principal has satisfied the due claims of the agent.

Art. 2224 Agent's lien

Until the payment of the sums due to him by reason of the agency, the agent shall have a lien on the objects entrusted to him by the principal for the carrying out of the agency.

There is one competing interest we need to make clear here. The agent is entitled to hold the good/object entrusted to him until the principal

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pays the duties to the agent. But this right does not work for documents evidencing agency. This is made clear under Art. 2184.

Art 2184. Document to be returned.

- (1) The agent shall up on the authority coming to an end return to the principal the document, if any evidencing his authority*
- (2) He may not retain such document until final settlement of his accounts or claims with the principal.*

Hence, the agent can not exercise a lien right over the document evidencing agency between the agent and principal. Therefore, only objects (document evidencing agency being excluded) are subjects of lien by the agent. But this right does not work for documents evidencing agency.

But dear distance learner, can you imagine the reason why a document evidencing agency cannot be subject of lien? Take these spaces and write your imagination here before you resort to reading the paragraphs below.

The reason is obvious. If the agent is left to hold the document after the termination of agency (after the agent has performed his obligations) while these two individuals are in dispute, the agent may abuse these right and use the document to enter into contract with third parties, making the principal liable. Hence, it was logical that the agent was denied the right to hold the document evidencing authority after the power has come to an end. This not only protects the interest of the principal but also, third parties and business insecurity in general.

5.3 The liability of the Principal, Agent and third party

It is the main effect of agency to bring liability among the three competing parties: the principal, the agent and third party. Below we are going to treat the liabilities that would arise among and between these parties.

A. Effects as between the principal and third party:

The basic rule:

It is axiomatic that where the agent has made a contract with a third party on behalf of a disclosed principal who actually exists and has authorized the agent to make such contract, the principal can sue and be sued by the third party on such the defects of the formation or performance of that contract. A direct contractual relationship is thereby created between principal and third party by the acts of the agent, who is not, a party to that relationship. This, indeed, is the very purpose and rationale of agency.

The importance of authority and name test:

The agent must have been acting with authority in making such contract. For a direct contractual relationship to result from the conduct of an agent, it must be shown that the principal has expressly authorized the agent to make the contract: or the agent, in making such contract, was acting within the scope of some implied authority or the principal had later held out the agent as having authority to make such contract; or the agent was not authorized to make such contract but his action was subsequently ratified by the principal; or the making of such contract was within the scope of the authority of an agent of necessity (case of unauthorized agency).

As to the liability of the principal towards third parties up on either an express or implied power is discussed in the above subsections. Remaining is liability of the principal for his acts of ratification for the act the agent has committed with out any authority and case of unauthorized agency.

Dear distance learner look at this case adjudicated by one of the Ethiopian courts, designed to show you the effect of agency up on the relationship between the principal and the third party and the role of the agent in agency relationship.

It is a case between Ato Hailu Eshete and Ato Demissie Legesse and others. Read it carefully.

This case was brought and adjudicated in Addis Ababa high court in 1960. The defendants were director and administrators of Itegemenen Handicraft School. The plaintiff was a resident of Addis Ababa who has bought a second hand car (Volkswagen) from the school at a public auction. He alleges in his statement of claim against the defendants that the car bought was in need of repair and he had incurred expenses. Also he claims since ownership of the car was not transferred to him he cannot enjoy what ownership entitles him (driving in the city etc).

The defendants on the other hand had presented a statement of defense pleading that:

They were agents of the school and produced evidences showing agency principal relationship between the school and themselves to sell the car. Similarly they have produced a receipt showing the fact that it was

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the school which has received the money and not the defendants except that they have signed on behalf of the school. Hence, demanding the court to dismiss their name as defendants and replacing the school as a defendant if at all the court believes that there has to be a defendant in this claim of the plaintiffs.

It was held that the defendants sold the car to the plaintiffs not as owners (individual or joint) but on behalf of the school. The court has substantiated its reasons as follows. The letters written by the plaintiff to the school authorities requesting that ownership be transferred to him proves that the plaintiff was aware of the fact that the school has directly involved in the sale of the car. Hence defendants cannot be held liable for acts done on behalf of the school. For these reasons said the court, we held that the proper party to be sued is the school and not the defendants.

Dear distance colleague, how do you relate this case with the effects of agency?

“Contract made by an agent in the name of another within the scope of his power shall be deemed to have been made directly by the principal.” (Art. 2189)

You may ask the following questions to solve the above case with the rules (the law) stated here. Do the agents sell the car in the name of the principal (the school) and within the scope of their power? Because these are the preconditions that need to be fulfilled for acts of the agent to result in making the principal liable towards the third party (the buyer plaintiff). As it was revealed by the evidences produced by the plaintiff and the defendants, the defendants have acted in the name and on behalf of the principal, the school.

The other point is whether the defendants have acted within the power vested. Similarly as the court has proved from the documents produced by the parties, the defendants were authorized to sell the said car and not to hire or lease. Hence, by virtue of Art 2189 (1) the buyers of the car, plaintiffs in this case are creditors of the school for any claims they have in relation to this case and the principal is liable to the plaintiffs; and the agents once then have acted within the scope and in the name of the principal are out of the scenario.

5.3.1 Liability up on Ratification of an act unauthorized

Generally it is believed that the agent shall establish a liability between the principal and third party when he/she has authority at the time of making of the contract with third parties on behalf of the principal. Yet, the agent may work with a lapsed authority or in an authority departed from its terms.

Art. 2207 Obligation to ratify

- (1) The principal shall, where good faith so requires, ratify the act done by the agent not with standing that he departed from his terms of reference.*
- (2) The provisions of sub-art (1) shall apply where it is reasonable to admit that in the circumstances, the principal would have extended the scope of the agents authority, had he been aware of the situation*
- (3) The agent may not require the principal to ratify where, before acting, he had the possibility of securing authority form the principal or where, after having acted, he emitted forthwith to inform the principal.*

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Here the principal is obliged to ratify the acts of an agent who in good faith, the interest of the principal requiring has departed from what is stated expressly or implied from the authority. The question here is what do we mean by “good faith”? It is provided under sub Art (2) of the above provision that the obligation is imposed on the principal where it is reasonable to admit that the principal would have extended the authority had he known the circumstance. On top of these the agent is in a situation where he is not able to demand an extension of authority or after he has committed he was prevented from telling to the principal the acts he has committed.

Illustration:

The principal has authorized an agent to buy him 100 quintals of teff. He is interested to buy more but he has a capital which can buy only 100 quintals. Fortunately the price of teff has fallen down and the money received for this purpose by the agent was able to buy 5 additional quintals of teff. The agent with this knowledge has bought 105 quintals of teff. This act of the agent may undoubtedly be called acted up on good faith. In fact, for the principal to ratify conditions provided under sub (2) need to be fulfilled. That is, the agent was unable to inform to the principal the facts which demand the extension of authority and failing to do so he has informed the principal of this reality.

Exclusion of Authority:

The converse of what is said above is that the principal is not bound by any contract made by the agent out side the scope of such authority expressly or impliedly given. The effect of this is the agent and not the principal shall be liable to the third party. Look at the provision below:

Art. 2293 Effect of repudiation

- (1) The provisions of Art. 1808- 1818 of this code shall apply where the contract is repudiated*
- (2) The third party having entered into the contract with the agent may demand that the damage caused be him by reason of his having in good faith believed in the existence of a valid authority be made good in accordance with the provisions of the following articles.*

Repudiation is the non-acknowledgement of the acts of the agent by the principal. The effect of repudiation is the principal shall not be liable to the third party and hence only the agent shall be liable (Art. 2195). Yet, where the agent acted “in good faith not knowing the reason by which his authority had come to an end” the principal shall be liable (Art. 2194). Please open your civil Code and look at the provisions of this article. Similarly both the principal and the agent shall together be liable in circumstances provided under Art 2195 of the civil code. We have dealt the concept of apparent authority in the earlier charters. In those sections we have looked at three cases where the agent and the principal shall be liable for he failure or acts committed by him.

B. Effect as between the Agent and the third party

In certain circumstances an agent will be personally liable on a contract which he has negotiated for and on behalf of a principal. The possibilities of such liability differ according to the nature of the contract. The agent shall be liable to the third party generally in two cases: where the agent acted beyond the scope of his power and/or acted in the name of a third party or his own name. Acting beyond power is acting in a lapsed or outside the scope of his authority (Art.

2190). In these cases the agent shall personally be liable to the third party unless the principal ratifies the act of the agent. Similarly, where the agent acts in his own name or in the name of another person either on behalf of the principal or in any other behalf the agent shall personally incur the liability or gain the benefits wherefrom (Art 2197). But the agent is excluded from liability where the third party was aware of the limits of the authority of the agent in a document evidencing authority. [Art. 2196]. Even when the agent has acted beyond power but the personal qualification of the principal is not required for the third party and the agent replaces the place of the principal there will not be liability of the agent towards the third party to pay compensation [Art 2196(2)].

5.4 Unauthorized Agency/Agency of Necessity

The notion of unauthorized agency is introduced and governed from Art. 2257 to Art 2265 of the civil code. It is linked to certain circumstances in which although no relationship of principal and agent exists or covers the exact situation which has arisen, the law tries to regard what has been done with the authority of some other person and therefore as his agent. Unauthorized agency is what is termed as agency of necessity under the common law. Necessity is meant that an unforeseen situation has arisen which carries with it sudden danger to the property, or similar interest of the person on whose behalf acts are performed.

Unauthorized agency is usually recognized for the protection of the interest of another: person or property. Art. 2257 states situations where unauthorized agency occurs. It occurs where a person who has

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no authority to do so undertakes with full knowledge the facts to manage another person's affairs with out having been appointed agent."

The following are factors identifying characters of unauthorized agency:

- The acting person does not have authority
- The acting person knows that he is not authorized to do the management
- He/she has taken the management.

Let's look at the meaning and implication of each of the identifying characteristics.

The acting person does not have authority. This character of unauthorized agency makes it different from a person acting beyond power. When an individual performs an affair of another in an authority either lapsed or beyond an authority, that is not named unauthorized agency. The effects of the two concepts are different. The effects of working beyond power or in a lapsed authority are discussed in the former sections. This case of unauthorized agency happens when there is not power of authority transferred from the owners of the affair to the acting person.

The acting person knows that he is not authorized to do the management: the person acting does the affairs not with the pretext that he is authorized agent. If the acting person does the affairs thinking that he was authorized (however in fact he was not) that is not case of unauthorized agency.

The act done was management of affairs. This is an important feature of unauthorized agency. Unauthorized agency works in the management of the affairs. Management of the affairs is defined by Art.

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2204. These include preservation & maintenance collection of debts, sale of crops, sale of perishable commodities and similar affairs. The term management under Art 2257 is not arbitrarily employed. But it is to indicate that only those acts of management shall be carried out by unauthorized agent to be blessed by the owner of the affairs and thus, to be ratified. Acts which require a special authority (take a look at Art 2205) are not required to be done by unauthorized person and shall not be governed by these provisions (from Arts. 2257 – 2265). Look at the following relevant concepts that go with unauthorized agency.

Management need to take place in the interest of the principal:

where the acting person managed the affairs of another at the same time as his own by reason of the fact that both affairs were so closely connected together that one of them could not be managed separately, it falls under unauthorized agency (Art. 2259.) This could happen in case where two persons have a joint ownership over a certain good and one of the owners have taken an act of management to save that good from damage or any damager; that is an act of unauthorized agency. Thus this person (the co-owner taking the preservatory measure) shall be presumed an agent. But when the acting person has committed against the principal's interest (will) or for the interest of the acting person; that does not fall under unauthorized agency (see Art. 2158).

Duties of acting person:

As management involves continuity, the acting person need not stop the management until such time the principal takes the place to manage his own affair. Similarly because he may not be informed of the danger imminent, the acting person need as soon as possible inform him of what is going on and the management taken place. Once the principal has taken the place he is bound to account as to what is done in the management of the affairs (Art. 2260)

Diligence is required from the acting person.

This obligation is similar in degree with an agency arising from contract. He is expected to act as a paid contractual agent [Art 2261]. Good faith is part of the obligations of the acting person. Thus, the provisions from Art 2208 – 2212 shall be applicable to unauthorized agency as well. Look at these provisions from the discussions made in the previous sections (duties of parties to the contract of Agency)

Duties of the principal:

The primary obligation of the principal is ratification of the acts done by the acting person. This duty is conditional: that it must be done in the interest of the principal. (Art 2264). The other obligation is to free the acting person from liabilities, costs, and damages the acting person might have suffered in carrying out the management. These also include interests as of incurring the damage, cost etc. (Art. 2264(2-3))

Effect of ratification:

Once the principal, either up on his will or by law has ratified the management, it has a retroactive effect as if the management was undertaken with authority to act (Art. 2254). And the effects of representation made in an authority actually given or implied shall be applicable here.

5.5 Agency from Court Order

A different kind of source of agency is authority granted by the court. This situation is not an agency either by a prior agreement of the parties or by the law maker. But it arises by the order of the court up on application. This case of agency is governed from Arts 2253-2256.

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The person appointed by order of the court is called the curator. Thus the parties involved in here are the person represented and the curator. This appointment of curator is usually necessitated when the person whose interest (s) are (is) to be represented is not in a position to appoint an agent by reason of being a way, ill or any similar causes (Art 2255). In these cases only limited persons (relatives, spouse and nobody) shall apply to a court with jurisdiction for the appointment of an agent to protect the interest of the person to whose benefit a curator is required. (Art 2254).

Only relatives and/or spouses have these rights. This is to protect the interest of the person represented against misuse of his interest. The person to be appointed is going to carry out those “acts as are of an urgent nature” [Art. 2255(2)]

The curator is expected to work for the interest of the person represented and the court may give directions on how to carry out the obligations and may impose liability on the curator. The curator has to as soon as possible inform to the person represented his appointment. The curator is a contractual agent for all the rights and duties [Art. 2256] Because of space and time we cannot write down the relevant provisions of this subsection. Thus, you are advised to refer frequently to the Civil Code provisions, relevant and cited above.

SUMMARY NOTES

The effect of any contract lawfully formed is one and the same. That is, it is binding between the parties as though it were law (Art. 1731). When an act is binding it is expected to be performed in accordance to its terms.

When it comes to agency it is not different it is spelt out under Art. 2189(1) that representation made within the scope and in the name of the agent, shall bind the principal and the third party. But these two requirements are unconditional. The effect under Art 2189 shall be established only when the two cumulative elements are unconditionally met.

The non- fulfillment of either or both of the conditions is treated with differing effects. Non – fulfillment of the name test is explained by the agent acting in his own name for example. This situation is covered by Art 2197 that the agent and not the principal shall be liable. The link sought to be created between the principal and the third party is broken. The agent shall be personally liable and/or enjoy the effect of such a relationship.

The third party cannot demand the performance of the rights arising out of the act of the agent. He/she can ask only from the agent.

What about the non – fulfillment of the other element, i.e. the agent does not act within the scope of authority given? To act beyond power is explained by the agent acting with a lapsed authority or when he has abused power. The former implies a time limit for the authority. There was power conferred on the agent to act but latter lapsed. The latter implies the existence of power at the time of the making but the

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agent has acted beyond what is given to act. The effect of failure of the agent to fulfill this element empowers the principal either to ratify or repudiate the act of the agent of the former.

When the principal has opted for the ratification, the act shall be considered to be committed with an agent having a full-fledged power to act. On the other hand when the principal has taken the other option then the agent shall be liable towards the third party.

On the other hand when the agent has acted within the scope and in the name of the principal that mode of representation is named complete agency. The principal in the latter case can enjoy as if he himself has concluded the contract with the third party.

Defects at the formation of the contract can be invoked by the principal himself even without the need to keep the agent in person. The same holds true to the third party. The third party can raise any defenses available for the principal and if he has concluded the contract with the principal. As we have dealt within the body of chapter 5 the difference in the wording of Art. 2189(2) and (3) is to fill the gap that was created by Art 1704 of the Civil Code. As you would remember fraud committed by third person in this latter provision can be a ground to invalidate a contract conditionally. But when it is committed by an agent no condition is attached via Art 2189(3). That is the reason why the two sub articles apparently look like having different meanings.

Contractual relationships bring obligations among the contracting parties. Similarly agency contract imposes obligation on the respective parties.

The agent is obliged to:

- a) Protect the rights of the principal from conflicting interests. Conflicting interests could arise; when the agent acts for another principal; when the agent acts with himself or with his relatives, friends etc. When the agent contracts with himself, the law presumes conflict. This emanates from human nature. The burden of proving the fact that there is no interest under conflict lies on the agent. But on the other hand, if the claim that there was a conflict in any other case is up on the principal to prove.

In any case when it is proved that there is a conflicting interest, the result is the cancellation of the contract. But when the conflict is made good by the third party or the agent himself acting on his behalf no cancellation shall follow.

- b) Good faith of the agent: Good faith is not a common obligation in other ordinary contractual relationships like sales contracts for example. The contracting party may invoke period of limitation in and faith. However, when it comes to agency it is the central element. Because the agent is acting not only for the employer like an employee but also on behalf of the principal, representing him. Acting to the principal is different from acting on behalf of the principal. What is done is considered done by the principal. That is why the Amharic version uses the term “Enderasie” good faith emanates from the very nature of agency.
- c) Diligence: this relates to care and skill of the agent. The standard of diligence and care is dependent up on whether the agent is a paid one or gratuitous. The former requires high degree of diligence and the latter less.

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- d) Duty to account: relates to accounting to money and activities whenever
- e) Duty of non- delegation: The interest of the principal is best protected generally when he does manage his own affair. When he cannot make it for different reasons, it is better protected by his delegate (the agent). The degree of protection of the interest is inversely proportional to the distance of the administrator from the principal. That is if the agent is also going to appoint another person to act on behalf of him to the benefits of the principal to the degree of promoting the best interest of the principal decreases. Hence, in principle the agent is supposed to carry his obligations himself. Yet, there are cases where the agent may appoint a sub – agent. These are limited only to provided cases. These are:
 - a) When the principal has authorized the agent to do so
 - b) When the agent was authorized by this

The principal has also counter obligations towards the agent. These include: payment of remuneration duty to advance money, duty to reimburse advances and expenses, duty to release the agent from liabilities and damages.

Remuneration is money to be paid in response to the acts done for the principal. Remuneration could be contractual or implied. In principle an agency relationship without stating a remuneration to be paid is presumed to be gratuitous agency for free. Remuneration is not presumed. But, when the acting person is one carrying out in his professional capacity, remuneration is presumed. For example an individual who has dealt with an attorney, to handle his case in front of court is presumed to have agreed to pay remuneration. Or when an individual who has employed an commission agent is presumed to have

agreed for the payment of remuneration. The amount to be paid is to be fixed by the court depending on the duty assumed by the agent.

In addition to paying a fixed or presumed remuneration the principal has also to advance money to run the affairs of the principal. Sometimes the money advanced may not be enough to run the affairs and the agent might have used money from another source; himself or third party. The principal is indebted to reimburse any expenses the agent right has incurred in carrying out his duties. The principal is also bound to free the agent from liabilities and damages suffered in carrying out the duties. Set off is only conditionally granted to the principal. The agent has a lien right over the properties belonging to the principal. But lien right cannot be exercised against document evidencing power of authority.

SELF-CHECK EXERCISES

1. What is the effect of agency lawfully formed between the agent and the principal?

2. What are the conditions that need to be fulfilled for the main effect of obligation to come?

3. What is the result of the non – fulfillment of the name test.

4. How do you explain acting beyond power?

5. What is the effect when the agent has acted within the scope and in the name of the principal?

6. List down the obligations of the agent.

7. How is conflicting interest explained?

8. What is the effect of conflicting interest?

9. How do you explain the degree of diligence required from the agent?

10. What is meant by duty to account as an obligation of the agent?

11. Can an agent delegate a sub agent for the affairs of the agent?
Explain

12. List down the obligations of the principal towards the agent?

13. Why is not document evidencing power of authority subject to lien? Explain

Hypothetical and Real Cases

1. CRBC construction is one of the construction organization in Ethiopia engaged in building construction, bridges and similar undertakings. It has different projects running in this country. Ato Zenebe was appointed coordinator of a project in the CRBC from Gondar to Bahir Dar road construction. Ato Zenebe has leased a bull dozer for the benefit of the CRBC from a company engaged in this activity. The owner of the bulldozer has requested the payment of the rent from the CRBC.

Question

Is Ato Zenebe legally entitled to Lease a bulldozer?

2. Which of the following activities are acts of management?
 - a) An individual bought woods to repair a store.
 - b) Ato Kassa, manger of a wood working work shop has bought timber.
 - c) Ato Kassa, manager of the above work shop has concluded a contract of loan with a bank to run the business of the workshop.
 - d) Ato Kassa has concluded a contract on the maintenance of the building of the workshop with an engineer.
3. Ato Abebe is driver of a lorry employed by the owner, Ato Amare. Once up on a time, while he has been driving down to Hawassa, the car lost an expensive spare part. Unable to communicate this fact to the owner, for the car is damaged in the middle of Rift Valley far away from towns or villages; he has to buy the required spare part from a passerby car driver. Aware of all these facts, the owner has refused to ratify the act of the driver.

Question

How would you handle the situation?

4. Ato Seid has appointed Ato Lema to buy him a car (automobile). Ato Lema while he is wondering to buy a car, he has found his nephew, ready to sell a car. Ato Lema has bought the car in the name and on behalf of Ato Seid with a price a bit exaggerated.

Questions

- Ato Seid has discovered the fact that the car was bought from a relative of the agent and there was a conflicting interest of him with the agent. What is the remedy available to him? Discuss
5. W/ro Selamawit was appointed agent to buy a good for birr 200.00 (two hundred). She has bought the good for an additional price of birr 20.00 (twenty Birr). The third party from whom the good was bought requires the payment of 220.00 (two hundred and twenty Birr) from the principal because he has concluded the sale contract thinking that W/ro Selamawit has a power to buy for that amount.

Questions

- How do you manage the situation?
6. Ato Abe was appointed agent of Shimelis to buy certain goods. On Meskerem 2, 2000 he has bought a certain good beyond power of authority. Ato Shimelis was satisfied with the quality of the good bought: and however he does not authorize the agent to buy that good, he has ratified the act the agent has concluded with the seller on Tikimt 30, 2000.

What is the date of conclusion the contract of sale? Is it on Meskerem 2,200 or Tikimt 30, 2000? Why?

7. What is meant by the term “immediately” under Art 2190?
8. Ato Mulugeta, Zeleke, Shimelis and some other 5 individuals were getting together for monthly affair in a regular place. Ato Zeleke has declared to every body there that he is an agent to Shimelsis to sell and buy goods on behalf of him. The other day, Zeleke has sold the TV belonging to Shimelis to one of the individuals in the gathering made in the previous days who believes that Zeleke was really an agent empowered to sell the good.
 - A. What is the liability of the agent?
 - B. What is the liability of the principal?
 - C. Would the principal succeed in invalidating the relationship?
9. Zuro Megbiyaye PLC lends money for persons to build homes; the borrowers sign notes in which the principal and interests are repayable in quarterly installments over a period of fifteen years. As security for each loan; it takes a mortgage over an immovable belonging to the borrowers or third parties. For the past ten years the PLC has sold its notes, along with mortgages, to the bank. The PLC has continued to collect the installment payments on the notes and to transfer such payments to the bank. There has been no express agreement to this effect between the PLC and the bank; the borrowers have known of the sale of the notes and mortgages, but were told by the PLC that it would continue to collect the payments as agent of the bank. Ato Shimels, a borrower, paid three monthly installments to the PLC which were

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not transferred to the bank. The bank now sues Ato Shimels in court, demanding the sale of the property secured by the mortgage and payment of all amounts due.

Would it succeed? Explain.

10. Ato Alemayehu was appointed special agent of Muluken to buy a precious material from whoever he finds. Ato Alemayehu has received an offer from Lake to buy that precious material. But the price of the good was so high that Alemayehu cannot conclude the sole agreement with the seller with the money at hand which the principal has delivered to him. And he knows that Ato Muluken cannot deliver him any additional money. Having these backgrounds Ato Alemayehu has determined to use threat of force against the seller.

In an evening he has gone to a corner where he was able to find Ato Lake and succeeded in concluding the contract and getting the good delivered on a lower price below Ato Lake was naming in a sober mind. The contract was concluded in the name and on behalf of the principal.

Ato Lake has initiated a case in front of a court to invalidate the contract concluded invoking threat of force (say conditions to invoke it are fulfilled). But Ato Alemayehu has defended the case invoking Art 2189(3).

His argument was the alleged act committed is not that of fraud but threat of force. Art 2189 (3) entitles the third party to set up a fraud committed by the agent and not a threat of force or even mistake. So, the defendant argues that the contract is valid.

Assume you are a judge for this case, what would you decide? (Hint: look at Art. 1704)

12. Explain the fact that the name test is the main test in Ethiopian agency law in terms of:

- a. Liability of the principal
- b. Liability of the agent
- c. Ratification

13. Tigist is appointed agent of Kassa. She was appointed to buy goods on behalf of Kassa. Tigist, while she has been performing her duties in the name of her principal, she has bought two items in her own name. Ato Kassa being aware of the fact that she has bought these items on her own name, he has communicated to the contracting third parties that he may or may not ratify the act of the agent.

Question:

The third parties who have concluded the contract with Tigist (Tigist acting on her own name) have approached you to know whether the statement of Ato Kassa is valid in the eyes of the law. Write the implication of his statements based on the relevant laws.

14. Once up on his leisure days Ato Lingerh who has been driving to a recreational area to pass the weekend day away from home has lost one spare part of his car in front of his friend's residence on the way to his destination. He had to go to his friend and find a solution. While he has parked the car within the premise of his friend and the two have been enjoying together, the son of Ato Mamo (friend of Lingerih) heard of the facts, with out the knowledge of Ato Lingerih has bought part of the car lost from a garage on credit basis and fixed the problem. Later, the owner of the garage requested the payment of the money in accordance to the agreement from Ato Lingerh.

Questions

- What would you advise both the owner of the garage and the son of the friend of the Ato Lingerh?
- Would the sale agreement be valid?
- If the contract would not be invalidated, who should pay the price of the goods bought?

16. Ato Tadese was a diligent and faithful agent to Yayesh so far. Only today he has concluded a contract of service with Ato Gemechis beyond his authority. He has agreed with the latter to prepare him a table for a payment of 800.00 (Eight hundred birr) beyond his power. Ato Gemechis has been paid only 100.00 (one hundred birr) as part of the price. After he has finalized the work he has requested for the payment of the remaining price. But the principal has informed him that, “my agent has acted beyond power while entering this contract with you. Therefore I am not responsible for the payment and you may ask him to pay you.”

Questions

- a. The third party has invoked Art. 2214, would that be tenable?
Discuss
 - b. Suppose you are the judge in this case, how would you resolve this dispute?
17. Discuss the following concepts
- a) Apparent authority
 - b) Undisclosed Agency
 - c) Commercial Agent
 - d) The difference between implied authority and implied agency
18. Ato Solomon is a government employee in Bahir Dar. Sometimes he buys and sells houses for gain. To keep him running this business fast, he has appointed Amanuel his agent. In the contract

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(written) giving rise to this agency relationship, it is provided as follows.

“ I the principal, Solomon has given power of authority to the agent Amanuel on the following: to buy house and transfer title of the same, to form agreement and sign on them, to pay taxes, when required and to perform any acts in place of me.”

In the mean time Solomon dies. Following the death, heirs of the deceased residents of Addis Ababa has appeared to their father’s house to take their succession. Unfortunately an individual whom they do not know is residing in side. They asked him to evacuate because they are heirs. They were in fact declared heirs by court. Amanuel has shown them the above mentioned authority and told them that he has sold the house to a third party named Aster with the authority he has and their father has collected some the price before his death. He has produced a contract of sale of the same house signed by the so called buyer and the agent. And he claims that it is only some amount of money remaining uncollected which they can do.

Questions

- a) Was that a special authority or general?
- b) Is Amanuel empowered to sell the house?
- c) Can the heirs succeed if they are going to take this case to court?
What is their legal ground?

19. In the realities of agency “the name test is the main test.” Does this adage go with Ethiopian agency? Support your answers with laws and arguments.

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20. Tadele is agent of Zeleke in Bahir Dar. Zeleke has won the 2007 USA DV lottery. Before he left for USA he has applied for court and found a declaration of revocation of the agency. Tadele with out the knowledge of the revocation, he has concluded contracts with third parties after the revocation of his authority.

Questions

- Is Zeleke bound to ratify those acts committed after the revocation?
- If your answer to the above question is in the negative, who is responsible for those acts?
- Would that have differing effect if the agent had acted in his own name and in the name of the principal? Discuss.

21. Say, an act committed by an agent is revoked by the principal because the agent has made it beyond power. The agent wants to perform the obligations himself to relieve himself from paying loses.

Question

Can the third party resist and succeed? Discuss.

22. What activities is a person conferred power in general terms required to carry as an agent? And what activities is he not allowed to perform? List.

23. Discuss the conditions that need to be observed for an agent to employ a sub agent.

CHAPTER SIX

SPECIAL KINDS OF AGENTS

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6. 1 Commission Agent

A. Commission to buy or to sell

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C. Forwarding Commission Agent

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Introduction

It is important to classify things in to their specific categories both for the purpose of understanding the concepts well and to see their specific application.

One of the most important features of agency relationship is the authority of the agent. This is concerned with the functions entrusted to the agent, as well as the mode of exercising those functions. In some degree the agent's authority is derived from or defined by the particular kind of agency he undertakes. As a result of legal and commercial developments, certain kinds of agents distinguished by name and function have been developed with varying functions. Those various kinds of agents will be described below.

Chapter Objective

At the end of this chapter students are expected to comprehend:

- The different kinds of agents;
- Special features of each of types of agents;
- The relevance of each of the kinds of agents.

6.1 Commission Agent

Dear distance colleague, have you ever employed the term commission in relation to performing an activity for another? Have you ever looked at an individual employed in a shop with a payment of money as per the amount he/she sold per day/week/month? For we have different commission agents depending on the activities done by the agents as well as the duties to be assumed it is waste of time to give a general definition to a commission agent generally. Therefore, I have decided to look at the definition and features of each of the commission agents as follows.

A. Commission to Buy or to Sell

a) Definition: As the name implies a commission to buy or to sell is an agent empowered to sell or buy goods. It is defined by Art 2243(1) as:

“the commission to buy or to sell is a contract of agency where by the agent, called the commission agent (to buy or sell) undertakes to buy or sell in his own name but on behalf of another person, called the principal, goods, securities or offer fungible things” (emphasis added)

For the purpose of comparison let's look at the definition given under Art 60 of the commercial code.

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Art. 60(1) “a commission agent is a person or business organization who, independently, professionally and for gain, undertakes to buy or sell in his name, but on behalf of the principal, goods, movables or any other thing of a similar nature or to enter in his name but on behalf of the principal into a contract of carriage of goods.”

In both of the definitions the following are the underlying features of a commission agent.

The parties:

The parties involved here are the principal, and the commission agent (to buy or to sell). The special name commission agent (to buy or sell) works for a commission agency. The commission agent is a professional (trader) under the commercial code. A commission agent fulfills the features of a trader. But the principal can be any person. The agent acts in his own name: of the most important, if not the only, feature of a commission agent (to buy or sell) is the fact that the agent acts in his/her own name. It is not relevant in this variety of agency for the third parties to know with whom they are contracting. The business itself does not require to know on whose behalf the third party is interacting. Yet the agent acts on behalf of the principal. An individual (third party) may not be interested to know who the seller of a jacket he has bought in a market place. The seller may be the owner or a representative. You may not be much worried as to the capacity (agent/principal) in which the seller has dealt with you. This makes ordinary agent different from this variety of agents. As you remember under Art 2189(1) the name test is relevant for the effects of agency to come. But here is the exceptional case of that general rule of “name test”.

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The goods to be sold/bought are: goods, securities and tangible things. Dear distant colleague, is there any qualification over the subjects of sale/buy? I.e. is it any good that can be sold or bought by a commission agent? Look at Art. 2234. It has listed out the things which can be bought or sold by a commission agent. These are goods, securities or other fungible things. What is meant by good? Good is defined under Art. 1126 as either movable or immovable. Thus, it can be said that both movable and immovable goods are subjects of sale by a commission agent. But there are some who argue that immovable things and special corporeal chattels are not subjects of a commission agent. This is because a commission agent of this type works in his own name. That means he sells or buys goods as if he is the owner without disclosing the name of the principal. One of the requirements in sales transaction is that the one who is named seller must be able to transfer ownership. Thus, the seller must be one who owns the goods or whom the law presumes the owner. The holder of ordinary chattels (movables) is presumed owner and he can transfer title up on delivery. But when the good sold is a special corporeal chattel and/or an immovable the possessor/holder is not presumed owner. Therefore the agent cannot sell conveniently a good which requires a special formality for transfer in his own name. The agent may be able to sell in the name of the principal. But that is not a commission agent to buy or sell: because the feature of the concept is affected in the latter case. The purpose of representing is to facilitate the affairs of the principal. Therefore these people argue that an immovable cannot be subject of a commission agency.

Therefore, the term “goods” here is meant under Ethiopia law (Art. 2284) goods which the possessor is presumed to own. These are ordinary chattels. Dear distance learner do you agree with these arguments?

On the other hand, securities include: shares, commercial instruments etc which do not require the principal for transfer of title. And fungible things are those goods in contradistinction to specific goods which are usually measured with weight, length etc. These are mainly agricultural products like teff, wheat etc--- specific goods are also subjects of sale/buy by a commission agent.

B) Scope of commission Agency provisions: Commission agency generally is a special category of agency relationship. The general rules of agency are applicable to commission agency subject to those special provisions which are applicable only to commission agency from Art. 2234 – 2256. That is provided by Art. 2234(2) as “the rules governing agency shall apply to this contract subject to such special provisions and exceptions as are laid down in this section.”

C) Duties/Rights of the Commission Agent:

Subject to the provision under Art 2235 or the civil code where the general agency provisions are applicable here too, we are not going to discuss the obligation of the general agent. Because the general rules discussed above are applicable for special kinds of agency-principal relationship unless the special provisions dictate otherwise. Therefore here we are going to look at the obligations special to a commission agent.

Measures of preservation:

Unlike a general agent a commission agent is much in contact with goods of the principal either to be sold (mainly because it may take time to sell goods) or bought until they are delivered to the principal. The goods which may be away from the principal for either of the purposes (sell or buy) are in possession of the agent. Hence it is not a surprise if

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a duty of preservation is a primary obligation on the part of the agent in respect to the interest of the principal. A sales commission agent is bound to “take all necessary steps for the preservation of the goods sent to him on behalf of the principal. This is the duty to protect the goods from damage of any kind. The agent is expected to safeguard the goods in his possession as a *bonus pater familias*, (Art. 2235).

Not only are those properties/goods under his /her custody but also those goods under carriage expected take care of. Therefore he is expected to follow up whether goods sent are in a good state of their condition as well as the fact that these goods have arrived on time and shall inform to the principal any delay of the delivery of the goods to him/her (Art. 2235(2)).

The above duties are imposed in a similar fashion against a commission agent who has not accepted an offer to be an agent, when the goods are sent together with the offer. I hope you remember the points we discussed as to how acceptance of an offer is made when it is made to a professional agent. Under Art. 2201(2) we have said that unless such an agent immediately refused this offer, acceptance is presumed. Yet, even when the offeree to a commission agency refused/rejected it, there is a duty to take preservatory measures “where the commission falls within his professional activity.” The offer made is selective to result in this effect. For example, an attorney who is sent an offer to be a commission agent to sell a good/or goods is not required to take preservatory measures [Art. 2235(3)] This is because it does not fall under his professional activity.

Sale of goods consigned:

Part of measures of preservation of goods is sale of goods in imminent danger.

Art. 2236 sale of goods

Where there is a risk that the goods consigned for sale will quickly deteriorate, the commission agent may and where it is in the interest of the principal, shall have them sold with the assistance of the competent authorities at the place of their location.

This obligation is applicable for a commission agent to sell. Goods waiting a good price consigned for a longer period may be in a risk of getting deteriorated. In this case it is in the interest of the principal to sell these goods at the current price. The price of the goods might not be at the price the principal is looking for. To avoid conflict of interest as well as a confidence among the parties (the agent and the principal) the law has devised a mechanism that the sale of the goods to deteriorate to be made in front of public officials at the place where the goods are consigned. The goods may be sold at a lower price than expected. Yet this is in the interest of the principal compared to losing the total value.

Anticipated payment:

This is applicable to a commission agent to buy. A commission agent to buy goods is going to pay prices. The payment of price has to be committed after he/the agent has taken delivery of goods. When the agent commits payment of price before he has taken delivery, it is up to him whether the third party fails to deliver the goods. It is on his risk when the seller fails to deliver the goods on the agreed date. The principal is entitled to get the goods bought (price paid).

Art. 2237 Anticipated payment

The commission agent shall act at his own risk where, without the principal's consent he pays the seller before delivery has taken place.

In fact the principal may grant this right to the agent: to pay price before delivery takes place either at the beginning where authorities was granted or by a latter order. In this case the agent shall be paying at the risk of the principal and not at the risk of the former.

Sale on Credit:

This obligation works for a commission agent to sell. This is a counter obligation to the obligation related to anticipated payment discussed above. In principle the agent must commit a simultaneous payment. That is, he has only to deliver the goods up on the payment of the price by the third party. However, where it is the custom of trade at the place of sale and the principal has not given an otherwise order (not to sell on credit even in the presence of custom,) the agent may commit a credit sale. To put it in simpler terms a credit sale for the agent is allowed only in limited circumstances:- when custom of the place of sale allows, and the principal has not given contrary instructions to the agent.

In all other cases the agent is liable to the principal and the latter is entitled to demand the price before payment to the agent is committed as if a cash sale is committed.

But a benefit that may be accrued because of a credit sale does not go to the principal in this case. Is there any additional benefit other than the price in selling a good on credit? In practice when a good is sold in credit it means the price is paid at a later date than it would have been

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had it not been a credit sale. The seller fixes an additional payment (usually the interest of the price calculated in those unpaid days) that the buyer is going to commit. That is the benefit on credit sale. When the agent has committed a credit sale contrary to custom and/or contrary to instructions of the principal and the principal has received price as if sale on cash is committed, the benefit (extra benefit to the price) goes to the agent.

A close look at Art 2238(2-3) and Art 2239 reveals a discrepancy among these provisions. Look at Art 2238(2) the commission agent who has committed a credit sale has to inform to the principal two things: the person of the buyer and the period of time granted for payment. Sub Art (3) adds when the agent fails to tell to the principal any of the above information the transaction is deemed to have been committed on cash basis and Art. 2239 shall apply. When it comes to Art 2239 it is provided as follows:

Art. 2239 unauthorized credit

- (1) Where the commission agent grants time for payment contrary to the instructions of the principal or usage, the principal may demand immediate payment.*
- (2) In such a case the commission agent may retain the benefits he received in granting time for payment.*

The problem is under Art. 2239, *immediate payment to the principal and benefits to the agent*, are they applicable when the agent has committed a credit sale contrary to custom and/or against contrary instructions of the principal or is it because he has failed to inform to the principal as to the person of the buyer and the period granted for the payment?

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Therefore, if an agent has failed to fulfill the conditions under Art. 2238(1) but has fulfilled those under 2238(2) is he relieved of an immediate payment? It is impossible to answer this question in the positive; because, Art. 2239 (effect provision) says where the agent fails to act in accordance to Art. 2238(1) and does not include the condition under Art 2238(2).

At the same time it is impossible to answer the above question in the negative too because Art 2238(2) provides Art. 2239 shall be applicable when the conditions under 2238(2) are not fulfilled.

I saw a problem in the drafting of this provision. The purpose of sub Art (2) of Art 2238 is to notify the principal to decide on whether the buyer is solvent and the time given does not affect the payment of the debt (price). When the principal has approved the credit sale, even when the buyer fails to pay at the agreed time no liability of the agent but the principal. And the provisions under Art. 2239 does not apply. Yet, when the principal does not approve the credit sale then Art 2239 shall be applicable. Therefore, the purpose of Art 2238(2) is to present the factual situations of the credit sale in terms of the person of the buyer and the time a granted to the principal to decide. However, whether this option (to decide on the approval or otherwise of the sale) does not seem to be given in clear terms by Art. 2238(2) it is implied by the cumulative reading of the two provisions.

B. Del Creder Commission Agent

An agent is not a guarantor of the obligation assumed by a third party. But it is not prohibited for an agent to be a guarantor for the performance of the obligation assumed by the third party with whom the agent has acted on behalf of the principal. Art. 2240 of the Civil

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Code is indicating to the effect that an agent can be a guarantor for the performance of the obligations of the third party. It provides as:

Art. 2240 Guarantee give by commission agent

- (1) The commission agent shall be liable to the principal for the payment or the performance of other obligations by the persons with whom he contracted where he acted as a del credere agent.*
- (2) Unless otherwise agree, a commission agent entrusted with the purchase or sale of securities shall be deemed to be a del credere agent.*
- (3) A commission agent entrusted with the purchase or sale of goods shall be deemed to be a del credere agent where such is the custom of trade in the place where he resides or where he guaranteed the solvency of the persons with whom he contracted.*

When agent acts as a guarantee he/she is named as a *del credere* commission agent (Art 2241). The *del credere* commission agent is liable to the principal for he payment or performance of obligations assumed by the third parties towards the principal. It may arise from two sources: consent of the agent and the principal and by the law. By law it arises where:

- The agent was entrusted to buy or sell securities or
- It is custom of trade of the place where the agent resides; or
- The agent guaranteed the solvency of the third parties with whom he/she has contracted.

An agent entrusted with the purchase/sell of securities is required in effect to be cautious whether the third parties are capable of performing their obligations. The agent and not the principal who need to assess

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the nature of the securities to be bought and the capacity of the third parties to pay the agreed price.

Similarly where it is the custom of trade in the area where the agent resides an agent to guarantee the performance of the obligations by third parties, it is natural for him/her to assume obligations of guarantee. And when the agent has guaranteed that the third party is solvent, it is an implied guarantee is assumed.

The effect of assuming guarantee of the performance of obligations by the agent is; “the agent shall...be liable to the principal for the performance of the contract he entered into unless non-performance was due to the principal’s default.” As if he was the guarantor of the obligation assumed by the third party the agent shall pay when the third party fails to pay. We may ask whether the agent is a simple or joint guarantor. It is given under Art. 2241(1) that a del credere agent is a joint guarantor: “--- a guarantor jointly liable with the person...” Sometimes the principal may be one cause for the non-performance of the obligation assumed by the debtor (third party). The principal may assume certain obligation that are essential for the performance of the obligations by the agent. These include for example: taking delivery of the goods bought by the agent or making transportation available. The latter might be assumed by agreement. In these cases the agent shall not be liable for the non-performance by the third party.

Insurance: the Principal may want the agent to insure goods in the latter’s possession. It may be to the interest of the principal to insure the goods. But this cannot be presumed unless principal has given a special order to the agent to do so. “The commission agent shall not be bound to ensure the goods unless the principal instructed him to do so” Art. 2242. that is true that it is not the duty of the agent (commission

agent) to insure any good at his hand to be sold or bought unless he is instructed to do so. Yet, it is not the right of the agent to refuse to insure the goods when he is instructed by the agent.

Remuneration of a Commission Agent

Remuneration for a professional agent like, a commission agent is presumed even when parties fail to agree on whether it is payable or not.

Consequently, either when there is no agreement on whether remuneration to be due or not or when parties have failed to agree on the amount to be paid, the court shall fix the amount depending on “the custom of the place where the contract was entered---“. In the absence of custom dictating the amount, that court shall fix it on the basis of equity having regard to the work performed by the commission agent, the expenses he incurred, and the risks he assumed.” (Art. 2243 (1-2).

A *del credere* agent needs to be remunerated higher than the ordinary commission agent. The relationship deserves an extra commission because the commission agent has assumed extra duties. This extra commission is to be agreed by the parties or to be determined by court in accordance with usage or equity (Art. 2243(3).

Remuneration for an ordinary commission agent or a *del credere* commission agent is due “where the transaction entrusted is completed or failure to complete it is due to a reason attributable to the principal” (Art 2244(1).The commission agent shall not be paid remuneration in the following cases:

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- When the transaction was not complete for causes other than those stated by Art. 2241(1) and it is contrary to the usage of the place of his professional activity: (Art. 2244(2))
- The agent has breached one of his duties (honesty) (Art. 2241(1))
- In particular where the agent pretends that he/she purchased at a higher price or sold at a lower price than he actually sold (Art. 2245(2))

Honesty is the best policy of agency relationship. In the earlier sections while we were dealing with duties of the agent, we have said that the agent is required to act in good faith towards running the interest of the principal. Any clandestine benefit, a benefit without the knowledge of the principal is breach of good faith and hence acting dishonestly. That results in forfeiture of the agent of payment of remuneration.

Outlays and advance:

There is nothing special for a commission agent with respect to the right of the agent to be reimbursed the expenses he/she has incurred in running the affairs of the principal. It is provided under Art. 2246 that the principal is bound to reimburse out lays and advances (money that should have been paid to the agent to run the interest of the principals) with its interest. Even when the business was unsuccessful, this payment is not denied but only when there is an agreement otherwise.

Lien right of the commission Agent:

There is nothing special in this case as well. The commission agent has the right to hold property bought, property to be sold as well as money received from the buyer, (Art. 2247). The last group (Money) whether it is subject of lien could be arguable. Because, it looks that if the

commission agent is going to hold money it could mean that the agent can set off the money for the rights he has over the principal.

Commission agent dealing on his/her own account:

The basic requirement in agency relationship we have dealt in the previous sub sections is acting in the name of the principal. But when it comes to commission agent, he/she acts in his/her own name. In addition to this to deal with oneself is presumed to bring a conflicting interest and the principal is entitled to invalidate such a contract entered with the agent himself. But when it is a commission agent to sell/buy goods having a market value or goods quoted on a stock exchange (lacking in our country) the purchase or sale committed by the agent with himself is valid. In this case the commission agent who has dealt with himself remains entitled to the remuneration (Art. 2248). But this does not mean that when the price for the goods either having a market price or quoted in a stock exchange are different to the detriment of the principal, it is valid. The principal has the right to invalidate in this case. (Art 2248(3)).

The agent is required to name the third party with whom he/she has dealt for the sale or purchase of goods. When there is no party named as a buyer or seller, then it is the agent himself or herself who is presumed by the law j(Art. 2249) to have bought or sold the goods to the principal. Hence, the above consequences shall follow.

C. Forwarding Agent

Forwarding agent is one category of commission agents. In simple terms the function implies its name. It is an agent, with payment of a

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commission engaged in transferring, pushing goods of a principal to a carrier. It is defined under Art. 2251(1) as follows:

For forwarding agency is a contract of agency whereby the agent called the commission agent. Shipper or forwarding agent, undertakes to enter in his own name but on behalf of another person, called the principal into a contract for the forwarding of goods.

It is a contract of agency. Hence, all the requirements of a valid contract of agency are applicable here. The person undertaking to play on the side of one of the contracting parties, the agent side is named as: a shipper forwarding agent but he/she/it is generally named as a commission agent. The other contracting party is not given a specialized name but simply named as a principal. The object of contract of agency as we can grasp from the above definition is for the forwarding of goods belonging to the principal.

Usually shipping lines for example, the Ethiopian shipping lines company, are engaged in forwarding activities. In this case the agent is engaged both in forwarding and for the transportation of goods of the principal as a carrier, to the third party, buyer.

As forwarding agency is a special form of agency, both the general rules of agency as well as provisions of a commission agency are applicable. This is supported by Art. 2251(2) "The rules governing the contract of commission agency to buy or to sell shall apply to this contract."

Perhaps special for this type of agency relationship is insurance of goods to be forwarded or carried. In most cases this type of agency is applicable in exporting goods to abroad from Ethiopia. This activity is

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committed in inland, air and water transpiration systems. It passes through risky ways. Even in this case the law does not presume an obligation on the side of the agent (forwarding agent) to insure the goods. Even the principal cannot order the forwarding agent to insure the goods like the case of a commission agent to buy or to sell (compare Art. 2242 and Art. 2252(1)). It is only when the parties (principal and forwarding agent) have agreed to insure the goods that the later is bound to insure the goods. This is because the principal is supposed to take every care in this type of transportation.

Like we have been dealing in the above paragraphs, the forwarding agent may act as a carrier and a forwarding agent at the same time without a special permission/consent of the principal (especially to act as a carrier.)

Illustration: Dolphin forwarding agent may agree to forward the goods via a carrier (e.g. The Ethiopian shipping lines company) to the buyer residing in Germany. The individuals engaged in this activity are: the seller of the goods here in Ethiopia, the principal; the middle person, the forwarding agent, Dolphin forwarding agent; the carrier (ESLCo) and the third party, buyer residing in Germany. The object assumed by the forwarding agent is to deal with a carrier in his own name but for the benefit of the principal to transport goods aboard for example. The forwarding agent may carry the goods himself. In this latter case the agent is acting both as a forwarding agent and a carrier. It is in these situations that Art. 2252(3) provide, the agent shall be entitled for the duties of the principal towards a carrier.

At the beginning of this material, we have said that agency is badly required to run legal persons. Business organizations as legal persons require agent to act on their behalf, without which the sought purpose of the organization cannot be achieved.

What is a Manager? A manager is defined by Art 33 of the Ethiopian Commercial Code as “a manager is a person who has been authorized expressly or tacitly, to carry out acts of management and to sign in the name of the trader.” The manager has full power to carry out all acts of management connected with the exercise of the trade, including the power to sign a negotiable instrument (cheques, promissory note, etc). But he/she/it may not sell or pledge immovable property, nor may the manager sell, hire or pledge a business unless the manager is expressly authorized to exercise these acts.

Dear distance learner, you are going to learn this concept (manager) under your course, law of traders and business organizations. But for the purpose of this course read the provisions of the commercial code of Ethiopia: from Arts 33 to Art 36.

To summarize, a manager is a person who is appointed as agent of a trader to do acts of management and/or to sign on negotiable instruments. These powers of a manager may be given either expressly or tacitly. The main issue here is to identify what type of acts are acts of management and what are negotiable instruments.

Acts of management are defined in chapter and Art 2204 of the Civil Code. A manager can and is bound to execute any one or more of the activities listed down under Art. 2204. These include: acts done for the

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preservation or maintenance of property, leases for terms not exceeding three years, the collection of debts, the investment of income and discharge of debts, sale of crops, sale of goods intended to be sold, sale of perishable commodities are also groups of acts of management.

Similarly negotiable instruments are documents that carry an entitlement /right to the lawful bearer. It is defined under Art 715 of the Commercial Code.

Art. 715 definition

- (1) A negotiable instrument is any document incorporating a right to an entitlement in such a manner that it be not possible to enforce or transfer the right separately from the instrument.*
- (2) The law recognizes in particular as negotiable instruments commercial instruments, transferable securities, documents of title to goods.*

On the other hand commercial instruments are: negotiable instruments, setting out an entitlement consisting in the payment of a sum of money (Art. 732(1) Commercial Code). Bills of exchange promissory notes, cheques travelers cheque and warehouse goods, deposit certificates are commercial instruments recognized under the commercial code (Art. 732(1)).

Transferable securities are shares and debentures. And documents of title to goods can be exemplified by bill of lading or airway bill.

A manager of a trader is therefore, in addition to acts of management, bound and entitled to sign on the above instruments.

A commercial agent is an independent trader engaged principally in representing another trader in certain areas of business. Like a manager, a commercial agent is not defined by the civil code but the commercial code defines and speculates different features of it from Arts. 44-55. Only the salient features of a commercial agent shall be discussed down here. The details of it, you are going to look at it in your course, Trader and business organizations.

Art. 44 Definitions

- (1) A commercial agent is a person or business organization not bound to a trader by a contract of employment and carrying out independent activities.*
- (2) Unless otherwise provided in the agency agreement, contracts entered into by a commercial agent shall become effective without confirmation by the trader.
- (3) A commercial agent normally acts as agent and may act as broker. He is a trader.

A commercial agent is one entrusted by a trader with representing him permanently in a specified area and deals or making agreements in the name and the behalf of the trader.

A commercial agent represents the trader in a specified area of trade. Usually a commercial agent is engaged in activities on behalf of the principal including: soliciting clients, selling goods, or entering any kind of transaction on behalf of the person/trader/principal he/she/it represents. This makes a commercial agent different from a commission agent. The latter is involved only in selling and buying of goods whereas the former is engaged in many others involving the commercial life of

the principal. The scope of power of a commercial agent therefore is broader than a commission agent. Similarly, a commercial agent is an exclusive agent in a specified area unless agreed otherwise as stipulated by Art 45 of the Commercial Code. He is in principal presumed to be the sole agent of the trader in that specified agreed area provided in the agreement.

SUMMARY NOTES

Depending on the act done by agents we have classified them into different groups. These include: commission agent, manger and commercial agent.

Commission agency is a professional kind of agency where the agent acts in his own name (an exception to the general principal we looked in the preceding chapter) with the payment of a commission.

Commission agency is further sub divided into a commission to buy or to sell, and a *del credere* commission agent and a forwarding commission agent.

A commission to buy or to sell is as the name tells a relationship between the principal and the agent the latter assuming obligations to buy or to sell or both depending on the agreement; properties, belonging to the principal. The principal also assumes to pay a commission (charge) to the agent. This commission or charge is presumed even in the absence of any agreement to this effect. Like an ordinary agency relationship, the parties owe obligations to each other.

Del credere commission agent is a commission agent but who has a dual relationship with the principal. That is, he acts both as an agent and at the same time guarantor. As you might have learnt under your law of persons II, surety ship is not presumed. Hence, the commission agent becomes a surety when he has expressly agreed so.

Forwarding agency is a commission agent agreed to forward goods from a place to a carrier. A forwarding agent could be a carrier himself. Forwarding agents are usually situate in ports or shipping lines quarters. This is because; their engagement as forwarding

agents requires them to contact carriers. A forwarding agent is allowed by the law to act as a carrier to your surprise. In practice, carriers are forwarding agents and forwarding agents are carriers.

Managers are typical agents of business organization. It is a person authorized to carry out acts of management and sign in the name of the trader. A commercial trader on the other hand is an independent trader engaged in representing another trader in certain areas of business.

SELF-CHECK EXERCISE

- i. What is the basis to classify agents in to different types as discussed in this chapter?

- ii. Who is a commission agent?

- iii. What differences do you observe between the definition given by the commercial code and the civil code?

- iv. What is *del credere* commission agent?

- v. What is the difference between a commercial agent and a manger?

Hypothetical and Real Cases

1. Ato Wudu is a successful businessman here in Bahir Dar. He has lots of businesses running in the country. He carries out his businesses with agents. He does not want his businesses to be noticed by third parties, neighbors and any body. Therefore, he entitles and gives caution to his agents to engage in businesses (buying or selling) in their own names. Ato Wube was an agent to one of the business of Ato Wudu. Ato Wube was a faithful and diligent agent since the last 5 years for his principal. He usually engages in lucrative activities and finds acknowledgements many times from the principal. In one business engagement with a third party he has only received 50% of the goods he bought in his own name (but to the benefit of Ato Wudu) while he has paid 100% of the price of the goods sold.

The third party who was solvent in the making of the contract was unable to pay the price after a week. The third party was denying the fact that there was a contract at all. The principal is demanding the agent to take the blame. Suppose you are a judge to this litigation, what would be your judgment?

11. “Under Ethiopia commission agency; however the commission agent is expected to act to the best interest of the principal with due diligence and skill, yet, we can generally conclude that the commission agent is not liable to the duties of the third parties who have concluded a contract with him under the Ethiopia law.” Do you agree with this allegation? Discuss.

12. Abdi is a resident of Djibouti. He is an agent for Abaynesh, a resident in Addis Ababa. The undertaking between these two

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individuals goes as follows. He has bound himself to forward goods belonging to the principal from Djibouti to their destination abroad as dictated by Abaynesh. For those goods forwarded by Abdi, Abaynesh has agreed to pay a remuneration for every job of forwarding export goods. On top of this he has a desert allowance too.

Abdi too is man of diligence and hard working. After he has been working around the port for 20 years, he is getting richer and he has bought a ship from a certain Somali bankrupt Merchant. That is great for him because he thinks he can work both the forwarding of the goods as well as shipping of the same. And he used to sipping goods from his principal by his own ship. He is benefited both from forwarding and shipping of the goods. However, Abaynesh was not happy with the works of Abdi after he has bought a ship. She was not happy too when he demands her payment for shipping the goods on top of the remuneration for forwarding.

Abaynesh is intending to refuse the payment of shipping expenses because she claims the price was expensive as well as she thinks that while he is a forwarding agent it is not lawful to ship, goods belonging to her. But before she decides anything she wants to get a legal advice.

Question:

Abaynesh has come to you to find a legal advice. Please give her your valuable advice on the subject.

13. While agency terminates up on the death of the agent in principle; it is an exception in the case of commission agency. Discuss the rationale behind this fact.

CHAPTER SEVEN

EXTINCTION OF AGENCY RELATIONSHIP

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Introduction

Termination of Agency

2 *Performance*

3 *Termination up on the consent of Parties*

4 *Termination up on the operation of the law*

Introduction

An obligation does not usually remain indefinitely. It comes to an end for different causes. Agency is not different to this general principle. It comes to an end for different causes. One cause to extinguish agency relationship is termination. Performance of the obligations assumed by each of the parties within the given time is the other cause that brings obligations of agency to an end. Similarly; invalidation, cancellation, merger, novation, etc can bring obligations of agency relationships to their end.

Most of these causes are dealt under the law of contracts in general. But there is one cause special to agency relationship. In this chapter you are going to study the meaning, the procedures and rules involved in one of the cause of extinction of agency relationship, termination. There are two cause of termination. These are the law and the parties. These causes shall be dealt in detail below.

After you have studied this chapter you will be able to:-

- Explain the causes extinguishing agency relationship;
- Define the methods of extinguishing agency relationship by the parties;
- Define the methods of extinguishing agency relationship by the law;
- Define revocation;
- Define renunciation;
- Discuss the effects of revocation, enunciation
- Discuss the effects of death, incapacity, bankruptcy of the parties.

Termination of Agency

As we have provided in the introductory part of this chapter, termination is not the only cause that extinguishes agency relationship. The reason why termination is preferred to be discussed here is there are certain principles applicable only to agency different and special from what is covered under the general contracts rules.

Termination of agency is possible to arise from two sources: by the act of the parties and the law. Act of the parties could mean either agreement by the two parties or by unilateral declaration from one of the parties.

i) Agreement:

Agreements/contracts are not only entered to create obligation but also it may be entered to extinguish obligations as well (Art. 1675).

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The principal and the agent may agree to terminate a relationship that exists among them. “A contract may terminate where the parties so agree” (Art. 1819 via the bridge Art. 1676.) Up on agreement nothing is impossible to assume except those prohibited by law (usually by public laws and mandatory private law provisions).

Illustration: Heran and Tsegaye had agreed in the year 1999 E.C an agency relationship between themselves. Heran has assumed a duty to sell in a boutique shop belonging Tsegaye. Tsegaye has also assumed payment of 2% of what is sold per month as a remuneration/commission. In the year 2000 Heran wants to run her own business. When she presented an offer to extinguish their agency principal relationship Tsegaye has unequivocally accepted it. This is termination by agreement; because it is committed up on the consent /will of two of the parties.

ii) Unilateral Declaration by the Parties:

Dear distance learner, after you have read the way agency is terminated up on agreement of the parties, you might have asked a question, what is the fate of agency principal relationship if at all the agent doesn't want to terminate and present an offer of termination? As well, what if the principal refuses/ rejects when an offer of termination is presented to him? Or otherwise, when the principal presents an offer to the agent to terminate, what if the agent refuses to accept it? These and similar questions are proper to ask.

Agency principal relationship is not a slave-matter relationship. It shall terminate, when both parties are willing, up on agreement. But if one is not willing to do so up on a unilateral declaration. It shall survive only up on the will of the two parties.

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There are specialized terminologies employed to unilateral declarations to terminate agency relationship. The declaration to terminate by the principal is called *revocation*. And the declaration by the agent is termed as *renunciation*. Below, the rules and procedures as well as the conditions of each of these concepts shall be presented in detail.

a) Revocation of agency (Authority of the agent:

Revocation is a term linked to the principal. It is a unilateral declaration on the part of the principal to terminate the existing agency principal relationship. It occurs when the principal gives notice of termination of the authority to the agent. There is not special formality requirement as to this notice. It may be given in any form: a document in writing is unnecessary (not mandatory even when the original authority was contained in a document). That is named revocation. Revocation of agency is unconditionally a discretionary right of the principal as Art. 2226 provides. Look at this provision.

Art 2226 Revocation of agency

(1) *The principal may revoke the agency at his discretion and where appropriate compel the agent to restore to him the written instrument evidencing his authority.*

(2) *Any provision to the contrary shall be no effect.*

Revocation is a choice left to the principal. In the common law, it is not discretionally for the principal to revoke the authority only up on his need. However in principle, the principal is empowered to terminate the relationship up on his will, there are certain limitations on the principal to revoke authority of the agent. Let's see some limitations below.

Irrevocable agencies: In the first place revocation is not allowed without the agent's consent where the agent has been granted authority to act on the principals behalf but in respect or for the protection of any interest of the agent. In the common law this becomes true when the authority was given either by deed or for a valuable consideration as a security in respect of a liability of the principal to the agent. In one case decided by a common law court, it goes that, an agent was sent to sell goods on behalf of the principal. He made advances to the principal on the security of these goods sent. It was held that the authority was irrevocable; because the agent has paid a security for the relationship. Hence, when there is a security advanced by the agent it is not the right of the principal to revoke without the consent of the agent. This happens when the security remains un paid.

Dear distance learner does it work under our law?

Even in the common law, irrevocable agency does not apply where the sole purpose of the agency, as far as the agent is concerned, is to enable the agent to earn his commission by action on the principal's behalf. Similarly where the agent has incurred personal liability by acting in pursuance of his authority such that the principal would be liable to indemnify the agent in respect of such liability then the principal cannot revoke his authority so as to avoid the obligation of indemnifying the agent while leaving the agent personally liable. In another case, the agent was employed to make bets on behalf of his principal: he was authorized to pay if he lost the bets. The agent placed the bets but lost. The court has held that the principal could not revoke after this had happened but was still liable to indemnify the agent, since the agent, for the sake of his character and business, was bound to pay the amount that had been lost.

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Under our law of agency however there are duties of the principal to indemnify the agent of any liabilities even before the agent is getting indemnified or freed from any liability the principal is empowered to revoke the authority of the agent without the consent of the latter. Yet, there is a right of the agent to keep any property /money as a lien for the payment of any justifiable claim against the principal. But, this remedy works for an agent who has some property or money belonging to the principal in his hand/possession.

Revocation under our law of agency is purely right of the principal granted by the law. Dear distance learner, as you remember we have discussed some obligations of the agent. These are: good faith, diligence, duty to account, duty to carry out obligations personally etc. Revocation is not only ignited up on the agent failing to fulfill one or more of these obligations. It can be done/declared by the agent without the agent committing any of these obligations. That is it is made “on the discretion” of the principal. Even when parties have agreed to the effect that the principal cannot revoke the relationship without the consent of the agent or without agent failing to fulfill one or any of his obligations or the principal before carrying out his obligations (e.g. making the agent free from liability (damages). This is void relationship. Hence, it does not prevent the principal from enjoying the right to revoke against the above events. That is expressed by Art. 2226 (2) which provides” any provision to the contrary shall be of no effect.

On top of the above facts about revocation there is a missing obligation of the principal when revoking authority of the agent. As you know on your law of contracts course, the party who is to terminate a relationship is bound to furnish notice to the other party at least in principle, unless this is excluded by agreement of the parties in the making. When it comes to revocation of agency by the principal, there

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is no obligation of giving on the part of the principal to revoke the relationship. We will see this concept in comparison with termination by agent (renunciation). Till then keep this idea that there is no duty imposed against the principal to give notice to the agent while declaring revocation.

However, there is a post facto (after the fact), consequential obligation on the side of the principal. That is, once the principal has declared the revocation of the agency relationship there are certain obligation to follow the principal. Basically, the principal is bound to compensate the damages the agent may suffer as a result of a revocation declared by the principal. Look at this provision.

Art. 2227 Effect of Revocation

- (1) The principal shall indemnify the agent for any damage caused to him by the revocation where such revocation occurs prior to the agreed date or under conditions detrimental to the agent.*
- (2) The principal shall incur no liability where the date was agreed up on in his own interest exclusively or he has a just motive for revocation.*

This provision is not a condition for revocation rather it is the effect of revocation. Revocation, let alone made suddenly, when it is made up on notice may result in damages against the agent. The above provision is the natural consequence of the logic that one who causes the damage has to compensate. While the agent with a view that the agency relationship might proceed for a reasonable period of time, he/she might have arranged some private affairs for example. This is usually when the time for termination of the relationship is not agreed upon.

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When parties have agreed up on the date of termination of the relationship, and when the principal fails to observe that date the principal has to indemnify the agent for the damage sustained by the latter because of the termination.

However, there is a defense to the principal upon termination of the relationship. These are: where the date was agreed upon for the exclusive interest of the principal or where the principal has a just motive for revocation. Therefore, when the agency relationship is established only for the interest of the principal, there is no need for the latter to compensate the agent. For example, a gratuitous agency relationship is not made for the interest of the agent but for the exclusive interest of the principal. Hence it does not matter whether it is terminated today or tomorrow where the agency relationship does not fetch any material interest to the agent.

Similarly, where the agent has failed to observe one or more of his obligations, then the principal shall have a good motive to terminate. For example, when the agent has failed to act in good faith; failed to act diligently; failed to account (financial and/or activity); does not carry out his obligations personally etc, the principal is relieved of paying compensation when he terminates the relationship.

b) Renunciation

A counter right granted to the agent is the right to renounce the authority he had acquired. This is termed as renunciation. Look at this provision.

Art. 2229 Renunciation of agent

(1) The agent may renounce the agency by giving notice to the principal of his renunciation.

(2) Where such renunciation is detrimental to the principal, he shall be indemnified by the agent unless the latter cannot continue the performance of the agency without himself suffering considerable loss.

Dear distance learner, can you formulate a definition to the term renunciation?

Renunciation as you can grasp from the above provision is a declaration made by the agent to terminate agency relationship that existed with the principal. Similar to revocation, it is a unilateral declaration. There is no limitation provided by the above provision on the right of the agent to terminate agency relationship. But you can appreciate a difference if you closely look at the two provisions: Art. 2229 and Art. 2226. The provision granting the right of the principal to terminate by revocation prohibits an agreement to the contrary of the right to terminate up on his/her will (Art. 2226(2)). Whereas the provision under Art. 2229 which grants agent to terminate the relationship up on his will does not have a counter provision to this effect.

Dear distance learner, so does it mean that the parties (principal and agent) can agree to the effect that the agent cannot terminate the agency relationship except upon the consent of the principal?

Is that fair to limit the rights of the agent to terminate by a prior agreement while this is not situation in the case of the revocation?

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Contractual relationship based on the basic principle of freedom of contracts. A contract entered for an indefinite time comes to an end up on the request of one of the parties. Let's go back to Art. 1821 of the Civil Code.

“Where a contract is made for an undefined period of time, both parties may terminate it on notice”.

This cannot be denied by a prior agreement.

Once the agent has terminated the relationship by a unilateral declaration there are two consequential obligations up on him. These are giving notice and payment of indemnification.

Notice is peculiar to renunciation and not to revocation. The agent unlike the principal is bound to provide an agreed, customary or circumstantial period of notice to the principal within which he/she is going to terminate the relationship (Art. 1822). Dear distance learner, can you imagine the reason why the law has discriminately bound the agent to give notice and not the principal while unilaterally terminating the relationship.

As you might have noticed under the heading revocation above, the principal is not bound to give notice while revoking the power of authority. On the contrary, it is the duty of the agent to give notice to the principal while renouncing the relationship.

The reason emanates from the very nature of agency relationship. The required good faith, diligence... cannot be expected from an agent who is given notice for termination within a future fixed date. Hence, it is contrary to the general principle of the required duty of the agent

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towards. On the other hand there are interests of the principal at stake if the agent has to terminate the authority suddenly. Hence, this (notice) is time for the principal to take care of his interests.

Yet, this does not mean that the agency shall remain indefinitely unless notice is given. But, it is meant that the agent is bound to indemnify the principal where because of the failure of the agent to give notice the principal suffers damage. Upon termination by the agent, with or without notice the principal may not suffer any damage. In the latter case, there is no compensation to pay to the principal.

iii) Termination by Operation of the Law

Aside from any agreement between principal and agent, or any unilateral act by either of them, the relationship between principal and agent will terminate when the transaction which has been undertaken has been performed; upon death, incapacity, or bankruptcy of either or both of the parties (the agent, principal) etc.

Now we are going to look at the termination of agency relationship by operation of the law as listed above.

- a) **Performance:** the execution of his authority by the agent brings that authority to an end. Illustration: An agent who has sold goods, for the sale of which he was employed (agreed) has performed his obligations. No more obligations shall remain except to demand the payment of remuneration depending on the agreement. And when the two parties have performed their part no obligation is in force.

- b) **Subsequent physical events:** Dear distance learner let's assume that the property which the agency was required to sell is destroyed. Would the agency relationship terminate or continue to exist? You do not find a specific provision within the law of agency that would be a solution to this problem. You need to look at the general contracts provisions. As you might remember, the agency relationship requires object to be assumed. The object assumed by the agent in the above example is sale of an object (good). But when this good is destroyed the contract remains without an object. A contract without an object is void. Hence, the relationship vanishes, extinguishes upon the good being destroyed.
- c) **Death, incapacity or bankruptcy of the principal.** It is a general principle that death of one of the parties does not bring the obligation assumed by the parties to vanish. Rather the heirs or the successors shall enjoy the rights or insure the duties arising out of relationship established by the deceased.

When it comes to agency; the death, incapacity or bankruptcy of either or both of the parties has its own specific effects. The main point behind the special effect upon death of the parties is that the agency relationship is confidential and personal: hence the individual identity and existence of either of the parties is very essential.

Art. 2232. Death or incapacity of principal

- (1) *Unless otherwise agreed, a contract of agency shall terminate by the death of the principal or where he is declared absent, becomes incapable or is adjudicated a bankrupt.*
- (2) *The agent shall in such event continue his management where he has commenced it and there is not danger in delay*

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until the heirs or the legal representative of the principal are in a position to take it over themselves.

Without the need to take any further step, the death, incapacity or declaration of bankruptcy of the principal automatically results in the termination of agency relationship between the agent and the principal. But this can be made otherwise by an agreement between the agent and the principal prior to the death, incapacity or bankruptcy of the principal. This is explained by the *unless otherwise* proviso of Art 2232. That is the parties may agree their heirs continue their relationship even up on the death of the principal. This usually is done when the authority granted is to execute acts which do not require the person of the principal. When no agreement is made between the agent and the principal to the effect that the heirs shall replace the deceased, then the agency relationship shall terminate and there is an additional and consequential duty on the agent. That duty is: the agent must continue the management of the affairs for a reasonable time. That is he should not stop the representation as soon as he heard the death /incapacity or bankruptcy of the principal. This is especially true when the agent has already started representing the principal (performing his obligations).

Dear distance learner, you may wonder how long should the agent continue the management? It is only until the “heirs or legal representatives of the principal are in apposition to take it over themselves.” The problem is what if the legal representatives or heirs representatives do not take the management sooner? It looks that the heirs or legal representatives must take it over in a reasonable time, with no delay. And hence, if there is a delay in taking over of the management in a reasonable time, the agent cannot be responsible for the loss or damage over the affairs of the principal.

Another issue to raise here is why does the law use the term “management” while the agent could have been a special agent as well. It looks that after the death of the principal even when the relationship was that of a special agency relationship, that is agency empowering the agent to dispose, it is changed on the death of the principal to be a general agency. This is because once the principal dies, succession opens and the owner of the affair is changed and the agent is required only to preserve the affairs/rights of the inheritance.

The owner is the heir or beneficiary any way. And hence this agent becomes an agent of necessity for the heirs or beneficiaries. A necessity agent is empowered by law to do acts of management to save/preserve the interests of the principal (the principal by default is the heir or beneficiary). A deceased no more be a principal. He has no rights and duties. The human person is subject of rights and “duties” from birth to death. The death of the principal terminates agency in principle. Therefore the agent can only manage the affairs he has commenced. If the agent does not begin the representation, he has no duty and right to represent the principal after he has heard of the death/incapacity/bankruptcy/ and he/she cannot dispose like a special agent.

What do we mean by managing? You have devoted much time hopefully in identifying the difference between acts of management ((general agency) and acts of disposition (special agency). When you are with confusion yet, take this opportunity to read these concepts in the previous chapters.

Dear distance learner, the same explanation holds true for bankruptcy (when adjudicated bankrupt) absence (when declared absence by the competent organ) or incapacity of the principal.

This effect (death of the principal termination) works only for an ordinary agent. When the agency relationship is that of a special kind of representation like a commission agent, a different legal effect follows. We shall investigate this effect when we look at the effect of representation up on the death of the agent down here.

d) Death, incapacity, absence or bankruptcy of the agent

Similarly the death of the agent for stronger reason takes the agency to an end. When the agent dies, becomes incapable or adjudicated bankrupt, the relationship comes to an end. Look at this provision:

Art. 2230 Death or incapacity of agent:

- (1) Unless otherwise agreed, a contract of agency shall terminate by the death of the agent or where he is declared absent, becomes incapable or is adjudicated a bankrupt.*
- (2) The heirs or the legal representatives of the agent who are aware of the agent shall inform the principal of these circumstances without delay.*
- (3) They shall, until such time as necessary steps can be taken by the principal, do what ever is required in the circumstances to safeguard the principal's interests.*

There are three important points to appreciate in these provisions:

- Death/incapacity/ bankruptcy of the agent results in termination of agency (principle);
- By way of agreement prior to the death/incapacity or bankruptcy of the agent, it can be made otherwise to continue the relationship with the heirs of the agent (exception)

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- The duties imposed on the heirs of the agent (duty to inform the circumstance to the principal and duty to the management until the principal takes it over)

When the agent dies, we do not expect a dead body to continue the agency relationship and it is natural to terminate the relationship. Thus is obvious that the death of the agent extinguishes the agency relationship. Incapacity or bankruptcy also hold the same.

It is logical to ask a question as to why incapacity of the agent automatically results in the termination of agency. That is to say, incapacity is a ground to invalidate a relationship as we have exhaustively dealt under chapter three of this module. It is up to the incapable person or his representation to seek the invalidation of the relationship. Even the other party cannot demand the invalidation of the relationship. But here, it is provided that incapacity of the agent results in an automatic extinction of the relationship. In fact we can see the danger that would be addressed against the interest of the principal up on the sober agent becoming incapable in the middle of his carrying out the affairs.

Let's say that the principal was aware of the fact that the agent was incapable at the formation. He (the agent) was a minor of 16 years old. After some 5 months of a proper representation, the principal wants the termination of the relationship for a hidden cause. But the principal has invoked the fact that the agent is incapable and prayed the termination of the relationship by invoking Art. 2230. On the other hand the agent argued that by virtue of Art 1808(1) via Art. 1676 of the civil code, it is only him or his tutor (legal representative) who can demand the invalidation and not the other party (the principal) since

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the cause for extinction (by invalidation) is the incapacity of the agent (one of the parties).

Dear distance learner, do you find it tenable to argue for the agent for the above grounds? If not provide your arguments please in a separate piece of paper.

This answers the dialogues we had in the first chapter as to whether an incapable (e.g. minor can be an agent).

Looking at the two ideas together, it is up to the parties (both the principal and the agent) to keep the relationship among themselves. The agent on the one hand can invalidate a contract of agency up on him seeking the invalidation of the agency. Similarly the principal can terminate the relationship of agency among themselves. But we need to appreciate the difference in effect of invalidation and termination. Invalidation takes parties back to their previous position (Art. 1815 Via 1676) and termination does not have a retrospective effect (Art. 1819(3). Hence, the principal up on termination by invoking incapacity as a ground cannot annul the works/representations done so far until the date of termination while the agent can annul it. This is a caution to the principal to take every care in employing a minor as his agent.

Dear distance learner, the above allegations work for declaration of absence and bankruptcy accordingly.

Once the agent dies, gets incapable, declared absent or adjudicates bankrupt (this one is for a business organization) the relationship automatically terminates.

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While the agent is in one of the above situations the principal might not know whether the agent is in fact in this state (death, incapacity, absence or bankruptcy). This may be against the interest of the principal. The gap may affect the principal. There might be nobody to take care of the principal's affairs. This situation requires attention by the law. The gap needs to be filled by the law. Hence, the law wants people around to take care of the interest. These people are the heirs or legal representative of the agent who are aware of the agency and obviously the situation of the agent. They are bound to inform to the principal the fact that the agent is dead, got incapable, declared absent or adjudicated bankrupt. This has to be made without delay.

Yet, until the principal takes his affairs over, the heirs or legal representatives (in case of incapacity) of the deceased (agent) must do whatever is required in the circumstances to safeguard the principal's interests. However, the extent of the duty is not easy to grasp from the above provision, because these individuals are agents of necessity they are bound to act only acts of management to "safeguard the interest of the principal."

A similar, logical flow follows when the agents were many in number. In this situation it would be possible for all of the agents to die together or one or more of them to die and others to survive.

The point in this case is what would the status of the agency relationship between the surviving agents and the principals be. It depends up on whether the relationship is a cumulative one (joint) or it is a separate one. The relationship may be either the appointment is a whole sum, i.e. the agents shall be agents together or agents have a separate relationship with the principal. Look at the provision below that shows the Ethiopian approach towards treating such situations.

Art. 2231 Plurality of agents

- (1) Where several agents have been appointed for the same affair and are required to act jointly, any cause of termination of the agency occurring in respect of the person of one of the agents shall terminate the authority of all unless otherwise agreed.*
- (2) The other agents shall notify the principal up on becoming aware of the cause of termination of the agency and shall in the mean time do whatever is required in the circumstances to safeguard the principal's interest.*

As to the working of joint agency, when several persons are appointed agents the agreement may dictate the agents to act jointly. In this case, the general principle is that the death, incapacity, declaration of absence or bankruptcy of one the agents shall result in the termination of the relationship with the surviving agents too. But this principle may be made otherwise by a prior agreement. That is, they may agree before the death of one of the joint agents that the relationship shall survive among the existing (surviving) agents when one or several of the agents die, get incapable, declared absent or adjudicated bankrupt. In this case the relationship between the agent(s) on the one hand and the principal on the other hand shall continue; but shall terminate between the principal and the agent deceased, bankrupted, declared absent or incapacitated.

There are some obligations imposed on those joint agents who are not affected by one or any of the causes of termination discussed above.

These are:

-  to inform to the principal the fact that the agency is terminated because of the circumstance evident; and

- In the mean time they are bound to “do whatever is required in the circumstances to safeguard the principal’s interests.”

These obligations are similar to those heirs or legal representative have towards safeguarding the interest of the principal in these circumstances. The death, incapacity, absence or bankruptcy of the principal or agent or both has a different arrangement and effect when the type of agency is a special kind; like, commission agent, manger etc.

What is the effect of death, incapacity, absence or bankruptcy of a principal or agent in a commission agency? Is it different from an ordinary agency relationship? Look at this provision.

Art. 2250 Termination of commission

The commission shall not terminate where the principal or the commission agent dies becomes incapable or is declared absent where the heirs or representatives of the principal or commission agent continue his commercial activity.

While in the case of ordinary agency, the death, the incapacity, the absence or bankruptcy of the principal, the agent or either of them results in the termination of agency principal relationship, this does not work in the case of commission agency. The death, incapacity, absence or bankruptcy of the agent/principal or both in principle does not automatically, as of right or duty result in the termination the relationship. The termination comes only when the heirs of the principal or commission agent do not like to take over the duties/the rights in the relationship.

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When the commission agent for example dies, it is the choice of the heirs to continue the affairs of the principal or to leave it. If the heirs continue the commercial activity of the principal, the latter cannot terminate the relationships for the sole reason that the commission agent dies. This is the result of the fact that a commission agent is a professional agent as defined by Art 60 of the Commercial Code. The commission agent works the affair for gain and his/her livelihood may be dependent up on this affair. This implies that the agent's heirs (kids and dependent individuals) are also dependent on this business.

The other rational given is affairs committed by professional agents (like a commission agent) do not require the person of the agent. Usually the agent himself carries them out with the employment of other individuals. On the other hand there is no prohibition of an agreement among the principal and the commission agent to the effect that the heirs or legal representatives of either of the parties or both shall continue the relationship among themselves up on the death, incapacity or declaration of absence of one or both of the parties.

Generally, unlike an ordinary agency relationship where for the continuation of the relationship requires an additional agreement; in the case of commission agency, the death/incapacity) declaration of absence of the parties (one or both) does not terminate the relationship when there is a need on one of the party's heirs or legal representatives.

However, if for example the agent dies and the heirs of the agent are interested to takeover the affair but the principal does not want to work with the heirs, the law entitles them to continue the affairs (Art. 2250).

But when the heirs are judgment debtors of a claim to continue the agency it is unlikely for the relationship to continue. The principal is

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empowered under Art 2226 to revoke an agency relationship unconditionally. This latter provision empowers a commission principal to avenge those heirs of an agent succeeded in a court of law to continue the relationship the deceased had with the principal. He may for example revoke the agency relationship coming from the law by order of (judgment) a court following the death of the agent. There is no prohibition to terminate on any other cause, other than death of the agent.

This latter allegation may lead us to investigate whether the principal is entitled to terminate up on no cause. But it seems no doubt from the discussion made so far. Look at the arguments below.

A cumulative reading of these two provisions gives us the following effect: either the message under Art. 2226 is meant that the principal cannot revoke the relationship unless he had a just motive or the effect of these two provisions is contrary. The first effect does not seem to be implied because Art. 2227 (2) signifies the fact that the principal may also revoke without a just motive in stating "the principal shall no liability where the date was agreed up on in his own interest exclusively or he has a just motive for evocation". The last limb implies that the principal may also revoke for a motive not just. Hence this line of the alternative argument leads us to the conclusion that the principal may terminate (revoke) the relationship against the interest of the heirs who have succeeded the affair by judgment of a court through litigation.

But for we need to give effect to the two provisions we can construe these two provisions to the effect that the principal of a commission agency cannot revoke the relationship unless he has a lawful/just motive. Yet, we may be in difficulty whether the relationship should remain indefinite until such time the principal has found a just motive

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to terminate. That becomes against Art 1821 of the civil code. When a contract is made for an indefinite time it may be terminated by the request of one of the parties up on giving notice.

Last point before we leave termination of commission agency is the fact that “bankruptcy” is missing under Art. 2250 unlike the two counter provisions under Art 2230 and 2232.

Dear colleague, is it slip of the pen or an intentional one? Before you read the illustration below try to state your own ideas in the space provided here?

Now compare your answers with the following explanations.

In the earlier provisions the purpose of the law is to reveal the message that up on occurrence of one of the facts: death, declaration of absence, incapacity or adjudication of bankruptcy of the agent or/and the principal terminates the relationship unless otherwise agreed. The latter provision under Art 2250 is aimed at regulating the situation of transfer of rights and obligation from the deceased to the heirs or legal representatives. Hence, this provision governs persons who can succeed the deceased/ heirs or successors.

Dear distance learner, does an organization (business organization) have an heir? It does not. Therefore, when an organization is declared bankrupt while it was an agent or a principal, it results in termination of the agency relationship it had. Because there is nothing called heir to succeed organizations. Note that bankruptcy is a technical term applicable to business organizations.

Therefore, the law has intentionally omitted the term bankruptcy under Art. 2250.

The following case decided by the Ethiopian Supreme Court is a typical case where you can define commission agency and where you will be able to appreciate the effect death of an agent (a commission agent) shall bring in agency relationship.

The case was initiated in Gondar high court among Huluagersh Tsehay et al and Shell Company Limited.

The case was initiated in a High Court in Gondar reviewed by the Supreme Court and finally decided by the Cassation Division of Ethiopian Supreme Court in Addis Ababa in 1991(1983 E.C)

Applicants of the Supreme Court were plaintiffs at the rendition high court and Shell Company Limited was a defendant in the beginning. In the high court (North Gondar Area High court) the applicants as plaintiffs have pleaded in their statement of claim that:

- a) Their successor (the husband of the first applicant and father of the second applicant Ato Alene Wallelign) Ato Wallelign Kassie before his death had concluded a contract of commission agency to sell fuels belonging to the principal, Shell Company Limited in Gondar town establishing a depot located in kebele 13 and higher 1 of the town.
- 2) Ato Wallelign Kassie died on October 6, 1982 E.C and following his death the successor and wife of the deceased have on November 11, 1982 requested the principal to send fuels for Birr 41,162.00, sending the latter amount via a bank.

- 3) The successors and the wife of the agent are interested to continue the business and yet are running it. Hence up on the death of the agent by virtue of Art. 2250 they claim they are entitled to continue the activity.

It is based on the interest and capacity they have that they demand for the continuation of the relationship between the company on the one hand and the agent (successors on the offer hand) they allege. However, the company has responded them that it is not interested to continue the relationship with them and requested them to settle the balance existed among the principal and the deceased agent.

The plaintiffs have prayed the court to order for the compensation and payment of the following:

- a. Benefits from the time where it was terminated (death of the agent)
- b. By virtue of Art. 2250 to continue the agency relationship between the successors and the company.

To substantiate their claims they have produced evidences to the court. The respondent company on its part has argued to the termination of the relationship as the agent dies. It has specifically presented its defense as follows:

Preliminary objection:

There is no legal and contractual relationship between the plaintiffs (applicants) and the defendant (respondent). The relationship existed until the death of Ato Walleign Kassie is terminated following the death of the latter. Hence these applicants do not have a vested interest over the claim and let the court dismiss the case.

On the subject matter of the suit:

- a. There was no a commission agency to sell or to buy established between the deceased and the Co. If there is any evidence produced by the applicants, it is terminated up on the death of the agent by virtue of Art. 2230.
- b) There was no commission agency. The relationship established between the deceased and the company is contract of lease of a shop which the deceased used to sell different kinds of fuels.
- c) The deceased was given a default notice earlier his death because he was not able to serve the public properly. The notice given and the death of him is the cause to the termination of the relationship.
- d) The compensation demanded by the applicants has no ground for there is no established legal relationship between the applicants and the respondent.

The applicants have reaffirmed their claim:

- a) They have elaborated the applicability of Art. 2230 on the one hand and Art. 2234 and Art. 2250 as well as Art. 61 of the commercial code. They argued the latter group of provisions entitles the heirs to proceed to run the business up on their will while the former provision is otherwise. And they claim the applicable provision is the latter in this particular relationship.
- b) They have noticed the evidences they presented in the lower court showing that the relationship between the deceased and the company was one of commission agency.
 - The payment (remuneration) for the agent was Birr 0.03 at each liter of fuel.

- c) Had the fuel been sent to them at the time where they demanded, they would have benefited a certain amount (they have stated the amount) and they deserve to be compensated.

The Gondar Area High Court has decided in favor of the applicants with the following arguments.

- a) The relationship established among the Shell Co. Limited and the deceased was one of commission agency. As Article 2250 provides “the commission shall not terminate where the principal or the commission agent dies, becomes incapable or is declared absent where the heirs or representatives of the principal or commission agent continue his commercial activity”.

This is again supported by Art 60 and 62 of the commercial code and Arts 2234 2249 of the civil code.

- b) The default notice given by the respondent does not have brought the termination of the agency relationship. Because as it provides, if the agent fails to prove why it does not provide adequate service to the public in only a months time from the time where the notice was issued, the company is forced to terminate the relationship. But, however the agent does not comply with the notice no termination was declared and the Company has served fuels to the agent two times before the death of the agent. Hence, there was no termination of the relationship.

Even after the death of the agent the heirs have continued running the commercial activity (sold fuels and sent the sale money back to the Company. The above facts show that the heirs have continued the

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commercial activity as Art. 2250 demands and have interests to continue working on behalf of the company.

Accordingly, and the court has awarded compensations to the plaintiffs (applicants).

Dissatisfied with the judgment and decision of the High Court, the Shell Company Limited has lodged an appeal to the supreme court of the country situated in Addis Ababa.

The court has reversed the judgment of the High Court with a different (unique) meaning given to Art 2250 of the Civil Code. The base of its reversed decision emanates from the belief of the court that an agency principal relationship is terminated by law up on the death of one of the parties. Especially when the agent dies heirs of the agent have duties to protect (continue the management) the interest of the principal until the latter takes over the activities himself or appoint another Art 2230(2), (3)]. Up on this belief the court continued to argue that the meaning and purpose of Art. 2250 is a measurement of whether the heirs have carried out their obligation of taking necessary steps until the principal takes over his affairs. And it provides; because the heirs have successfully carried out taking necessary steps until the company takes it over, they are not liable but duty bound to deliver the business to the principal when he/she/it comes to control.

The Supreme Court concluded the meaning given to Art. 2250 by the High Court was wrong. Up on the death of the agent contract of agency terminates. The purpose of the provision under Art 2250 is in the case of commission agency, when the heirs or legal representative continue his/its commercial activity it is said to be they are carrying their duty to take necessary steps and they are free from liability.

Hence, the cause for the case to be brought to the Cassation Division of the Supreme Court, as claimed by the applicants is: there is a mistake of law in applying Art 2250 of the Civil Code. Both parties have presented their sides to the court (Cassation Division).

The court has framed two main issues to solve the dispute. These are:

- a) Is the agreement concluded between the respondent and the deceased on November 16, 1974 terminated before the death of the deceased?
- b) If it is not terminated, can the heirs continue the commercial activity following the death of the agent?

Concerning the first issue, the Court has affirmed that the respondent has given a default notice to the agent before his death in accordance to the Art. 4 of the agreement concluded among themselves. The content of the default notice was ordering the deceased to respond to the company the reasons why it does not provide quality service to the public and continue the service only within one month. The failure of doing so was stated to be termination of the relationship. The agent has continued the service up on receipt of default notice. This was confirmed by the respondent too. As Art 4 of the agreement provides the relationship shall be declared terminated by the company only when the agent fails to provide the services after given default notice.

On the other hand the agent does not appear in front of the respondent complying with the default notice. Yet, the company does not declare the termination; instead it has delivered fuels to the agent. This shows, the agent has satisfied the respondents in providing service or at least the point of disagreement in providing service to the customers is now solved up on the respondent failing to terminate the relationship. The

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court has therefore rejected the claim of the respondent that the agreement/ relationship was terminated before the death of the agent.

The second point the Court has focused is on the second issue framed: Whether the heirs of the deceased are entitled by law to continue the commercial activity. The Court has framed the main points raised by the parties in the High Court. The applicants claim was, as the relationship established between the deceased and the respondent tells the relationship was one of commission agency and they need to enjoy the rights of heirs of a commission agent. However, the respondent argues that the contract concluded between the respondent and the deceased was a contract of lease of a shop (depot) that the deceased paying Birr 600 per year carries an independent commercial activity and he was not an agent and no agency principal relationship was established among them.

Also the Court has tried to identify the nature of the relationship from the written agreement concluded between the parties. When it is looked at the face value, the Court says, there is no indication as to whether it is a contract of agency, sales, lease, labor or any other. It simply says “Dealers” agreement. Hence, says the Court we need to look at the obligation assumed by each of the parties, so that we could be able to identify the nature of the contract. The following were observed by the Court from the written contract attached.

- 1) Art. 11 of the agreement, the operator’s payment of Birr 600.00 per month to the company: This payment was proved by the oral litigation in front of the Court that it was not a lease money but money for the maintenance of the buildings of the business and if at all we take the relationship to be one of lease, Art. 2928 provides for a contract of lease, the death of the lessee does not extinguish the relationship.

The relationship between the deceased and the respondent is not one of sales agreement: that is, the respondent a seller of fuels and the deceased a buyer of the fuels for commercial activities. The Court continues. This is because the deceased was selling the fuels received from the respondent up on frequent and regular orders of the latter. On top of this the deceased was bound by agreement: that he cannot buy any fuel a product of any other fuel company: cannot promote product of any other fuel company; cannot engage in any other business relating to fuels of other company products; that he is bound to provide reports of accounts (both activity and financial); that the deceased was bound to keep the business open at times where the respondent dictates etc. These and similar agreements entered between these parties fall under Art 60 of the commercial code. Art. 61 of the commercial code states that the provisions of the civil code from Arts. 2234-2252 shall be applicable in the case of commission agency. Hence, once we decide that the relationship is one of commission agency, Art. 2250 is the preferred and applicable provision to solve the case at hand and not Art. 2230 or Art. 2232 are applicable in this case. Because the latter provisions are applicable only for an agency relationship of ordinary nature and not for a specialized type of agency. The deceased was a commission agent.

Thus, as Art 2250 provides a contract of commission agency does not terminate up on the death of the commission agent. But the necessary condition for the continuation of the relationship up on the death of the commission agent is the carrying out of the activity by the heirs.

After the death of the commission agent, the heirs have continued the commercial activity. Even the respondent does not deny this fact, when it has proved that it has sent fuels to the heirs. And the heirs are

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interested to continue the activity from where it was. That is why they have lodged a pleading and continue the litigation. The activity of the business is only temporarily terminated because of the refusal of the respondent to send fuels with a view that the relationship terminates up on the death of the agent.

The Court has concluded that the relationship that was existing between the deceased and the respondent was commission agency. The death of the commission agent does not bring the relationship to its end when heirs of the deceased continue the commercial activity. Because the heirs have continued the commercial activity, sell of fuels to consumers, the relationship does not terminate by law unless the heirs and the respondent agree otherwise.

Finally it has declared the decision and judgment of the Supreme Court was reversed and decided in line with the decision and judgment of the high court in favor of the applicants of the Cassation Division of the Supreme Court and plaintiffs of the high court.

Dear distance learner, this is the longest case but interesting one to show instances of termination or otherwise of agency relationship up on the death of the agent.

This is not the end of the issue. Is there any protection accorded to the heirs in the above case if the principal (the Shell Company Limited) terminates the relationship (agency principal) giving notice?

Look at Art. 1821 providing how one of the parties are entitled to terminate a contract entered for indefinite period”.

“Where a contract is made for an undefined period of time, both parties may terminate it on notice.”

Okay, you may argue that this provision is remote because it does not specifically deal with agency relationship and further commission agency. We shall see these cases one by one. This provision, Art 1821 is applicable to agency relations by virtue of Art. 1676, the general contracts provisions are applicable irrespective of the nature of the relationship (agency, sales etc) unless there is a special provision stating otherwise.

Look at Art. 2226 “the principal may revoke the agency at his discretion and, where appropriate compel the agent to restore to him the written instrument evidencing his authority.” (Emphasis added). Even any provision (agreement) taking this right away from the principal is void (sub(2)). The effect of the revocation is the principal is bound to indemnify the agent if the revocation was committed before an agreed date (if there is one) or if it is not before an agreed date, when the revocation is detrimental to the agent. Yet, the principal is prevented from paying any compensation if the latter has good grounds to terminate by revocation.

Let us go back to the case one more time. The heirs have succeeded to continue their commercial activity in place of the deceased. And now, the relationship (agency principal) is established between Huluagesh Tsehay and Kassie Walleign as agents and the Shell Company Limited as a principal by law and judgment of court.

Let’s again assume that the company (principal) has declared revocation of the agency just in 10 days after the execution of the decision and the heirs have resumed the commercial activity. Is there

any protection to them? Notice the discussions made in the last section to the fact that the principal is not obliged to give notice to the agent to revoke (Art. 2229 and 2226). There is no protection accorded to the heirs to prevent them from a sudden revocation of the agency the heirs have assumed even the day after they have assumed their activity by court order. The only remedy is compensation up on proving that it was detrimental to them. But if the principal is able to prove that it has a just motive to do so, usually proving the fact that the agents have failed to fulfill one or more of their obligations, there is not compensation to be paid to the agents (heirs).

Therefore, the principal is able to terminate the relationship up on paying compensation if the agents succeeded in proving the revocation is detrimental to it.

SUMMARY NOTES

Obligations are not expected to remain indefinitely unless in very specific situations. They shall be brought to an end in a certain period of time.

Similarly there are some causes that bring obligations that came out of agency relationship to an end. Among these: performance, invalidation, cancellation, termination are very few of them.

Termination of agency could come out of parties or the law. Parties may bring an obligation to an end by way of termination either by a mutual consent or by a unilateral declaration.

A unilateral declaration to terminate an agency relationship by the principal is called revocation. Revocation can be made without the principal giving notice but under the pain of paying damages when it jeopardizes the agent. But the principal may be relieved of paying damages when he has a good ground terminate. These grounds could be the agent failing to carry out his duties properly.

On the other hand the agent is also at liberty to declare the termination of the agency principal relationship. That is termed as renunciation. The agent cannot leave the door of the principal open without telling the latter in advance to shut it down. That is the agent is bound to give notice. Even giving notice does not relieve him of paying compensation if there is any damage suffered.

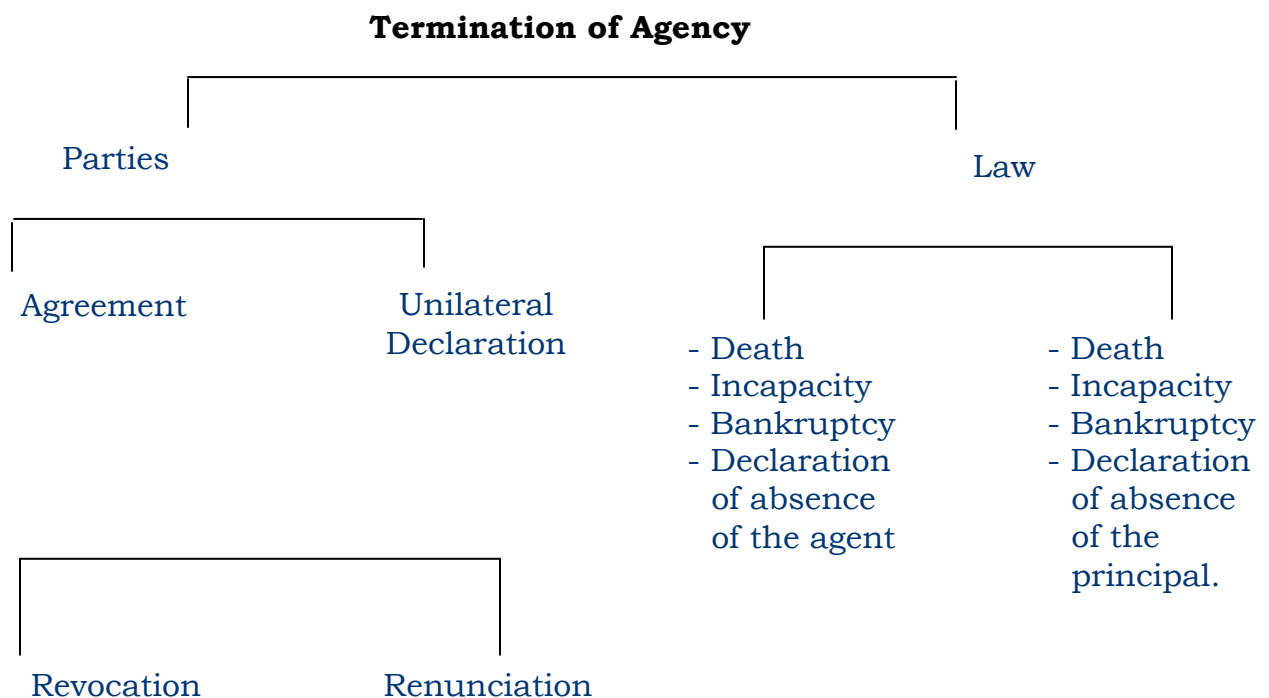
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You may wonder why notice is a requirement against renunciation while it is not for revocation. This is weighed in terms of the interest to be protected by the notice.

Termination could also be made by operation of the law. In the absence of parties either to agree or to declare the termination unilaterally the law, tries to manage this situation as the situations where the law intervenes to terminate the agency. Principal relationships are: death, incapacity, declaration of absence, bankruptcy of one or both of the parties.

Unfortunately, the occurrence of one of the events above has got differing effects depending on the type of agency relationship. This fact is reflected by one of the cases analyzed below.

Causes of Termination of agency may be summarized in the following tree.



SELF-CHECK EXERCISES

1. What causes extinction of obligations of agency principal relationship?

2. How is agency principal relationship terminated?

3. What does unilateral declaration of either of the parties mean?

4. What is the effect of death of the principal in an ordinary agency principal relationship? Could it be different, when it is a forwarding agent?

5. Is notice a mandatory requirement against the principal to terminate agency, principal relationship? Why? Why not?

Hypothetical and Real Cases

1. W/ro Fikir has appointed Betty her agent to sell her house for birr 200,000.00 (two hundred thousand). Betty was searching for buyers. In the mean time Fikir has concluded a sale contract with a friend of her to sell the house. Just the next day, after Fikir has concluded the sale, Betty has concluded a sell contract with the amount dictated by the owner without knowing the new development.

Questions

- What is the remedy for this problem?
 - Which sale is a valid sale?
2. A contract of agency was concluded between Bayush and Mastewal. Mastewal was the agent to sell a good belonging to Bayush for a fixed price. The agency was agreed to last for a maximum of 30 days. Bayush has terminated the relationship only within 15 days from its formation.

Question:

If Mastewal insists for the continuation of the agency relationship, would she succeed?

3. Tamene, Tadele, Tademe and Tagele have appointed one agent to perform their common activities. The agent has been diligent in handling tasks assigned to the benefit of his principals. Unfortunately after 6 months of having a common agent, Tamene has died of accident.

The remaining three principals were confused whether their agent remains an agent up on the death of the co-principal.

Advise the effect.

4. Zewudu has appointed three experts to work together as agents in his factory. However it is agreed that they are co – agents they are: administrative managers, technical manager, and finance manager. While these agents were working successfully, one of them, the finance manger was declared incapable (insane) by court order as a result of car accident damaging his skull. The other two were not sure whether their acts after the death of the finance manager would bind the principal.

Questions

Based on the relevant provisions of the civil code please advise the two agents what the effect of death of one of the co agents would be.